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**LESSON 23**

## MAXIMIZING LEARNING

After studying this chapter, students should be able to understand the following:

C. **Maximizing Learning**
D. **Selecting the Stage for Learning**
E. **Maintaining performance after Training**
F. **Following up on Training**
G. **Learning Principles**
H. **Training versus Development**
I. **Human Resource Development (HRD)**
J. **Role of Line Managers and Training and Development**
K. **Role of HR Department in Training and Development**

**LESSON OVERVIEW**

In this lecture we will discuss how a learning process can be maximized in terms of learning. As we know that training is a learning process we should know the basic learning principles that can be helpful in making training process more effective. We will also discuss the HRD that is, Human Resource Development in detail as well.

### A. Maximizing Learning:

Learning can be maximized by considering the basic principles of learning. That will be discussed later.

### B. Selecting the Stage for Learning

Effective learning requires two things (1) Clear Task Instructions that what is going to be learnt how and what is its importance and the (2) is Model Appropriate Behavior. When ever the training need is assessed, it should be translated to behavioral objective and trainer should try to present the results in behavioral terms. This will be contributing towards quality training and effective learning.

### C. Maintaining Performance after Training

Effective training can raise performance, improve morale, and increase an organization's potential. Poor, inappropriate, or inadequate training can be a source of frustration for everyone involved. To maximize the benefits of training, managers must closely monitor the training process. Developing learning points, to assist knowledge retention, Setting specific goals, identifying appropriate reinforces and teaching trainees, self-management skills can help organizations to maintain performance after training.

### D. Following up on Training:

Any training or development implemented in an organization must be cost effective. That is the benefits gained by such programs must outweigh the cost associated with providing the learning experience. Training to be more effective, is supposed to be followed with careful evaluation. Evaluation methods are discussed in the previous lecture. Different techniques and approaches can be used to evaluate the training program and, if required at any level, revisions and redesigning should not be avoided. It is not enough to merely assume that any training effort of an organization is effective; we must develop substantive data to determine whether our training effort is achieving its goals- that is, if it's correcting the deficiencies in skills, knowledge or attitudes that were assessed in needing attention. Training programs are expensive. The cost incurred alone justify evaluating the effectiveness.

## E. Learning Principles

These are the basic principles or conditions that facilitate learning.

### I. Participation

Learning should permit and encourage active participation of the learner. The learning activities should be experiential rather than just informational. Therefore, the trainers should arrange the physical surroundings to facilitate small group interaction and promote the sharing of ideas.

### II. Repetition

An important principal of the learning is to provide the learner with the opportunity for practice and repetition. To gain the full benefit of training learned behaviors must be over learned to ensure smooth performance and minimum of forgetting at a latter date. Proficiency in learning and retaining new skills is improved when individuals visualize themselves performing the new behavior.

### III. Relevance

The learning should be problem centered rather than content centered. People are motivated to learn when training is immediately relevant to help them solve a current problem. Learning something just because someone says "it is important" is not as motivating.

### IV. Transference

Because the training occurs in a special environment, an important question to ask is whether learning will transfer to the actual job situation. Transfer of training occurs when trainees can apply the knowledge and skills learned in training course to their jobs. If the learning in one setting does not transfer to the actual job situation, the training has failed .Three transfers training situations are possible (1) Positive transfer of training, when the training activities enhance performance in the new situation; (2) negative transfer of training, when the training activities inhibit performance in new situation; and (3) no observable effect of training.

### V. Feedback

Performance feed back is necessary prerequisite for learning. Feedback improves performance not only by helping learners correct their mistakes, but also by providing reinforcement for learning. Knowledge of results is a positive reinforcement itself. Learning activities have more intrinsic interest if feedback is available. Nevertheless, performance feedback should do more than inform learners whether they were right or wrong. Merely informing the trainees that they were wrong is not as effective as telling them why they were wrong and how they can avoid making mistakes in future. In general, knowledge of results is an essential feature of learning, and this knowledge comes after the learner's response.

## F. Training vs. Development

Although training is often used with development, the terms are not synonymous. Training typically focuses on providing employees with specific skills or helping them to correct deficiencies in their performance. In contrast, development is an effort to provide employees with the abilities that the organization will need in the future

### I. Purposes of T & D

The most prominent changes affecting T&D that have been prophesied and that are actually occurring today in business include:

- Orient new employees and Preparing them for promotion
- Satisfy personal growth needs
- Improve performance
- Avoid Managerial Obsolescence
- Solve organizational problems
- Changes in organization structure caused by mergers, acquisitions, rapid growth, downsizing, and outsourcing
- Changes in technology and the need for more highly skilled workers

- Changes in the educational level of employees
- Changes in human resources; a diverse workforce consisting of many groups
- Competitive pressures necessitating flexible courses and just-in-time and just-what's-needed training
- Increased emphasis on learning organizations and human performance management

**II. Selecting T & D Program**

While selecting the training ad development programs and selecting training and development methods to be used, following factors should be kept in mind in order to have more effective utilization of resources that are supposed to be spent on proposed training and development programs.

a. **Cost Effectiveness**: Any training or development implemented in an organization must be cost effective. That is the benefits gained by such programs must outweigh the cost associated with providing the learning experience. If measured the effectiveness of the training process, there should be air justification of assigning training programs in the organization because if organizations are not able to have advantages or development and enhancement of the performance after training it is only wastages of the resources.

b. **Desired Program Content**: Contents of the training program and the methods used to deliver the training should be in relevance to training objectives and need assessed for training.

c. **Learning Principles**: Learning principals should be implemented to have more effective training.

d. **Appropriateness of the Facilities**: Factors that are supposed to facilitate the training program should be appropriate and available.

e. **Trainee Performance and Capabilities**: There is chance and enough probability that training will lead to the enhancement of the trainees.

f. **Trainer Performance and Capabilities**: Trainers or people who are assigned responsibility to train the trainees are having enough experience, skills, capabilities and past trends that show that they can be effective trainers. Trainers themselves are required to be well trained in order to provide the training.

## G. Human Resource Development (HRD)

HRD has been defined as an organized learning experience, conducted in a definite time period, to increase the possibility of improving job performance and growth. Training is the part of HRD that deals with the designing programs that permit learners to acquire knowledge and skills needed for their present jobs.

**HRD Involves Following Activities;**

**Training & Development:** Training typically focuses on providing employees with specific skills or helping them to correct deficiencies in their performance. In contrast, development is an effort to provide employees with the abilities that the organization will need in the future.

**Organizational Development:** It is an organization wide application of behavioral science knowledge – to the planned development and reinforcement of a firm's strategies, structures, and processes for improving its effectiveness.

**Career Development:** A formal approach taken by an organization to help people acquire the skills and experiences needed to perform current and future jobs is termed as career development. Company's policies especially policies regarding promotion, counseling the employees, opportunities to excel in future help employees to develop their career. It consists of skills, education and experiences as well as behavioral modification and refinement techniques that allow individuals to work better and add value.

**HRD programs are divided into three categories**

**(1)** **Training:** Training is the acquisition of technology which permits employees to perform their present job to standards.

**(2)** **Education:** Education is training people to do a different job. It is often given to people who have been identifies as being promotable, being considered for a new job either lateral or upwards

**(3)** **Development:** Development is training people to acquire new horizons, technology, or viewpoints. It enables leaders to guide their organizations onto new expectations by being proactive rather than reactive**.**

### Human Resource Development Methods:

Some development of the individuals' ability can take place on the job (Job Rotation, assistant-to-position and committee assignment) and some times off the job methods (Lectures, Courses, Seminars, Simulation, Outdoor Training) are to be used to provide the development opportunity to the workforce. We will have brief discussion on these methods.

- **Job Rotation**: It involves moving employees to various positions in organization in an effort to expand their skills, knowledge and abilities. Job rotation can be either horizontal or vertical. Vertical rotation is nothing more than promoting a worker in to a new position.

- **Assistant to Position**: Employees with demonstrated potential are sometimes given the opportunity to work under a successful manger, often in different areas of organization. In doing so, these employees get exposure to wide variety of management activities and are groomed for assuming the duties of next higher level.

- **Committee Assignments**: Committee Assignments can provide an opportunity for the employee to share in decision making, to learn by watching others, and to investigate specific organizational problems.

- **Lectures & Seminars**: Traditional forms of instruction revolved around formal lecture course and seminars. These offered opportunity for individuals to acquire knowledge and develop their conceptual and analytical abilities.

- **Simulations**: Simulators are training devices of varying degrees of complexity that duplicate the real world. Simulation refers to creating an artificial learning environment that approximates the actual job conditions as much as possible.

- **Outdoor Training**: A trend in employee development has been the use of outdoor training. The primary focus of such training is to teach trainees the importance of working together, of gelling as teams. The purpose of these trainings is to see how employees react to the difficulties that nature presents to them.

- **Developing a succession planning program:** Succession planning programs are considerations of the job openings that presently exist in an organization, the openings that are likely to occur in the future, and how these positions might be filled. If positions are to be filled from within, training and development will be needed to prepare employees for promotion. If positions are to be filled by hiring from without, the organization will need to make a careful analysis of the labor market and the likelihood of finding qualified replacements.

## H. Role of line Managers and Training and Development

- Provide employee orientation training.
- Assess training needs and plan developmental strategies.
- Provide on-the-job training.
- Ensure transfer of training.

## I. Role of the HR Department in Training and Development

HRM department helps in Training and development program by performing the following functions.

- Provide employee orientation training.
- Contribute to management development programs.
- Provide training and development.
- Evaluate training.

### Key Terms

**Training:** The heart of a continuous effort designed to improve employee competency and organizational performance.

**Human Resource Development:** A major HRM function that consists not only of T&D but also individual career planning and development activities and performance appraisal.

**Learning Organizations:** Firms that recognize the critical importance of continuous performance-related training and development and take appropriate action.

**Job Rotation**: It involves moving employees from one job to another for the purpose of providing them with broader experience.

**Assistant to Position:** Employees with demonstrated potential are sometimes given the opportunity to work under a successful manger.

**Job Rotation:** It involves moving employees to various positions in organization in an effort to expand their skills, knowledge and abilities.

LESSON 24

**CAREER MANAGEMENT**

After studying this chapter, students should be able to understand the following:

**L. Career**

**LESSON OVERVIEW**

In this lecture, we first discuss the concept of career, career planning and development. Next, we distinguish between job security and career security. Then, we identify several factors that affect career planning and discuss both individual and organizational career planning. We next address career paths and discuss career development, then, career planning and development methods are described. We devote the last part of the chapter to a discussion of developing unique segments of the workforce.

L. **Career:**

Career can be defined as a general course of action a person chooses to pursue throughout his or her working life

## I. Career planning:

Career planning is an ongoing process through which an individual sets career goals and identifies the means to achieve them. The process by which individuals plan their life's work is referred to as career planning. Through career planning, a person evaluates his or her own abilities and interests, considers alternative career opportunities, establishes career goals, and plans practical developmental activities.

Usually, career planning programs are expected to achieve one or more of the following objectives:

1. More effective development of available talent.
2. Self-appraisal opportunities for employees considering new or nontraditional career paths.
3. More efficient development of human resources within and among divisions and/or geographic locations.
4. A demonstration of a tangible commitment to EEO and affirmative action.
5. Satisfaction of employees' personal development needs.
6. Improvement of performance through on-the-job training experiences provided by horizontal and vertical career moves.
7. Increased employee loyalty and motivation, leading to decreased turnover.
8. A method of determining training and development needs.

a. **Individual career planning** — Career planning begins with self-understanding. Then, the person is in a position to establish realistic goals and determine what to do to achieve these goals. Learning about oneself is referred to as *self-assessment*. Some useful tools include a strength/weakness balance sheet and a likes and dislikes survey.

1. **Strength/weakness balance sheet**: A self-evaluation procedure assists people in becoming aware of their strengths and weaknesses.

2. **Likes and dislikes survey**: A procedure that assists individuals in recognizing restrictions they place on themselves.

b. **Career Assessment on the Web —** The Web has numerous tests and assessments sites available to assist job seekers.

c. **Organizational Career Planning —** The process of establishing career paths within a firm.

## II. Career Paths

Career paths have historically focused on upward mobility within a particular occupation. One of four types of career paths may be used: traditional, network, lateral, and dual.

**a. Traditional Career Path**—An employee progresses vertically upward in the organization from one specific job to the next.

b. **Network Career Path**—A method of career pathing that contains both a vertical sequence of jobs and a series of horizontal opportunities.

c. **Lateral Skill Path**—Traditionally, a career path was viewed as moving upward to higher levels of management in the organization. The availability of the previous two options has diminished considerably in recent years. But this does not mean that an individual has to remain in the same job for life. There are often lateral moves within the firm that can be taken to allow an employee to become revitalized and find new challenges.

d. **Dual-Career Path**— A career-path method, that recognizes that technical specialists can and should be allowed to continue to contribute their expertise to a company without having to become managers.

e. **Adding Value To Retain Present Job**—Regardless of the career path pursued, today's workers need to develop a plan whereby they are viewed as continually *adding value* to the organization. If employees cannot add value, the company does not need them, and much of the evolving work environments cannot use them either. Workers must anticipate what tools will be needed for success in the future and obtain these skills. These workers must look across company lines to other organizations to determine what skills are transferable, and then go and get them. Essentially, today's workers must manage their own careers as never before.

**f.** **Demotion**—Demotions have long been associated with failure, but limited promotional opportunities in the future and the fast pace of technological change may make them more legitimate career options.

## III. Career Development

A formal approach taken by an organization to help its people acquire the skills and experiences needed to perform current and future jobs is termed as career development. Company's policies especially policies regarding promotion, counseling the employees, opportunities to excel in future help employees to develop their career. Career development consists of skills, education and experiences as well as behavioral modification and refinement techniques that allow individuals to work better and add value.

Career development is an ongoing organized and formalized effort that recognizes people as a vital organizational resource. It differs from training in that it has a wider focus, longer time frame, and broader scope. The goal of training is improvement in performance; the goal of development is enrichment and more capable workers.

Recently, career development has come to be seen as a means for meeting both organizational and employee needs, as opposed to solely meeting the needs of the organization as it had done in the past. Now, organizations see career development as a way of preventing job burnout, providing career information to employees, improving the quality of work lives and meeting affirmative action goals. That is, career development must be seen as a key business strategy if an organization wants to survive in an increasingly competitive and global business environment.

## IV. Career Planning and Development Methods

There are numerous methods for career planning and development. Some currently utilized methods, most of which are used in various combinations, are discussed next.

a. **Discussions with Knowledgeable Individuals**—In a formal discussion, the superior and subordinate may jointly agree on what type of career planning and development activities are best. In other instances, psychologists and guidance counselors provide this service. In an academic setting, colleges and universities often provide career planning and development information to students. Students often go to their professors for career advice.

b. **Company Material—**Some firms provide material specifically developed to assist their workers in career planning and development. Such material is tailored to the firm's special needs. In addition, job descriptions provide valuable insight for individuals to personally determine if a match exists with their strengths and weaknesses and specific positions considered.

c. **Performance Appraisal System—**The firm's performance appraisal system can also be a valuable tool in career planning and development. Noting and discussing an employee's strengths and weaknesses with his or her supervisor can uncover developmental needs. If overcoming a particular weakness seems difficult or even impossible, an alternate career path may be the solution.

d. **Workshops—**Some organizations conduct workshops lasting two or three days for the purpose of helping workers develop careers within the company. Employees define and match their specific career objectives with the needs of the company. At other times, workshops are available in the community that the company may send the worker to or workers may initiate the visit themselves.

e. **Personal Development Plans (PDP)—**Many employers encourage employees to write their own personal development plans. This is a summary of a person's personal development needs and an action plan to achieve them. Workers are encouraged to analyze their strengths and weaknesses.

f. **Software Packages—**Some software packages assist employees in navigating their careers.

g. **Career Planning Web Sites—**There are numerous Web sites available that provide career planning and career counseling as well as career testing and assessment.

## V. Challenges in Career Development

While most business people today agree that their organizations should invest in career development, it is not always clear exactly what form this investment should take. Before putting a career development program in place, management needs to consider three major challenges.

**a. Who will be Responsible?**

Many modern organizations have concluded that employees must take an active role in planning and implementing their own personal development plans. Situations have led companies to encourage their employees to take responsibility for their own development; these may include mergers, acquisitions, downsizing, and employee empowerment. However, employees need at least general guidance regarding the steps they can take to develop their careers, both within and outside the company.

**b. How Much Emphasis is Appropriate?**

Too much emphasis on career enhancement can harm an organization's effectiveness. Employees with extreme career orientation can become more concerned about their image than their performance. Some warning signs a manager should be on the lookout for include a heavy focus on advancement opportunities, managing impressions, and socializing **versus** job performance.

Serious side effects of career development programs include employee dissatisfaction, poor performance, and turnover in the event that it fosters unrealistic expectations for advancement.

**c. How Will the Needs of a Diverse Work Force be Met?**

Companies need to break down the barriers some employees face in achieving advancement in order to meet the career development needs of today's diverse work force. In 1991, a government study revealed that women and minorities are frequently excluded from the informal career development activities like networking, mentoring, and participation in policy-making committees.

Perhaps the best way a company can ensure that women and minorities have a fair chance at managerial and executive positions is to design a broad-based approach to employee development that is anchored in education and training.

Another employee group that may need special consideration consists of dual-career couples. Common organizational approaches that are becoming increasingly popular in dealing with the needs of dual career couples are flexible work schedules, telecommuting, and the offering of child-care services. Some companies have also been counseling couples in career management.

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## Meeting the Challenges of Effective Career Development

Creative decision making is a must in designing and implementing an effective development program. The three phases of development often blend together in a real life program. These three phases include the assessment phase, the direction phase, and the development phase.

a. **The Assessment Phase**

The assessment phase involves activities ranging from **self-assessment** to **organizationally provided assessment**. The goal of both of these types of assessment is to identify employees' strengths and weaknesses.

b. **The Direction Phase**

This involves determining the type of career that employees want and the steps they must take to make their career goals a reality. It involves:

1. Individual career counseling
2. Information services

c. **The Development Phase**

The development phase is taking actions to create and increase skills to prepare for future job opportunities and is meant to foster this growth and self-improvement. The methods are

1. *Mentoring & Coaching :* It has become increasingly clear over the years that employees who aspire to higher management levels in the organization often need the assistance and advocacy of someone higher up in the organization. When senior employee takes an active role in guiding another individual, we refer to this activity as mentoring and coaching. This can occur at any level and can be most effective when the two individuals do not have any type of reporting relationship.
2. *Job Rotation*: Involves moving employees from one job to another for the purpose of providing them with broader experience.
3. *Tuition Assistance Programs:* To help individuals plan their careers, organizations try to provide additional information in order to have better choice of the career.

- **Self-Development**

When an employer does not routinely offer development programs, it is essential that employees work out their own development plan. Planning for your career should include a consideration of how you can demonstrate that you make a difference to the organization.

- **Development Suggestions**

Development suggestions focus on personal growth and direction. These suggestions include statements such as "Create your own personal mission statement."

- **Advancement Suggestion**

Advancement suggestions focus on the steps that employees can take to improve their chances of being considered for advancement. These suggestions include statements such as "Remember that performance in your function is important, but interpersonal performance is critical."

## Career-Impacted Life Stages

Each person's career goes through stages that influence an individual's knowledge of, and preference for, various occupations. People change constantly and, thus, view their careers differently at various stages of their lives. Some of these changes result from the aging process and others from opportunities for growth and status. The main stages of the career cycle include the growth, exploration, establishment, maintenance, and decline.

a. **Growth Stage**: The growth stage is roughly from birth to age 14 and is a period during which an individual develops a self-concept by identifying and interacting with other people. Basically, during this stage an individual establishes his or her identity.

b. **Exploration Stage**: The exploration stage is the period roughly from ages 15 to 24, during which an individual seriously explores various occupational alternatives. The person attempts to match these occupational alternatives with his or her own interests and abilities resulting from education, leisure activities, and work.

c. **Establishment Stage**: The establishment stage is roughly from ages 25 to 44 and is the primary part of most people's work lives. Hopefully, during this period, a suitable occupation is found and the person engages in those activities that help earn a permanent career. During this period, the individual is continually testing personal capabilities and ambitions against those of the initial occupational choice.

d. **Maintenance Stage**: Between the ages of 45 to 65, many people move from the stabilization sub stage into the maintenance stage. During maintenance, the individual has usually created a place in the work world, and most efforts are directed at maintaining the career gains earned.

e. **Decline Stage**: As retirement becomes an inevitable reality, in the decline stage, there is frequently a period of adjustment, where many begin to accept reduced levels of power and responsibility.

## Key Terms

**Career:** Career can be defined as a general course of action a person chooses to pursue throughout his or her working life.

**Career planning:** Career planning is an ongoing process through which an individual sets career goals and identifies the means to achieve them.

**Career Paths:** Career paths have historically focused on upward mobility within a particular occupation.

**Career Development** A formal approach taken by an organization to help people acquire the skills and experiences needed to perform current and future jobs is termed as career development.

**Mentoring & Coaching** When senior employee takes an active role in guiding another individual, we refer to this activity as mentoring and coaching.

**Dual-Career Path** A career-path method, that recognizes that technical specialists can and should be allowed to continue to contribute their expertise to a company without having to become managers.

**LESSON 25**

**PERFORMANCE**

After studying this chapter, students should be able to understand the following:

**M. Internal Barriers to Career Advancement**
**N. Successful Career-Management Practices**
**O. Individual and Organizational Perspectives on Career Planning**
**P. Performance**

**LESSON OVERVIEW**

In this lecture, we will discuss the barriers to effective career development. Next, we will learn about some basic concepts of performance. We will also discuss an important function of effective management is accurate measurement of employee performance. This chapter discusses the foundation, design, and implementation of performance measurement systems. In addition, it describes the principles of effective performance management.

## A. Internal Barriers to Career Advancement

There can be following types of barrier that can influence the effectiveness of the career advancement.

- Lack of time, budgets, and resources for employees to plan their careers and to undertake training and development.
- Rigid job specifications, lack of leadership support for career management, and a short-term focus.
- Lack of career opportunities and pathways within the organization for employees

## B. Successful Career-Management Practices

Following steps can be helpful towards successful career management practices in the organizations.

- Placing clear expectations on employees.
- Giving employees the opportunity for transfer.
- Providing a clear succession plan
- Encouraging performance through rewards and recognition.
- Encouraging employees to continually assess their skills and career direction.
- Giving employees the time and resources they need to consider short- and long-term career goals.

## C. Individual and Organizational Perspectives on Career Planning:

Effective career planning, that is ensured with monitoring to record the failures and successes, provides continuous chances and opportunities to employees towards career development that will definitely produce more committed and effective workforce.

## D. Performance:

Performance can be defined as efforts along with the ability to put efforts supported with the organizational policies in order to achieve certain objectives.

**Performance is the function of:**

a) **Ability:** The basic skills possessed by the individual that are required to give certain performance enhance the level of performance.
b) **Motivation:** Activities in HRM concerned with helping employees exert high energy levels and to get performance in desirable direction.
c) **Opportunity:** Circumstances under which performance is made they can be ideal or vice versa.

## I. Determinants of Job Performance

There are three basic determinants of the job they are as following:

1) **Willingness to perform:** If employee is performing tasks and responsibilities in the organization with willingness level of the performance will be high and will be up to the standards.
2) **Capacity to Perform**: If the basic qualifications abilities and skills required performing specific tasks are possessed by the employees the level of performance will be in accordance with the set standards and vice versa.
3) **Opportunity to Perform**: Favorable circumstances and opportunities to perform the challenging tasks which are more contributory towards achievement of the organization's mission and objective can be reasons to have more effective performance from employees.

## II. Sample Core Performance Indicators

These indicators are used to measure Organizational Effectiveness. Researchers see primary management tasks as control, innovation, and efficiency. Control means dominating the external environment, attracting resources, and using political processes. Innovation entails developing skills to discover new products and processes and designing adaptable structures and cultures. Efficiency involves developing modern plants for rapid, low-cost production, fast distribution, and high productivity.

### a. The External Resource Approach: Control

Using the external resource approach, managers evaluate a firm's ability to manage and control the external environment. Indicators include stock price, profitability, return on investment, and the quality of a company's products. An important factor is management's ability to perceive and respond to environmental change. Stakeholders value aggressiveness and an entrepreneurial spirit.

### b. The Internal Systems Approach: Innovation

Using the internal systems approach, managers evaluate organizational effectiveness. Structure and culture should foster flexibility and rapid response to market changes. Flexibility fosters innovation. Innovation is measured by the time needed for decision making, production, and coordinating activities.

### c. The Technical Approach: Efficiency

The technical approach is used to evaluate efficiency. Effectiveness is measured by productivity and efficiency (ratio of outputs to inputs). Productivity gains include increased production or cost reduction. Productivity is measured at all stages of production. Service companies could measure sales per employee or the ratio of goods sold to goods returned. Employee motivation is an important factor in productivity and efficiency.

### d. Measuring Effectiveness: Organizational Goals

Organizational effectiveness is evaluated by both official and operative goals. Official goals are the formal mission of an organization. Operative goals are specific long-term and short-term goals that direct tasks. Managers use operative goals to measure effectiveness. To measure control, managers examine market share and costs; to measure innovation, they review decision-making time. To measure efficiency, they use benchmarking to compare the company to competitors. A company may be effective in one area and ineffective in another. Operative goals must be consistent with official goals.

## III. Why is performance measured?

- Enhances motivation & productivity
- Assists in validation studies
- Detects problems
- Helps evaluate change efforts
- Provides basis for making decisions
- Differentiates employees in job-related areas
- Helps ensure legal compliance

## IV. Performance Management

A process that significantly affects organizational success by having managers and employees work together to set expectations, review results, and reward performance. Performance management is a means of getting better results… by understanding and managing performance within an agreed framework of planned goals, standards and competence requirements. It is a process to establish a shared understanding about what is to be achieved, and an approach to managing and developing people so that it will be achieved. The Goal of measuring performance is to improve the effectiveness & efficiency of the organization by aligning the employee's work behaviors & results with the organization's goals improving the employee's work behaviors & results. It is on-going, integrative process.

**Key Terms**

**Performance:** Performance can be defined as efforts along with the ability to put efforts supported with the organizational policies in order to achieve certain objectives.

**Motivation:** Activities in HRM concerned with helping employees exert high energy levels and to get performance in desirable direction.

**Performance Management:** A process that significantly affects organizational success by having managers and employees work together to set expectations, review results, and reward performance.

LESSON 26

**PERFORMANCE APPRAISAL**

After studying this chapter, students should be able to understand the following:

**A. PERFORMANCE APPRAISAL**

**LESSON OVERVIEW**

We begin this chapter by defining *performance appraisal* and identifying the uses of performance appraisal. We then explain environmental factors affecting performance appraisal and the performance appraisal process. Then, we identify the aspect of a person's performance that should be evaluated, who will be responsible for appraisal, and the appraisal period. Next, we discuss the various performance appraisal methods, problems associated with performance appraisal, and characteristics of an effective appraisal system.

## A. Performance Appraisal

Performance appraisal is a system of review and evaluation of an individual or team's job performance. An effective system assesses accomplishments and evolves plans for development. Performance management is a process that significantly affects organizational success by having managers and employees work together to set expectations, review results, and reward performance. Its goal is to provide an accurate picture of past and / or future employee performance. To achieve this, performance standards are established.

### I. The Performance Appraisal Process

Many of the external and internal environmental factors previously discussed can influence the appraisal process. Legislation requires that the appraisal systems be nondiscriminatory. The labor union might affect the appraisal process by stressing seniority as the basis for promotions and pay increases. Factors within the internal environment can also affect the performance appraisal process. The type of corporate culture can serve to help or hinder the process. Identification of specific goals is the starting point for the PA process. After specific appraisal goals have been established, workers and teams must understand what is expected from them in their tasks. Informing employees of what is expected of them is a most important employee relations task. At the end of the appraisal period, the appraiser observes work performance and evaluates it against established performance standards. The evaluation results are then communicated to the workers. The performance evaluation discussion with the supervisor serves to reestablish job requirements.

**Steps in the performance appraisal process**

- Identify the specific performance appraisal goals.
- Establish job expectations (job analysis).
- Examine work performed.
- Appraise performance.
- Discuss appraisal with employee.

### II. Uses Of Performance Appraisal

Performance appraisal serves two types of the objectives one is to make the evaluation decisions and other is to provide the need assessment source for the training and development if there is a gap between actual and expected performance. For many organizations, the primary goal of an appraisal system is to improve performance. A system that is properly designed and communicated can help achieve organizational objectives and enhance employee performance. In fact, PA data are potentially valuable for use in numerous human resource functional areas.

a. **Human Resource Planning**—In assessing a firm's human resources, data must be available that describe the promotability and potential of all employees, especially key executives.
b. **Recruitment And Selection—**Performance evaluation ratings may be helpful in predicting the future performance of job applicants.
c. **Training And Development—**A performance appraisal should point out an employee's specific needs for training and development. By identifying deficiencies that adversely affect performance, human resource and line managers are able to develop T&D programs that permit individuals to build on their strengths and minimize their deficiencies.
d. **Career Planning And Development—**Career planning and development may be viewed from either an individual or organizational viewpoint.

e. **Compensation Programs—**Performance appraisal results provide the basis for decisions regarding pay increases.
f. **Internal Employee Relations—**Performance appraisal data are also frequently used for decisions in areas of internal employee relations including motivation, promotion, demotion, termination, layoff, and transfer.
g. **Assessment Of Employee Potential—**Some organizations attempt to assess employee potential as they appraise job performance.

## III. What to Evaluate?

What aspect of a person's performance should an organization evaluate? In practice, the most common sets of appraisal criteria are traits, behaviors, and task outcomes.

a. **Traits**—Many employees in organizations are evaluated on the basis of certain traits such as *attitude*, *appearance*, *initiative*, etc.
b. **Behaviors**—When an individual's task outcome is difficult to determine, it is common to evaluate the person's task-related behavior.
c. **Task Outcomes**—If ends are considered more important than means, task outcomes become the most appropriate factor to evaluate.
d. **Improvement Potential**—Some attention must be given to the future and the behaviors and outcomes that are needed to not only develop the employee, but also to achieve the firm's goals. This involves an assessment of the employee's potential.

## IV. Performance Appraisal Methods

The type of performance appraisal system utilized depends on its purpose. If the major emphasis is on selecting people for promotion, training, and merit pay increases, a traditional method such as rating scales may be most appropriate. Collaborative methods are designed to assist employees in developing and becoming more effective.

a. **360-Degree Feedback**—Involves input from multiple levels within the firm and external sources as well.
b. **Rating Scales—**Rates employees according to defined factors. The factors chosen for evaluation are typically of two types: job related and personal characteristics.
c. **Critical Incidents—**Requires written records be kept of highly favorable and highly unfavorable work actions.
d. **Essay—**The rater simply writes a brief narrative describing the employee's performance. This method tends to focus on extreme behavior in the employee's work rather than routine day-to-day performance**.**
e. **Work Standards—**Compares each employee's performance to a predetermined standard, or expected level of output.
f. **Ranking—**The rater simply places all employees in a given group in rank order on the basis of their overall performance. Paired comparison is a variation of the ranking method that involves comparing the performance of each employee with every other employee in the group**.**
g. **Forced Distribution—**An appraisal approach where the rater is required to assign individuals in the work group to a limited number of categories similar to a normal frequency distribution.
h. **Forced-Choice And Weighted Checklist Performance Reports—**The forced-choice performance report is a technique in which the appraiser is given a series of statements about an individual and the rater indicates which items are most or least descriptive of the employee. The weighted checklist performance report is a technique whereby the rater completes a form similar to the forced-choice performance report, but the various responses have been assigned different weights.
i. **Behaviorally Anchored Rating Scales—**A performance appraisal method that combines elements of the traditional rating scales and critical incidents methods.
j. **Results-Based Systems—**In a result-based system the superior and the subordinate jointly agree on objectives for the next appraisal period.
k. **Assessment Centers—**Recognizing the differences in purposes, and the difficulty that a PA system will have in achieving both aims, some firms opt to use an assessment center as an adjunct to their appraisal system
l. **Management by objectives (MBO)—**It is a goal-oriented performance appraisal method, requires that supervisors and employees determine objectives for employees to meet during the rating period, and the employees appraise how well they have achieved their objectives

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m. **The Appraisal Interview**

The appraisal interview is the Achilles' heel of the entire evaluation process.

- **Scheduling the Interview**—Supervisors usually conduct a formal appraisal interview at the end of an employee's appraisal period.
- **Interview Structure**—A successful appraisal interview should be structured in a way that allows both the supervisor and the subordinate to view it as a problem solving rather than a faultfinding session.
- **Use of Praise and Criticism**—Praise should be provided when warranted, but it can have only limited value if not clearly deserved. Criticism, even if warranted, is especially difficult to give.
- **Employees' Role**—Two weeks or so before the review, they should go through their diary or files and make a note of every project worked on, regardless of whether they were successful or not.
- **Use of Software—**Computer software is available for recording the appraisal data.
- **Concluding the Interview**—Ideally, employees will leave the interview with positive feelings about management, the company, the job, and themselves.

## V. Responsibility For Appraisal

In most organizations, the human resource department is responsible for coordinating the design and implementation of performance appraisal programs. However, it is essential that line managers play a key role from beginning to end.

a. **Immediate Supervisor**—An employee's immediate supervisor traditionally has been the most common choice for evaluating performance.
b. **Subordinates**—Some managers have concluded that evaluation of managers by subordinates is feasible.
c. **Peers**—Peer appraisal has long had proponents who believed that such an approach is reliable if the work group is stable over a reasonably long period of time and performs tasks that require considerable interaction.
d. **Self-Appraisal**—If individuals understand the objectives they are expected to achieve and the standards by which they are to be evaluated, they are—to a great extent—in the best position to appraise their own performance.
e. **Customer Appraisal**—The behavior of customers determines the degree of success a firm achieves. Therefore, some organizations believe it is important to obtain performance input from this critical source.

## VI. PROBLEMS IN PERFORMANCE APPRAISAL

Many performance appraisal methods have been severely criticized. Many of the problems commonly mentioned are not inherent in the method but, rather, reflect improper usage.

a. **Lack of Objectivity**— A potential weakness of traditional methods of performance appraisal is that they lack objectivity. Some subjectivity will always exist in appraisal methods. However, the use of job-related factors does increase objectivity.
b. **Halo Error**—Occurs when the evaluator perceives one factor as being of paramount importance and gives a good or bad overall rating to an employee based on this factor.
c. **Leniency/Strictness**—The giving of undeserved high or low ratings.
d. **Central Tendency**—Occurs when employees are incorrectly rated near the average or middle of the scale.
e. **Recent Behavior Bias**—It is only natural to remember recent behavior more clearly than actions from the more distant past. However, performance appraisals generally cover a specified period of time, and an individual's performance should be considered for the entire period.
f. **Personal Bias**—Supervisors doing performance appraisals may have biases related to their employees' personal characteristics such as race, religion, gender, disability, or age group.
g. **Manipulating the Evaluation**—In some instances, supervisors control virtually every aspect of the appraisal process and are therefore in a position to manipulate the system.

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## Key Terms

**Performance:** Performance appraisal is a system of review and evaluation of an individual or team's job performance.

**Halo Error**: Occurs when the evaluator perceives one factor as being of paramount importance and gives a good or bad overall rating to an employee based on this factor.

**MBO:** It is a goal-oriented performance appraisal method, requires that supervisors and employees determine objectives for employees to meet during the rating period, and the employees appraise how well they have achieved their objectives.

**360-Degree Feedback:** Involves input from multiple levels within the firm and external sources as well.

**Central Tendency**: Occurs when employees are incorrectly rated near the average or middle of the scale.

LESSON 27

**JOB EVALUATION AND PRICING**

After studying this chapter, students should be able to understand the following:

**A. The Appraisal Period**
**B. Job Evaluation**

**LESSON OVERVIEW**
This lecture discusses the career management concepts and their application in detail.

# A. THE APPRAISAL PERIOD

Performance evaluations are typically prepared at specific intervals. In most organizations these evaluations are made either annually or semiannually. The appraisal period may begin with each employee's date of hire, or all employees may be evaluated at the same time.

## I. The Line Manager and Performance Appraisal:

Line managers have the following responsibilities in appraising the performance.

- **Complete the ratings**: Line managers facilitate the overall rating process, initially by providing goals to be achieved than comparing those goals with actual performance and finally providing the feedback to make the corrective actions if required.
- **Provide performance feedback**: Performance always requires feedback, if it is positive than feedback will act as a positive reinforcement factor that will lead to more improvement and if the performance is poor, it again requires feedback so that the poor performance can be improved by taking corrective steps. This task of providing feedback is carried out and facilitated by line managers.
- **Set performance goals**: Performance to b evaluated requires set standards, goals or benchmarks against which it can be compared for evaluation purpose these goals are provided by the line mangers.

## II. Role of HRM Department in Performance Appraisal:

HRM department performs the following functions during performance appraisal process.

- **Develop the appraisal system**: HRM department plays important role in formulating the performance appraisal systems, it facilitated different departments in setting performance standards and acquiring appropriate appraisal performance method according to the requirements of particular department it also provides monitoring in appraising the performance of employees and hence are necessary for developing effective performance appraisal systems.

- **Provide rater training**: Evidence indicates that the training of appraisers can make them more accurate raters. The raters are bothered to be trained because, a poor appraisal is worse than no appraisal at all. Training can help raters to avoid and eliminate the basic appraisal errors. Raters are provided with the training opportunity through HRM department.

- **Monitor and evaluate the appraisal system**: Any system to be run and implemented effectively requires continuous monitoring. Performance appraisal is very important in any kind of organization both for employee as well as employer because many decisions are supposed to be made on data and result provided by the performance appraisal like, promotions, demotions and some times termination etc . To achieve more authentic and fair results through performance appraisal systems it requires monitoring and supervision which is performed by the HRM department.

## III. Performance Appraisal Failures:

Some times performance appraisal process do not satisfy the purpose for which it is conducted, that means **it is faced with some failures** and there are certain reasons, these reasons are as under:

1. Manager lacks information
2. Lack of appraisal skills
3. Manager not taking appraisal seriously
4. Manager not prepared
5. Employee not receiving ongoing feedback
6. Manager not being honest or sincere
7. Ineffective discussion of employee development
8. Unclear language
9. Insufficient reward for performance

## IV. Strategies for Improving Performance:

If performance appraisal process indicates the poor performance of the employees than the following strategies can be used to improve the performance of the employees and even for good performance these strategies can be used to keep on the trend. These strategies are as under:

**a. Positive Reinforcement:**

Applying a valued consequence that increases the likelihood that the person will repeat the behavior that led to it is termed as positive reinforcement. Examples of positive reinforcement include compliments, letters of recommendations, favorable performance appraisal, and pay raises. Equally important, Jobs can be positively reinforcing.

**b. Punishment:**

Punishment means administering an aversive consequence. Examples include criticizing or shouting at an employee, assigning an unappealing task, and sending a worker home without pay. Punishment strategy can be used to improve the performance of employees.

**c. Self Management:**

Many companies empower their employees to take responsibility for the day to day functions in their areas. Accordingly, these employees may now work without direct supervision and take on the administrative responsibilities that were once performed by their supervisor.

**d. Employee Assistance Programs (EAPs):**

Specific programs designed to help employees with personal problems. No matter what kind of organization one works in, one thing is certain. Whether that problem is job stress, legal, marital, financial, or health related, one commonality exists: if an employee experiences a personal problem, sooner or later it will manifest itself at the work place in terms of lowered productivity, increased absenteeism, or turnover. To help employees deal with these personal problems, more and more companies are implementing employee assistance programs.

## V. Characteristics Of An Effective Appraisal System (Designing An Appraisal System)

**Validation studies of an appraisal system** may be the most direct and certain approach to determining whether the system is satisfactory. It is unlikely that any appraisal system will be totally immune to legal challenge. However, systems that possess certain characteristics may be more legally defensible.

a. **Job-Related Criteria**—The criteria used for appraising employee performance must be job related. The *Uniform Guidelines* and court decisions are quite clear on this point.
b. **Performance Expectations**—Managers must clearly explain their performance expectations to their subordinates in advance of the appraisal period.
c. **Standardization**—Employees in the same job categories under a given supervisor should be appraised using the same evaluation instrument.
d. **Trained Appraisers**—Responsibility for evaluating employee performance should be assigned to the individual(s) who have an opportunity to directly observe a representative sample of job performance. In order to ensure consistency, appraisers must be well trained.
e. **Open Communication**—A good appraisal system provides highly desired feedback on a continuing basis.
f. **Employee Access To Results**—Employees will not trust a system they do not understand.
g. **Due Process**—A formal procedure should be developed—if one does not exist—to permit employees the means for appealing appraisal

**Effectiveness of the appraisal can be created by considering following steps.**

- Gain support for the system
- Choose the appropriate rating instrument
- Choose the raters
- Determine the appropriate timing of appraisals
- Ensure appraisal fairness

## B. Job Evaluation

**Job evaluation** means systematically determining relative worth of jobs to create job structure. An attempt to identify inputs that are most valuable to the organization & to develop job hierarchy based on which jobs have more or less of those dimensions

### Job Evaluation Methods:

The essence of compensation administration is job evaluation and the establishment of the pay structure. Let's now turn our attention to the topic of job evaluation. By job evaluation we mean using the information in job analysis to systematically determine the value of each job in relation to all jobs with in the organization. In short, job evaluation seeks to rank all the jobs in the organization and place them in a hierarchy that will reflect the relative worth of each. There are four general job evaluation methods.

**a. Ranking method**:

Raters examine the description of each job being evaluated and arrange the jobs in order according to their value to the company. This method requires a committee – typically composed of both management and employee representative – to arrange job in a simple rank order from highest to lowest. No attempts are made to break down the jobs by specific weighted criteria. The committee members merely compare two jobs and judge which one is more important, or more difficult to perform. Then they compare the other job with the first two, and so on until all the jobs have been evaluated and ranked.

**The most obvious limitation to the ranking method is its sheer inability to be managed when there are a large number of jobs**. Other drawbacks to be considered are the subjectivity of the method- there are no definite or consistent standards by which to justify the rankings- and the fact that because jobs are only ranked in terms of order, we have no knowledge of the distance between the ranks.

**b. Classification method:**

A job evaluation method by which a number of classes or grades are defined to describe a group of jobs is known as Classification method. The classifications are created by identifying some common denominator-skills, knowledge, responsibilities –with the desired goal being the criterion of a number of distinct classes or grades of jobs.

Once the classifications are established, they are ranked in an overall order of importance according to the criteria chosen, and each job is placed in its appropriate classification. This later action is generally done by comparing each position's job description against the classification description and benchmarked jobs.

The classification method shares most of the disadvantages of the ranking approach, plus the difficulty of writing classification descriptions, judging which jobs go where, and dealing with jobs that appear to fall into more than one classification.

**c. Factor comparison method:**

Raters need not keep the entire job in mind as they evaluate; instead, they make decisions on separate aspects, or factors, of the job. A basic underlying assumption is that there are five universal job factors: (1) Mental Requirements, (2) Skills, (3) Physical Requirements, (4) Responsibilities, and (5) Working Conditions. The committee first rank each of the selected benchmark jobs on the relative degree of difficulty for each of the five factors. Then, the committee allocates the total pay rates for each job to each factor based on the importance of the respective factor to the job. A job comparison scale, reflecting rankings and money allocations, is developed next. The raters compare each job, factor by factor, with those appearing on the job comparison scale. Then, they place the jobs on the chart in an appropriate position.

**d. Point method:**

Raters assign numerical values to specific job components, and the sum of these values provides a quantitative assessment of a job's relative worth. The point method requires selection of job factors according to the nature of the specific group of jobs being evaluated. After determining the group of jobs to be studied, analysts conduct job analysis and write job descriptions. Next, the analysts select and define the factors to be used in measuring job value and which become the standards used for the evaluation of jobs. Education, experience, job knowledge, mental effort, physical effort, responsibility, and working conditions are examples of factors typically used. The committee establishes factor weights according to their relative importance in the jobs being evaluated, and then determines the total number of points to be used in the plan. A distribution of the point values to job factor degrees is made, with the next step being the preparation of a job evaluation manual.

- Hay guide chart-profile method: A highly refined version of the point method that uses the factors of know-how, problem solving, accountability, and, where appropriate, working conditions.

## Key Terms

**Job Evaluation:** Job evaluation means systematically determining relative worth of jobs to create job structure.

**Point Method**: Raters assign numerical values to specific job components, and the sum of these values provides a quantitative assessment of a job's relative worth.

**Classification Method**: A job evaluation method by which a number of classes or grades are defined to describe a group of jobs is known as Classification method.

**Ranking Method**: Raters examine the description of each job being evaluated and arrange the jobs in order according to their value to the company.

**EAPs:** Specific programs designed to help employees with personal problems.

**Positive Reinforcement:** Applying a valued consequence that increases the likelihood that the person will repeat the behavior that led to it is termed as positive reinforcement.

**Punishment:** Punishment means administering an aversive consequence.

LESSON 28

## COMPENSATION SYSTEM

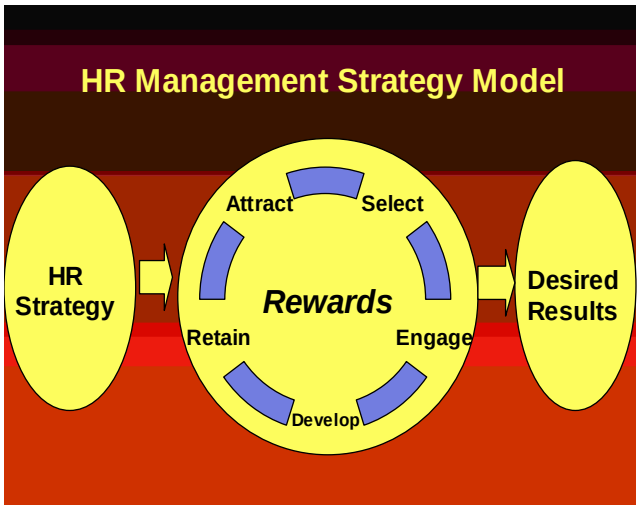
After studying this chapter, students should be able to understand the following:

**A. Job Pricing & Developing a Base Pay System**
**B. Compensation system**

**LESSON OVERVIEW**
We begin this chapter with an overview of compensation and an explanation of compensation equity. Next, we discuss determinants of individual financial compensation and the organization as a determinant of financial compensation. This is followed by a discussion of the labor market, the job, and the employee, as determinants of financial compensation. Finally, job pricing and executive compensation are presented.
To understand the basic concepts of compensation first of all we will define the pay

**Pay:**
Pay is a statement of an employee's worth by an employer.
Or
Pay is a perception of worth by an employee

**HR Management Strategy Model:**
Human resource department uses different strategies to mange the workforce so that the desired results can be attained. These desired result as stated in earlier chapters as well, can be attained if organization is able to attract, select, develop and retain workforce in successful manner in short, the effective hiring and retaining workforce can be helpful in achieving organizational goals. This purpose can be attained through fair and effective rewards systems in the organization. Rewards are used as basic motivational tools in the organization so that performance of the employees can be influenced in desirable way. So to be more successful organizations need attractive and fair compensation and reward systems to be paid to the workforce.




## A. Job Pricing

Job pricing means placing a dollar value on the worth of a job.

I. **Pay Grades**—The grouping of similar jobs together to simplify the job pricing process. Plotting jobs on a scatter diagram is often useful in determining the appropriate number of pay grades.

II. **Wage Curve**—The fitting of plotted points in order to create a smooth progression between pay grades.

III. **Pay Ranges**—Includes a minimum and maximum pay rate with enough variance between the two to allow some significant pay difference.

IV. **Broad Banding**—A technique that collapses many pay grades (salary grades) into a few wide bands in order to improve organizational effectiveness.

V. **Single-Rate System**—Pay ranges are not appropriate for some workplace conditions. When single rates are used, everyone in the same job receives the same base pay, regardless of seniority or productivity. This rate may correspond to the midpoint of a range determined by a compensation survey.

VI. **Adjusting Pay Rates**—when pay ranges have been determined and jobs assigned to pay grades, it may become obvious that some jobs are overpaid and others underpaid. Underpaid jobs normally are brought to the minimum of the pay range as soon as possible.

## B. Compensation: An Overview

i. **Compensation**—The total of all rewards provided employees in return for their services.
ii. **Direct Financial Compensation**—Consists of the pay that a person receives in the form of wages, salaries, bonuses, and commissions.
iii. **Indirect Financial Compensation**—All financial rewards that are not included in direct compensation.
iv. **Non-financial Compensation**—Consists of the satisfaction that a person receives from the job itself or from the psychological and/or physical environment in which the person works. All such rewards comprise a total compensation program.

### I. Equity in financial compensation :

Organizations must attract, motivate, and retain competent employees. Because achievement of these goals is largely accomplished through a firm's compensation system, organizations must strive for compensation equity.

a. **Equity**—Workers' perceptions that they are being treated fairly. Compensation must be fair to all parties concerned and be perceived as fair.

b. **External Equity**—Exists when a firm's employees are paid comparably to workers who perform similar jobs in other firms.

c. **Internal Equity**—Exists when employees are paid according to the relative value of their jobs within an organization.

d. **Employee Equity**—Exists when individuals performing similar jobs for the same firm are paid according to factors unique to the employee, such as performance level or seniority.

e. **Team Equity**—Achieved when more productive teams are rewarded more than less-productive teams.

### II. Determinants of individual financial compensation:

Compensation theory has never been able to provide a completely satisfactory answer to what an individual is worth for performing jobs.

- The Organization,
- The Labor Market,
- The Job, and
- The Employee

These all have an impact on job pricing and the ultimate determination of an individual's financial compensation.

a. **<u>The Organization as a Determinant of Financial Compensation:</u>**

- **Compensation Policies**—An organization often establishes—formally or informally—compensation policies that determine whether it will be a pay leader, a pay follower, or strive for an average position in the labor market.

1. **Pay Leaders**: Those organizations that pay higher wages and salaries than competing firms.
2. **Market Rate or Going Rate**: The average pay that most employers provide for the same job in a particular area or industry.
3. **Pay Followers**: Companies that choose to pay below the market rate because of poor financial condition or a belief that they simply do not require highly capable employees.

- **Organizational Politics**—Political considerations may also enter into the equation. A sound, objective compensation system can be destroyed by organizational politics. Managers should become aware of this possibility and take appropriate action.

- **Ability to Pay**—An organization's assessment of its ability to pay is also an important factor in determining pay levels. Financially successful firms tend to provide higher-than-average compensation. However, an organization's financial strength establishes only the upper limit of what it will pay.

b. **The labor market as a determinant of financial compensation:**

Potential employees located within the geographical area from which employees are recruited comprise the *labor market*.

- **Compensation Surveys**—Large organizations routinely conduct compensation surveys to determine prevailing pay rates within labor markets.

1. *Compensation surveys:* Provide information for establishing both direct and indirect compensation.

2. *Benchmark job:* A job that is well known in the company and industry, one that represents the entire job structure, and one in which a large percentage of the workforce is employed.

- **Cost of Living**—A pay increase must be roughly the equivalent to the cost of living increase if a person is to maintain a previous level of real wages.

- **Labor Unions**—When a union uses comparable pay as a standard for making compensation demands, the employer must obtain accurate labor market data. When a union emphasizes cost of living, management may be pressured to include a cost-of-living allowance (COLA). This is an escalator clause in the labor agreement that automatically increases wages as the U.S Bureau of Labor Statistics' cost-of-living index rises.

- **Society**—Compensation paid to employees often affects a firm's pricing of its goods and/or services. Consumers may also be interested in compensation decisions.

- **Economy**—In most cases, the cost of living will rise in an expanding economy. Thus, the economy's health exerts a major impact on pay decisions.

- **Legislation**—The amount of compensation a person receives can also be affected by certain federal and state legislation.

c. **The job as a determinant of financial compensation:**

Organizations pay for the value they attach to certain duties, responsibilities, and other job-related factors. Techniques used to determine a job's relative worth include job analysis, job descriptions, and job evaluation.

- **Job Analysis and Job Descriptions**—Before an organization can determine the relative difficulty or value of its jobs, it must first define their content, which it normally does by analyzing jobs. Job analysis is the systematic process of determining the skills and knowledge required for performing jobs. The job description is the primary by-product of job analysis, consisting of a written document that describes job duties and responsibilities. Job descriptions are used for many different purposes, including job evaluation.

- **Job Evaluation**—That part of a compensation system in which a firm determines the relative value of one job compared with that of another.

d. **The employee as a determinant of financial compensation:**

In addition to the organization, the labor market, and the job, factors related to the employee are also essential in determining pay and employee equity.

I. **Performance Based Pay**—PA data provide the input for such approaches as merit pay, variable pay, skill-based pay, and competency-based pay.

1. **Merit Pay**: A pay increase given to employees based on their level of performance as indicated in the appraisal.
2. **Bonus**: The most common type of variable pay for performance and is a one-time award that is not added to employees' base pay.
3. **Skill-based Pay**: A system that compensates employees on the basis of job-related skills and knowledge they possess, not for their job titles.
4. **Competency-Based Pay**: A compensation plan that rewards employees for their demonstrated expertise.

II. **Seniority**—The length of time an employee has been associated with the company, division, department, or job is referred to as *seniority*.

III. **Experience**—Regardless of the nature of the task, very few factors has a more significant impact on performance than experience.

IV. **Membership in the Organization**—Some components of individual financial compensation are given to employees without regard to the particular job they perform or their level of productivity.

V. **Potential**—Organizations do pay some individuals based on their potential.

e. **Political Influence—**Political influence is a factor that obviously should not be used as a determinant of financial compensation. However, to deny that it exists would be unrealistic**.**

f. **Luck—**The expression has often been stated, "It certainly helps to be in the right place at the right time." There is more than a little truth in this statement as it relates to the determination of a person's compensation.

g. **Special Employee Classes—**These include pay for executives, which are discussed in a later section, and pay for professionals and sales employees.

## III. Executive Compensation:

Executive skill largely determines whether a firm will prosper, survive, or fail. Therefore, providing adequate compensation for these managers is vital. A critical factor in attracting and retaining the best managers is a company's program for compensating executives.

a) **Determining Executive Compensation**—In determining executive compensation, firms typically prefer to relate salary growth for the highest-level managers to overall corporate performance. In general, the higher the managerial position, the greater the flexibility managers have in designing their jobs.

b) **Types of Executive Compensation**—Executive compensation often has five basic elements: (1) Base Salary, (2) Short-Term Incentives or Bonuses, (3) Long-Term Incentives and Capital Appreciation Plans, (4) Executive Benefits, and (5) Perquisites. The way an executive compensation package is designed is partially dependent on the ever-changing tax legislation.

- **Base Salary:** Salary is obviously important. It is a factor in determining standard of living. Salary also provides the basis for other forms of compensation.
- **Short-Term Incentives or bonuses:** Payment of bonuses reflects a managerial belief in their incentive value. Today, virtually all top executives receive bonuses that are tied to base salary.

- **Long-Term Incentives and Capital Appreciation:** The stock option is a long-term incentive designed to integrate further the interests of management with those of the organization. The typical *stock option plan* gives the manager the option to buy a specified amount of stock in the future at or below the current market price.
- **Executive Benefits:** Executive benefits are generally more generous than those received by other employees because the benefits are tied to their higher salaries. However, current legislation (ERISA) does restrict the value of executive benefits to a certain level above those of other workers.
- **Perquisites (Perks):** Any special benefits provided by a firm to a small group of key executives that are designed to give the executives something extra. A *"golden parachute"* contract is a perquisite that protects executives in the event that their firm is acquired by another.

### IV. Compensation for professionals:

People in professional jobs are initially compensated primarily for the knowledge they bring to the organization. Because of this, the administration of compensation programs for professionals is somewhat different than for managers. Many professional employees eventually become managers. For those who do not desire this form of career progression, some organizations have created a dual track of compensation. The dual track provides a separate pay structure for professionals, which may overlap a portion of the managerial pay structure.

### V. Sales Compensation:

Designing compensation programs for sales employees involves unique considerations. For example, job content, relative job worth, and job market value should be determined. The straight salary approach is at one extreme in sales compensation. In this method, salespersons receive a fixed salary regardless of their sales levels. At the other extreme, the person whose pay is totally determined as a percentage of sales is on straight commission. Between these extremes, there are endless part salary–part commission combinations. The possibilities increase when various types of bonuses are added to the basic compensation package. In addition to salary, commissions, and bonuses, salespersons often receive other forms of compensation that are intended to serve as added incentives.

## Role of Line managers and HRM Department in Compensation:

Line managers perform the function of job evaluation that is base for the compensation systems; according to the worth of the job negotiation regarding the salaries and other benefits is negotiated with potential employees through line mangers. Basic compensation packages are mostly recommended by the line managers in the organizations. All these information is communicated to the employees by HRM department beside communicating this information HRM department also facilitates the departments in establishing rates of pay, monitoring in job evaluation process, and Conducting salary surveys in order to establish procedures for administering pay plans, and to ensure compliance with antidiscrimination laws.

**Key Terms**

| | |
|---|---|
| **Merit Pay:** | A pay increase given to employees based on their level of performance as indicated in the appraisal. |
| **Equity:** | Workers' perceptions that they are being treated fairly. Compensation must be fair to all parties concerned and be perceived as fair |
| **External Equity:** | Exists when a firm's employees are paid comparably to workers who perform similar jobs in other firms. |
| **Internal Equity:** | Exists when employees are paid according to the relative value of their jobs within an organization. |
| **Compensation**: | The total of all rewards provided employees in return for their services. |
| **Job Pricing:** | Job pricing means placing a dollar value on the worth of a job. |

LESSON 29

**BENEFITS**

After studying this chapter, students should be able to understand the following:

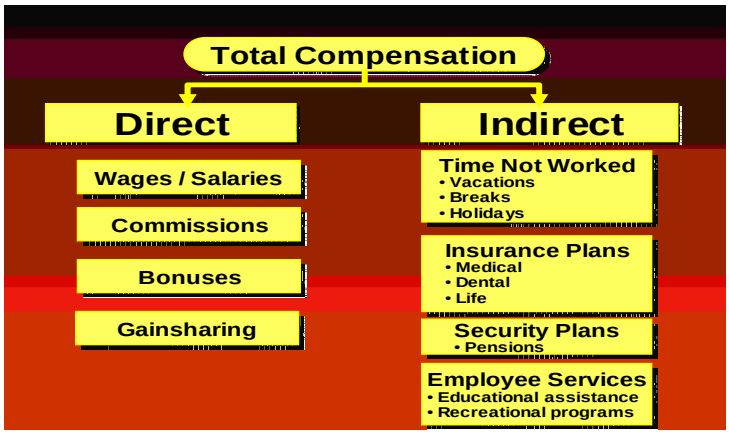
A. **Total Compensation**
B. **Employee Benefits**

**LESSON OVERVIEW**

We begin the chapter with a discussion of benefits, both mandated and voluntary. Then, legislation related to benefits and the proper communication of information about benefit packages is discussed. Next, we present various types of incentive compensation and describe non-financial compensation and the job as a total compensation factor.

## A. Total Compensation

Total compensation constitutes of two types of the rewards which are direct rewards and indirect rewards. Direct rewards include the salaries wages, commission, bonuses and gain sharing all of these rewards are directly paid to employees in monetary or financial terms, second type of the rewards are benefits provided by organization. Benefits are not direct payments in financial terms.




## B. Employee Benefits

Benefits are all financial rewards that generally are not paid directly to an employee. Benefits absorb social costs for health care and retirement and can influence employee decisions about employers.

### I. Benefits (Indirect Financial Compensation)

Most organizations recognize that they have a responsibility to provide their employees with insurance and other programs for their health, safety, security, and general welfare. These *benefits* include all financial rewards that generally are not paid directly to the employee.

### II. Mandated Benefits (Legally Required)

Although most employee benefits are provided at the employer's discretion, others are required by law. Legally required benefits include Social Security, unemployment compensation, and workers' compensation.

a) **Social Security**—It is a system of retirement benefits that provides benefits like disability insurance, survivor's benefits, and, most recently, Medicare.

b) **Unemployment Compensation**—An individual laid off by an organization covered by the Social Security Act may receive unemployment compensation for up to 26 weeks. Although the federal government provides certain guidelines, unemployment compensation programs are administered by the states, and the benefits vary state by state.

c) **Workers' Compensation**—Workers' compensation benefits provide a degree of financial protection for employees who incur expenses resulting from job-related accidents or illnesses.

d) **Family And Medical Leave Act Of 1993 (FMLA)**—The Family and Medical Leave Act applies to private employers with 50 or more employees and to all governmental employers regardless of the number of employees. The act provides for up to 12 workweeks of unpaid leave per year for absences due to the employee's own serious health condition or the need to care for a newborn or newly adopted child or a seriously ill child, parent, or spouse.

## III. Discretionary Benefits (Voluntary)

Organizations voluntarily provide numerous benefits. These benefits may be classified as (1) payment for time not worked, (2) health and security benefits, (3) employee services, and (4) premium pay. Generally speaking, such benefits are not legally required.

**a)** ***Payment For Time Not Worked***—In providing payment for time not worked, employers recognize that employees need time away from the job for many purposes, such as paid vacations, payment for holidays not worked, paid sick leave, jury duty, national guard or other military reserve duty, voting time, and bereavement time. Some payments are provided for time off taken during work hours, such as rest periods, coffee breaks, lunch periods, cleanup time, and travel time.

- Paid Vacations: Payment for time not worked serves important compensation goals. Paid vacations provide workers with an opportunity to rest, become rejuvenated, and hopefully, become more productive.
- Sick Leave: Each year many firms allocate, to each employee, a certain number of days of sick leave, which they can use when ill.

**b)** ***Health Benefits***—Health benefits are often included as part of an employee's indirect financial compensation. Specific areas include health, dental, and vision care.

- **Health care**: Benefits for health care represent the most expensive and fastest-growing cost in the area of indirect financial compensation. Many factors have combined to create this situation: an aging population, a growing demand for medical care, increasingly expensive medical technology, a lack of price controls, and inefficient administrative processes. In addition to self-insurance and traditional commercial insurers, employers may utilize one of several options. *Health maintenance organizations (HMOs)* are one option in which all services are covered for a fixed fee; however, employers control which doctors and health facilities may be used. *Point-of-service (POS)* permits a member to select a provider within the network, or, for a lower level of benefits, go outside the network. *Preferred provider organizations (PPOs)* are a more flexible managed care system. Although incentives are provided to members to use services within such a system, out-of-network providers may be utilized at greater cost. *Exclusive provider organizations (EPO)* offer a smaller PPO provider network and usually provide little, if any, benefits when an out-of-network provider is used.

- **Capitation**: Typically, the reimbursement method used by primary care physicians is an approach to health care where providers negotiate a rate for health care for a covered life over a period of time. It presumes that doctors have an incentive to keep patients healthy and to avoid costly procedures when they are paid per patient rather than per service.

- **Defined-Contribution** health care system: Companies give each employee a set amount of money annually with which to purchase health care coverage.

- **Utilization Review**: A process that scrutinizes medical diagnoses, hospitalization, surgery, and other medical treatment and care prescribed by doctors.

- **The Health Insurance Portability and Accountability Act of 1996**: Provides new protections for approximately 25 million Americans who move from one job to another, who are self-employed, or who have preexisting medical conditions.

- **Dental and Vision Care**: Relative newcomers to the list of potential health benefits. Both types of plans are typically paid for entirely by the employers.

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**c)** ***Security Benefits***—Security benefits include retirement plans, disability insurance, life insurance, and supplemental unemployment benefits.

- **Retirement Plans**: Private retirement plans provide income for employees who retire after reaching a certain age or having served the firm for a specific period of time. In a *defined benefit plan*, the employer agrees to provide a specific level of retirement income that is either a fixed dollar amount or a percentage of earnings. A *defined contribution plan* is a retirement plan that requires specific contributions by an employer to a retirement or savings fund established for the employee. A *401(k) plan* is a defined contribution plan in which employees may defer income up to a maximum amount allowed. An *employee stock ownership plan (ESOP)* is a defined contribution plan in which a firm makes a tax-deductible contribution of stock shares or cash to a trust.
- **Disability Protection**: Workers' compensation protects employees from job-related accidents and illnesses. Some firms, however, provide additional protection that is more comprehensive.
- **Supplemental Unemployment Benefits (SUB**): Supplemental unemployment benefits are designed to provide additional income for employees receiving unemployment benefits.
- **Life Insurance**: Group life insurance is a benefit commonly provided to protect the employee's family in the event of his or her death. Although the cost of group life insurance is relatively low, some plans call for the employee to pay part of the premium.

**d)** ***Employee Services***—Organizations offer a variety of benefits that can be termed employee services. These benefits encompass a number of areas including relocation benefits, child care, educational assistance, food services/ subsidized cafeterias, and financial services.

- **Relocation Benefits**: Include shipment of household goods and temporary living expenses, covering all or a portion of the real estate costs associated with buying a new home and selling the previously occupied home.
- **Child Care**: Another benefit offered by some firms is subsidized *child care*. Here, the firm may provide an on-site child care center, support an off-site center, or subsidize the costs of child care.
- **Educational Assistance**: According to a recent benefits survey, 81 percent have *educational* benefits that reimburse employees for college tuition and books.
- **Food Services/ Subsidized Cafeterias**: Most firms that offer free or subsidized lunches feel that they get a high payback in terms of employee relations.
- **Financial Services**: One *financial benefit* that is growing in popularity permits employees to purchase different types of insurance policies through payroll deduction.
- **Unique Benefits**: A tight labor market gives birth to creativity in providing benefits.

**e)** ***Premium Pay***—Compensation paid to employees for working long periods of time or working under dangerous or undesirable conditions.

- **Hazard pay**: Additional pay provided to employees who work under extremely dangerous conditions.
- **Shift differentials**: Paid to employees for the inconvenience of working undesirable hours.

**f)** ***Benefits for Part-Time Employees***—Recent studies indicate that employers are offering this group more benefits than ever. Growth in the number of part-timers is due to the aging of the workforce and also to an increased desire by more employees to balance their lives between work and home.

## IV. Other Benefit-Related Legislation

a) **Employee Retirement Income Security Act Of 1974 (ERISA)—**The Employee Retirement Income Security Act of 1974 (ERISA) was passed to strengthen existing and future retirement programs. Mismanagement of retirement funds was the primary factor in the need for this legislation.

b) **Older Workers Benefit Protection Act (OWBPA)—**The Older Workers Benefit Protection Act (OWBPA) is a 1990 amendment to the ADEA and extends its coverage to all employee benefits. The act has an *equal benefit or equal cost* principle.

## V. Communicating Information about the Benefits Package

Employee benefits can help a firm recruit and retain a quality workforce. Management depends on an upward flow of information from employees in order to know when benefit changes are needed, and, because employee awareness of benefits is often severely limited, the program information must be communicated downward.

## VI. Incentive Compensation

Compensation programs that relate pay to productivity.

a) **Individual Incentive Plans**—A specific form of performance-based pay is an individual incentive plan called *piecework*. In such a plan, employees are paid for each unit produced.

b) **Team-Based Compensation Plans**—Team performance consists of individual efforts. Therefore, individual employees should be recognized and rewarded for their contributions. However, if the team is to function effectively, a reward based on the overall team performance should be provided as well.

c) **Companywide Plans**—Companywide plans offer a feasible alternative to the incentive plans previously discussed. They may be based on the organization's productivity, cost savings, or profitability.

- **Profit Sharing**: A compensation plan that results in the distribution of a predetermined percentage of the firm's profits to employees. There are several variations, but the three basic forms are current, deferred, and combination. *Current plans* provide payment to employees in cash or stock as soon as profits have been determined. *Deferred plans* involve placing company contributions in an irrevocable trust to be credited to the account of individual employees. The funds are normally invested in securities and become available to the employee (or his/her survivors) at retirement, termination, or death. *Combination plans* permit employees to receive payment of part of their share of profits on a current basis, whereas payment of part of their share is deferred. Profit sharing tends to tie employees to the economic success of the firm.
- **Employee Stock Option Plan (ESOP**): A defined contribution plan in which a firm contributes stock shares to a trust.
- **Gain Sharing**: Plans that are designed to bind employees to the firm's performance by providing an incentive payment based on improved company performance. The first gain sharing plan was developed by Joseph Scanlon during the Great Depression, and it continues to be a successful approach to group incentive, especially in smaller firms.
- **Scanlon Plan**: Provides a financial reward to employees for savings in labor costs that result from their suggestions.

## VII. Non-financial Compensation

Compensation departments in organizations do not normally deal with non-financial factors. However, non-financial compensation can be a very powerful factor in the compensation equation.

## VIII. The job

Some jobs can be so exciting that the incumbent can hardly wait to get to work each day.

## IX. The Job as a Total Compensation Factor

The job itself is a central issue in many theories of motivation, and it is also a vital component of a total compensation program.

a) **Skill Variety**—The extent to which work requires a number of different activities for successful completion.
b) **Task Identity**—The extent to which the job includes an identifiable unit of work that is carried out from start to finish.
c) **Task Significance**—The impact that the job has on other people.
d) **Autonomy**—The extents of individual freedom and discretion employees have in performing their jobs.
e) **Feedback**—The amount of information employees receive about how well they have performed the job.
f) **Cyber-work**—A possibility of a never-ending workday created through the use of technology.

## X. The Job Environment as a Total Compensation Factor

Employees can draw satisfaction from their work through several non-financial factors.

a) **Sound Policies**—Human resource policies and practices reflecting management's concern for its employees can serve as positive rewards.

b) **Competent Employees**—Successful organizations emphasize continuous development and assure that competent managers and non-managers are employed.

c) **Congenial Coworkers**—Although the American culture has historically embraced individualism, most people possess, in varying degrees, a desire to be accepted by their work group.

d) **Appropriate Status Symbols**—Organizational rewards that take many forms such as office size and location, desk size and quality, private secretaries, floor covering, and title.

e) **Working Conditions**—The definition of *working conditions* has been broadened considerably during the past decade.

## XI. Workplace Flexibility

Flexible work arrangements do more than just assist new mothers' return to full-time work. They comprise an aspect of non-financial compensation that allows many families to manage a stressful work/home juggling act.

a) **Flextime**—The practice of permitting employees to choose, with certain limitations, their own working hours.

b) **Compressed Workweek**—Any arrangement of work hours that permits employees to fulfill their work obligation in fewer days than the typical five-day workweek.

c) **Job Sharing**—An approach to work that is attractive to people who want to work fewer than 40 hours per week.

d) **Flexible Compensation (Cafeteria Compensation**)—Plans that permit employees to choose from among many alternatives in deciding how their financial compensation will be allocated.

e) **Telecommuting**—Telecommuting is a work arrangement whereby employees are able to remain at home, or otherwise away from the office, and perform their work over telephone lines tied to a computer.

f) **Part-Time Work**—Use of part-time workers on a regular basis has begun to gain momentum in the United States. This approach adds many highly qualified individuals to the labor market by permitting both employment and family needs to be addressed.

g) **Modified Retirement**—An option that permits older employees to work fewer than regular hours for a certain period of time proceeding retirement. This option allows an employee to avoid an abrupt change in lifestyle and more gracefully move into retirement.

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## XII. Other Compensation Issues

Several issues that relate to compensation deserve mention. These issues include comparable worth, pay secrecy, and pay compression.

a) **Severance Pay**—Although some firms are trimming the amount of severance pay offered, typically, one to two weeks of severance pay is given for every year of service, up to some predetermined maximum. Severance pay is generally shaped according to the organizational level of the employee.

b) **Comparable Worth**—Requires the value for dissimilar jobs, such as company nurse and welder, to be compared under some form of job evaluation and pay rates for both jobs to be assigned according to their evaluated worth.

c) **Pay Secrecy**—Organizations tend to keep their pay rates secret for various reasons. If a firm's compensation plan is illogical, secrecy may indeed be appropriate because only a well-designed system can stand careful scrutiny. An open system would almost certainly require managers to explain the rationale for pay decisions to subordinates.

d) **Pay Compression**—Occurs when workers perceive that the pay differential between their pay and that of employees in jobs above or below them is too small.

### Key Terms

**Flextime:** The practice of permitting employees to choose, with certain limitations, their own working hours.

**Capitation**: Typically, the reimbursement method used by primary care physicians is an approach to health care where providers negotiate a rate for health care for a covered life over a period of time.

**Disability protection**: Workers' compensation protects employees from job-related accidents and illnesses. Some firms, however, provide additional protection that is more comprehensive.

**(ESOP):** A defined contribution plan in which a firm contributes stock shares to a trust.

**Gain sharing**: Plans that are designed to bind employees to the firm's performance by providing an incentive payment based on improved company performance

**Scanlon plan**: Provides a financial reward to employees for savings in labor costs that result from their suggestions.

**Telecommuting:** Telecommuting is a work arrangement whereby employees are able to remain at home, or otherwise away from the office, and perform their work over telephone lines tied to a computer.

**Autonomy:** The extent of individual freedom and discretion employees has in performing their jobs.

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LESSON 30

# ROLE OF MONEY IN PERFORMANCE OF EMPLOYEES

After studying this chapter, students should be able to understand the following:

**A. Explain Pay-for-Performance**
**B. Describe the Role of Money**

**LESSON OVERVIEW**
This chapter focuses on the effective design and implementation of pay-for-performance systems. First, it addresses the major challenges and pitfalls facing managers in their attempts to link pay and performance. Second, the chapter offers a set of general recommendations to deal with pay-for-performance challenges. Third, it describes and analyzes specific types of pay-for-performance programs. Finally, it discusses unique pay-for-performance plans.

## A. Pay-for-Performance

Pay for performance refers to any compensation method that ties pay to the quantity or quality of work the person produces. Variable pay plans are pay for performance plans that put a portion of the employee's pay at risk, in return for the opportunity to earn additional pay. Gain-sharing plans are group incentive plans that engage many or all employees in a common effort to achieve productivity goals. Stock options are rights to purchase company stock at a discount some time in the future.
A compensation philosophy of higher pays for higher contributions Performance will be calculated on - corporate performance and personal performance.

### I. Challenges of Pay-for-Performance System

**a) Pay for Performance: The Challenges**
This section covers the attitudes that employees have about pay, the difficulties in measuring performance, the psychological contract, lack of flexibility, the importance of credibility, job satisfaction, stress, and the potential reduction of intrinsic drives.

i. **The "Do Only What You Get Paid For" Syndrome:** The closer pay is tied to particular performance indicators, the more employees tend to focus on those indicators and neglect other important job components

ii. **Negative Effects on the Spirit of Cooperation:** Employees may withhold information from a colleague if they believe that it will help the other person get ahead

iii. **Lack of Control:** Employees often cannot control all of the factors affecting their performance

iv. **Difficulties in Measuring Performance:** Assessing employee performance is one of the thorniest tasks a manager faces, particularly when the assessments are used to dispense rewards

v. **Psychological Contracts:** Once implemented, a pay-for-performance system creates a psychological contract between the employee and firm, and it is very resistant to change

vi. **The Credibility Gap:** Employees often do not believe that pay-for-performance programs are fair or that they truly reward performance

vii. **Job Dissatisfaction and Stress:** Pay-for-performance systems may lead to greater productivity but lower job satisfaction

viii. **Potential Reduction of Intrinsic Drives:** Pay-for-performance systems may push employees to the point of doing whatever it takes to get the promised monetary reward and in the process stifle their talents and creativity

## II. Meeting the Challenges of Pay for Performance Systems:

Appropriately designed pay-for-performance systems offer managers an excellent opportunity to align employees' interests with the organizations. Pay for performance programs are not likely to achieve the desired results unless complementary HRM programs are implemented at the same time.

a) **Link Pay and Performance Appropriately:** There are few cases in which managers can justify paying workers according to a pre-established formula or measure.

b) **Use Pay for Performance as Part of a Broader HRM System:** Pay-for-performance programs are not likely to achieve the desired results unless complementary HRM programs accompany them.

c) **Build Employee Trust:** Even the best conceived pay-for-performance program can fail if managers have a poor history of labor relations or if the organization has a cutthroat culture

d) **Promote the Belief that Performance Makes a Difference:** Unless an organization creates an atmosphere in which performance makes a difference, it may end up with a low-achievement organizational culture

e) **Use Multiple Layers of Rewards:** Because all pay-for-performance systems have positive and negative features, providing different types of pay incentives for different work situations is likely to produce better results than relying on a single type of pay incentive

f) **Increase Employee Involvement:** When employees do not view a compensation program as legitimate, they will usually do whatever they can to subvert the system

g) **Use Motivation and Non-financial Incentives:** Some people are more interested in the non-financial aspects of their work

## III. Types of Pay-for-Performance Plans

When a pay-for-performance system has multiple layers, it can increase the motivation of individual employees and simultaneously improve cooperation. For example, bonuses given to teams or work units promote cooperation. Bonuses given to individual employees, however, are more motivating because they allow employees to see how their personal contributions lead to direct rewards. Since all pay-for-performance systems have positive and negative features, providing different types of pay incentives for different work situations is likely to produce better results than relying on a single type of pay incentive. With a multiple-layers-of-rewards system, the organization can realize the benefits of each incentive plan while minimizing its negative side effects. Types of pay-for-performance plans vary in design. Some are designed to reward individuals, teams, business units, the entire organization, or any combination of these.

### a. Individual-Based Plans

Individual-based plans are the most widely used pay-for-performance plans in industry. There are several plans that can be used: **merit pay**, **bonus programs**, and **awards**. Advantages of individual-based pay-for-performance plans include rewarded performance is likely to be repeated, financial incentives can shape an individual's goals, they help the firm achieve individual equity, and they fit in with an individualistic culture. Disadvantages include they may promote single-mindedness; employees do not believe pay and performance are linked, they may work against achieving quality goals, and they may promote inflexibility.

### b. Team-Based Plans

Team-based plans attempt to support other efforts to increase the flexibility of the work force within a firm. These plans normally reward all team members equally based on group outcomes. The advantages of team-based pay-for-performance plans include they foster group cohesiveness and they facilitate performance measurement. Disadvantages include possible lack of fit with individualistic cultural values, the free-riding effect, social pressures to limit performance, difficulties in identifying meaningful groups, and intergroup competition leading to a decline in overall performance.

c. **Plant wide Plans**

These plans reward all workers in a plant or business unit based on the performance of the entire plant or unit. Plant wide plans are generally referred to as **gain sharing** programs because they return a portion of the company's cost savings to the workers, usually in the form of a lump-sum bonus. There are three major types of gain sharing programs: Scanlon Plan, Rucker Plan, and the Improshare. Advantages include eliciting active employee input, increasing the level of cooperation, fewer measurement difficulties, and improving quality. Disadvantages include protection of low performers, problems with the criteria used to trigger rewards, and management-labor conflict.

d. **Corporate wide Plans**

This is the most macro type of incentive program and is based on the entire corporation's performance. The most widely used program of this kind is **profit sharing** which differs from gain sharing in several important ways: no attempt is made to reward workers for productivity improvements, they are very mechanistic, and typically they are used to fund retirement programs. **Employee stock ownership plans** are another type of corporate wide plan. Advantages of corporate wide plans are financial flexibility for the firm, increased employee commitment, and tax advantages. Disadvantages include risk for employees, limited effect on productivity, and long-run financial difficulties.

## IV. Designing Pay-For-Performance Plans for Executives and Salespeople

Executives and sales personnel are usually treated very differently than other types of workers in pay-for-performance plans. A number of plans are used to link executives' pay to a firm's performance, but there is little agreement on which is best. Sales professionals may be paid in the form of straight salary, straight commission, or a combination plan. The relative proportion of salary versus incentives varies widely across firms.

## V. Reasons for Pay-For-Performance Failures

Following factors are commonly blamed for the failure of individual-based pay-for-performance systems.

- Performance appraisal is inherently subjective, with supervisor's evaluating subordinates according to their own preconceived biases.
- Regardless of the appraisal form used, rating errors are rampant.
- Merit systems emphasize individuals rather than group goals and this may lead to dysfunctional conflict in the organization.
- The use of a specified time period (normally one year) for the performance evaluation encourages a short-term orientation at the expense of long-term goals.
- Supervisors and employees seldom agree on the evaluation, leading to interpersonal confrontations.
- Increments in financial rewards are spaced in such a way that their reinforcement value for work behavior is questionable for example becoming twice as productive now has little perceived effect on pay when the employee must rat a whole year for a performance review.
- Individual merit pay systems are not appropriate for the service sector.
- Supervisors typically control a rather limited amount of compensation, so merit pay differentials are normally quite small and therefore of questionable value.
- A number of bureaucratic factors hat influence the size and frequency of merit pay have little to do with employee performance.
- Performance appraisals are designed for multiple purposes (training and development, selection, work planning, compensation, and so forth.) When a system is used to accomplish so many objectives, it is questionable whether it can accomplish any of them well. It is difficult for the supervisor to play the role of counselor or advisor and evaluator at the same time.

## B. The Role of Money

Money can be used as a motivational tool in the organization because it is used as a source to fulfil different needs. It affects several needs, not just existence needs. Money is used to prove and enhance the identity id people it influences the self-perceptions.

**Improving Reward Effectiveness**
Effectiveness of the rewards can be improved by considering the following factors.

- Link rewards to performance
- Ensure rewards are relevant
- Use team rewards for interdependent jobs
- Ensure rewards are valued
- Beware of unintended consequences

### I. Money as a Motivator

According to Maslow and Alderfer, pay should prove especially motivational to people who have strong lower-level needs. If pay has this capacity to fulfill a variety of needs, then it should have good potential as a motivator.

### II. Why People Leave Organizations:

Mostly people leave the organizations or organizations have to face high turnover rate due to different reasons like employees are not satisfied with benefits provided or the recognition is not provided for extraordinary perfumers these causes should be overcome so that employee loyalty can be increased. Following ways can be used to avoid the high turnover of employees.

- **Use Recognition**

Some employees highly value day-to-day recognition from their supervisors, peers and team members because it is important for their work to be appreciated by others. Recognition helps satisfy the need people have to achieve and be recognized for their achievement.

- **Use Positive Reinforcement**

Positive reinforcement programs rely on operant conditioning principles to supply positive reinforcement and change behavior. Experts claim it is better to focus on improving desirable behaviors rather than on decreasing undesirable ones. There are a variety of consequences including social consequences (e.g., peer approval or praise from the boss), intrinsic consequences (e.g., the enjoyment the person gets from accomplishing challenging tasks), or tangible consequences (e.g., bonuses or merit raises).

- **Empower Employees**

Empowerment means giving employees the authority, tools, and information they need to do their jobs with greater autonomy, as well as the self-confidence to perform new jobs effectively. Empowerment boosts employees' feelings of self-efficacy and enables them to use their potential more fully.

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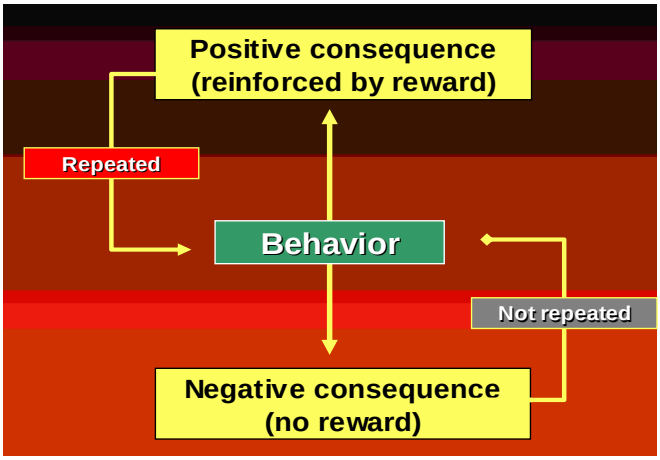
**Rewards and other Employee Behaviors**




Rewards can be used to modify the behaviors of the employees if people in the organization are not satisfied with the reward system or if they think that the reward system of the organization is not fair, than the organizations will be facing problems of low productivity, high absenteeism and high turnover and vice versa. When ever some one performs up to specific standards and some times beyond that , there us always exists demand and expectations of rewards and recognitions that will lead to continuous improvement but in the absence of recognition performance instead of improvement will be facing down fall trends which are definitely harmful for the organizations. Positive consequences (rewards) of actions (performance) are always tending actions to be repeated but in case any action (performance) is followed with the negative consequences (no rewards) than the behavior will jot be repeated as shown in fig.

## Key Terms

**Pay for Performance** Pay for performance refers to any compensation method that ties pay to the quantity or quality of work the person produces.

**Empowerment** Empowerment means giving employees the authority, tools, and information they need to do their jobs with greater autonomy

LESSON 31

# MOTIVATION

After studying this chapter, students should be able to understand the following:

A. **Explain Motivation**

**LESSON OVERVIEW**

The focus is on managing motivation and outcomes to boost performance, one of the most important roles of any manager. This chapter explores the elements of motivation and introduces the expectancy model, discussing individual, job-related, and organizational influences on motivation. In addition, the chapter investigates how managers can use opportunities and outcomes to manage employee performance on the job.

## A. Motivation

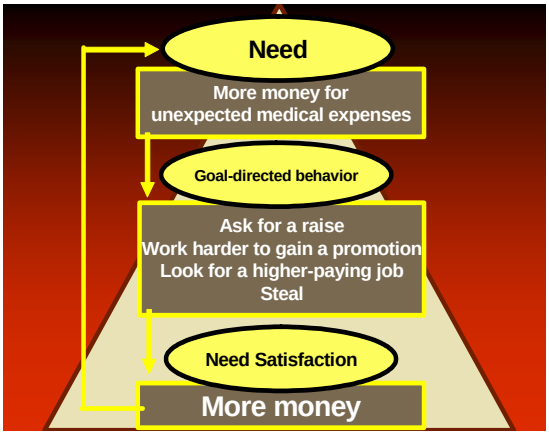
Motivation is the inner drive that directs a person's behavior toward goals. Motivation can be defined as a process which energizes, directs and sustains human behavior. In HRM the term refers to person's desire to do the best possible job or to exert the maximum effort to perform assigned tasks. An important feature of motivation is that it is behavior directed towards goal.

**Why is motivation important?**

Motivation is important in getting and retaining people. Motivation tools act as the glue that links individuals to organizational goals, In addition, make individuals go beyond the job and be creative.

### I. The Motivation Process

In its simplest form, the motivation process begins with a need; an individual's perception of a deficiency .For instance, an employee might feel the need for more challenging work, for higher pay, for time off, or for the respect and admiration of colleagues. These needs lead to thought processes that guide an employee's decision to satisfy them and to follow a particular course of action. If an employee's chosen course of action results in the anticipated out come and reward, that person is likely to be motivated by the prospect of a similar reward to act the same way in the future. However, if the employee's action does not result in the expected reward, he or she is unlikely to repeat the behavior. Thus, the reward acts as feedback mechanism to help the individual evaluate the consequences of the behavior when considering futures action.




## II. Core Phases of the Motivational Process:

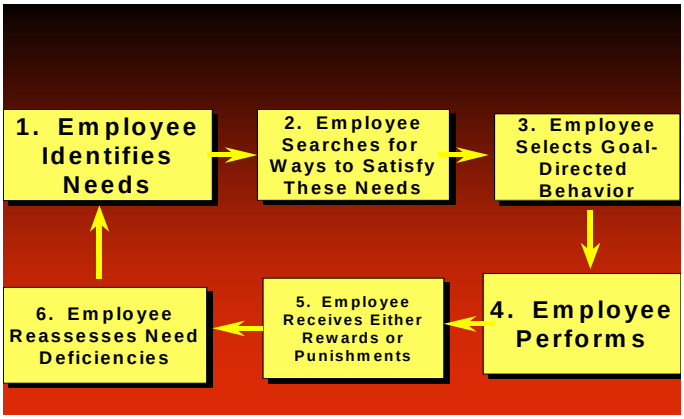
1. **Need Identification**: First phase of motivation process is need identification where the employee feels his/her some unsatisfied need. The motivation process begins with an unsatisfied need, which creates tension and drives an individual to search for goals that, if attained, will satisfy the need and reduce the tension.

2. **Searching Ways to satisfy needs:** Second phase is finding the different alternatives that can be used to satisfy the needs, which were felt in first stage. These needs lead to thought processes that guide an employee's decision to satisfy them and to follow a particular course of action

3. **Selecting Goals**: Once if the need is assessed and employee is able to find out the way to satisfy the need than next phase is selection of goals to be performed.

4. **Employee Performance:** These needs lead to thought processes that guide an employee's decision to satisfy them and to follow a particular course of action in form of performance.

5. **Consequences of performance Reward/punishments:** If an employee's chosen course of action results in the anticipated out come and reward, that person is likely to be motivated by the prospect of a similar reward to act the same way in the future. However, if the employee's action does not result in the expected reward, he or she is unlikely to repeat the behavior




6. **Reassessment of Need deficiencies:** Once felt need is satisfied through certain rewards in response to performance than employee reassesses any deficiencies and entire process is repeated again.

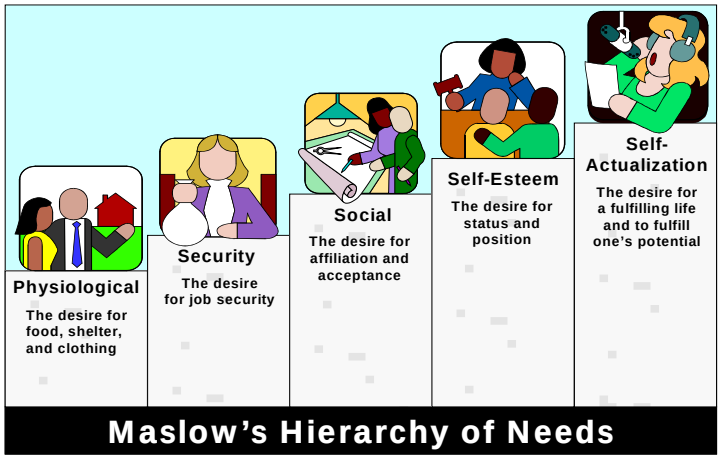
## III. Motivational Theories

Motivation theories seek to explain why employees are motivated by and satisfied with one type of work than another. It is essential that mangers have a basic understanding of work motivation because highly motivated employees are more likely to produce a superior quality product or service than employee who lack motivation

### a. Maslow's Need Hierarchy

Abraham Maslow organized five major types of human needs into a hierarchy, as shown in Figure. The need hierarchy illustrates Maslow's conception of people satisfying their needs in a specified order, from bottom to top. The needs, in ascending order, are:

1. ***Physiological*** (food, water, and shelter.)
2. ***Safety or security*** (protection against threat and deprivation)
3. ***Social*** (friendship, affection, belonging, and love)
4. ***Ego*** (independence, achievement, freedom, status, recognition, and self-esteem)
5. ***Self-actualization*** (realizing one's full potential; becoming everything one is capable of being.)




According to Maslow, people are motivated to satisfy the lower needs before they try to satisfy the higher need. Also, once a need is satisfied it is no longer a powerful motivator. Maslow's hierarchy, however, is a simplistic and not altogether accurate theory of human motivation. For example, not everyone progresses through the five needs in hierarchical order. But Maslow makes three important contributions. First, he identifies important need categories, which can help managers create effective positive rein forcers. Second, it is helpful to think of two general levels of needs, in which lower-level needs must be satisfied before higher-level needs become important. Third, Maslow sensitized managers to the importance of personal growth and self-actualization.

Self-actualization is the best-known concept arising from this theory. According to Maslow, the average person is only 10 percent self-actualized. In other words, most of us are living our lives and working at our lives and working at our jobs with a large untapped reservoir of potential. The implication is clear: Create a work environment that provides training, resources, gives people a chance to use their skills and abilities in creative ways and allows them to use their skills and abilities kin creative ways and allows them to achieve more of their full potential.

**b. Existence Relatedness Growth (ERG) Theory**

Alderfer focuses on three needs: existence, relatedness, and growth. Existence needs are similar to Maslow's physiological needs, and to the physical components of Maslow's security needs. Relatedness needs are those that require interpersonal interaction to satisfy the needs for things like prestige and esteem from others. Growth needs are similar to Maslow's needs for self-esteem and self-actualization.

**c. McGregor's Theory-X and Theory-Y**

McGregor's Theory-X represented the traditional management view that employees are lazy, was uninterested in work, and needed to be prodded to perform. In contrast his theory Y viewed employees as creative, complex, and mature individuals interested in meaningful work. McGregor believed that under the right circumstances, employees would willingly contribute their ingenuity and their talents for the benefits of the organization. He suggested that the mangers motivate em-0loyees by giving them the opportunity to develop their talents more fully and by giving them the freedom to choose the methods they would use to achieve organizational goals. In McGregor's view the mangers role was not to manipulate employees but to align their needs with needs of the organization so that employees would regulate their own actions and performance. These insights lead researches to investigate the origins and processes of motivation more closely.

**d. Expectancy Theory**

Expectancy theory states that a person's motivation to exert a certain level of effort is a function of three things: expectancy (E), instrumentality (I), and valance (V). Motivation = E x I x V. "E" is the person's expectancy that his or her effort will lead to performance, "I" represents the perceived relationship between successful performance and obtaining the reward, and "V" refers to the perceived value the person attaches to the reward.

**e. Reinforcement Theory**

In 1911, psychologist Edward Thorndike formulated the law effect: Behavior that is followed by positive consequences probably will be repeated. This powerful law of behavior laid the foundation for country investigations into the effects of the positive consequences, called rein forcers that motivate behavior. Organizational behavior modification attempts to people's actions.

Four key consequences of behavior either encourage or discourage people's behavior

1. **Positive Reinforcement**- applying a valued consequence that increases the likelihood that the person will repeat the behavior that led to it. Examples of positive reinforces include compliments, letters of commendation, favorable performance evaluations, and pay raises. Equally important, jobs can be positively reinforcing. Performing well on interesting, challenging, or enriched jobs (discussed later in this chapter) is much more reinforcing, and therefore motivating, then performing well on jobs that are routine and monotonous.

2. **Negative Reinforcement**- removing or withholding an undesirable consequence. For example, a manager takes an employee (or a school takes a student) off probation because of improved performance. Frequent threatening memos admonished people to achieve every one of their many performance goals

3. **Punishment**- administering an aversive consequence. Examples include criticizing or shouting at an employee, assigning an unappealing task, and sending a worker home without pay. Negative reinforcement can involve the threat of punishment, but not delivering it when employees perform satisfactorily. Punishment is the actual delivery of the aversive consequence.

4. **Extinction** –withdrawing or failing or failing to provide a reinforcing consequence. When this occurs motivation is reduced and the behavior is extinguished, or eliminated. Examples include not giving a compliment for a job well done, forgetting to say thanks for a favor, or setting impossible performance goals so that the person never experiences success. The first two consequences, positive and negative reinforcement, are positive for the person receiving them: The person either gains something or avoids something negative. Therefore, the person who experiences these consequences will be motivated to behave in the ways that led to the reinforcement. The last two consequences, punishment and extinction, are negative outcomes for the person receiving them: Motivation to repeat the behavior that led to the undesirable results will be reduced.

Thus, effective managers give positive reinforcement to their high-performing people and negative reinforcement to low performance. They also punish or extinguish poor performance and other unwanted behavior.

**f. Herzberg's Two-Factor Approach**

Herzberg Two-Factor theory divides Maslow's Hierarchy into a lower-level and a higher-level set of needs, and suggests that the best way to provide motivation for an employee is to offer to satisfy the person's higher-order needs, ego and self-actualization. Herzberg said that lower-order needs, or hygiene factors, are different from higher-order needs, or motivators. He maintains that adding more hygiene factors to the job is a very bad way to motivate because lower-order needs are quickly satisfied.

**g. McClelland (Needs for Affiliation, Power, and Achievement) Theory**

McClelland agrees with Herzberg that higher-level needs are most important at work. He believes the needs for affiliation, power, and achievement are most important. He and his associates use the Thematic Apperception Test to identify a person's needs for achievement, power, and affiliation. People with a high need for achievement strive for success, are highly motivated to accomplish a challenging task or goal, prefer tasks that have a reasonable chance for success, and avoid tasks that are either too easy or too difficult. People with a high need for power enjoy roles requiring persuasion. People with a strong need for affiliations are highly motivated to maintain strong, warm relationships.

**h. Adam's Equity Theory**

Adams's equity theory assumes that people have a need for fairness at work, and therefore, value and seek it. People are motivated to maintain a balance between what they perceive as their inputs or contributions and their rewards as compared to others. This theory seems to work when people feel they are underpaid, but inequity due to overpayment does not seem to have the positive effects on either quantity or quality that Adams's equity theory would predict.

## IV. Methods for Motivating Employees for Employee Satisfaction

a. **Rewards:** People behave in ways that they believe are in their best interest, they constantly look for payoffs for their efforts. They expect good job performance to lead to organizational goal attainment, which in turn leads to satisfying their individual goals or needs. Organization, then, use rewards to motivate people.

b. **Challenging Jobs:** Job design refers to the number and nature of activities in a job. The key issue is whether jobs should be more specialized or more enriched and non-routine. Job design has been implemented in several ways. Job enlargement assigns workers to additional same-level tasks to increase the number of tasks they have to perform. Job rotation systematically moves workers from job to job. Job enrichment means building motivators like opportunities for achievement into the job by making it more interesting and challenging. Forming natural work groups, combining tasks, establishing client relationships, vertically loading the job, and having open feedback channels may implement Job enrichment.

c. **Using Merit Pay:** A merit raise is a salary increase, usually permanent, that is based on the employee's individual performance. It is a continuing increment rather than a single payment like a bonus. Relying heavily on merit rewards can be a problem because the reinforcement benefits of merit pay is usually only determined once per year.

d. **Using Spot Awards:** A spot award is one given to an employee as soon as the laudable performance is observed. These awards are consistent with principles of motivation because they are contingent on good performance and are awarded immediately.

e. **Using Skill-Based Pay:** With skill-based pay, employees are paid for the range, depth, and types of skills and knowledge they are capable of using rather than for the job they currently hold. Skill-based pay is consistent with motivation theory because people have a self-concept in which they seek to fulfill their potential. The system also appeals to the employee's sense of self-efficacy because the reward is a formal and concrete recognition that the person can do the more challenging job well.

f. **Using Recognition:** Some employees highly value day-to-day recognition from their supervisors, peers and team members because it is important for their work to be appreciated by others. Recognition helps satisfy the need people have to achieve and be recognized for their achievement.

g. **Using Job Redesign:** Job design refers to the number and nature of activities in a job. The key issue is whether jobs should be more specialized or more enriched and non-routine. Job design has been implemented in several ways. Job enlargement assigns workers to additional same-level tasks to increase the number of tasks they have to perform. Job rotation systematically moves workers from job to job. Job enrichment means building motivators like opportunities for achievement into the job by making it more interesting and challenging. Job enrichment may be implemented by forming natural work groups, combining tasks, establishing client relationships, vertically loading the job, and having open feedback channels.
h. **Using Empowerment:** Empowerment means giving employees the authority, tools, and information they need to do their jobs with greater autonomy, as well as the self-confidence to perform new jobs effectively. Empowerment boosts employees' feelings of self-efficacy and enables them to use their potential more fully.
i. **Using Goal-Setting Methods:** People are strongly motivated to achieve goals they consciously set. Setting goals with employees can be a very effective way of motivating them. Goals should be clear and specific, measurable and verifiable, challenging but realistic, and set with participation.
j. **Using Positive Reinforcement:** Positive reinforcement programs rely on operant conditioning principles to supply positive reinforcement and change behavior. Experts claim it is better to focus on improving desirable behaviors rather than on decreasing undesirable ones. There are a variety of consequences including social consequences (e.g., peer approval or praise from the boss), intrinsic consequences (e.g., the enjoyment the person gets from accomplishing challenging tasks), or tangible consequences (e.g., bonuses or merit raises).
k. **Using Lifelong Learning:** Lifelong learning can be used to deal with problems of downsizing and employee commitment, and to counterbalance their negative effects. It provides extensive continuing training and education, from basic remedial skills to advanced decision-making techniques, throughout the employees' careers, which provide employees the opportunity to boost their self-efficacy and self-actualization.

## V. Challenges of motivating employees:

Motivation is not a simple subject; no two people respond to precisely the same set of motivators. Mangers face several pressing issues that complicate the challenges of motivating their employees.

a. **Workforce Diversity:** the composition of the workforce becoming less homogeneous. This diversity complicates the task of motivating employees because mangers must consider so many more motivational variables

b. **Organizational Restructuring:** The wave of mergers and acquisitions is followed by massive layoffs that represent another challenge. Employees who have been let go for reason unrelated to their performance may question whether initiative and creativity are now less important than political survival skills. Moreover, employees who have seen colleagues' loss their jobs may concentrate on keeping their own jobs and may stop taking risks –risk that might lead to new products, new markets, or other advances.

c. **Fewer Entry-level Employees:** The labor force is growing at half the rate of the previous decade; the number of qualified candidates for most entry-level positions is decreasing. In such a tight labor market, mangers face new challenges in attracting; retaining and motivating qualified entry-level employees. Managers must also determine how to motivate under qualified candidates to upgrade their skills and education so that they can handle the entry-level tasks.

d. **An oversupply of managers:** In the middle and top ranks of management, quite different phenomenon is causing organizational headaches. The number of senior management positions is far fewer than the number of deserving candidates, and the trend toward flatter organizations only makes matters worse for people who want to climb the hierarchal ladder.

As managers in organizations come to grips with these increasingly urgent challenges, they must understate the forces that derive employees' actions, how employees channel their actions towards goals, and how high performance behavior can be sustained.

## Key Terms

| | |
|---|---|
| **Extinction** | Withdrawing or failing or failing to provide a reinforcing consequence. |
| **Punishment** | Administering an aversive consequence. |
| **Positive Reinforcement** | Applying a valued consequence that increases the likelihood that the person will repeat the behavior that led to it. |
| **Motivation** | Motivation is the inner drive that directs a person's behavior toward goals. |

LESSON 32

**OCCUPATION, HEALTH & SAFETY**

After studying this chapter, students should be able to understand the following:

**A. Explain Elements of Workplace Safety and Health**

**LESSON OVERVIEW**

We begin this chapter by describing the nature and role of safety and health and provide an overview of the Occupational Safety and Health Act. Organizations realize the importance of social responsibility and that safe organizations are more effective organizations. Moreover, the law requires that the workplace be safe and free of health hazards. Thus, many firms seek to provide a workplace environment that is safe and healthy. This chapter presents workplace safety and health in detail. First, it deals with the legal issues of workplace safety and health. Second, it presents a variety of contemporary safety and health issues. Finally, the chapter evaluates programs designed to maintain employee safety and health.

## A. Elements of Workplace Safety and Health

**Safety**: Involves protecting employees from injuries due to work-related accidents.

**Health**: Refers to the employees' freedom from physical or emotional illness.

Safety programs may be designed to accomplish their purposes in two primary ways. The first approach is to create a psychological environment and attitudes that promote safety. A strong company policy emphasizing safety and health is crucial. The second approach to safety program design is to develop and maintain a safe physical working environment.

- **Physical Conditions:** Conditions resulting from the workplace environment that include occupational diseases and accidents, such as:
    - Repetitive motion injuries
    - Back pain
    - Cancer Etc.
- **Psychological Conditions:** Conditions resulting from the workplace environment that result from organizational stress and low quality of working life. These include**:**
    - Dissatisfaction, withdrawal
    - Mistrust in others, irritability

### I. Safety Programs

Today, it has become clear that optimal health can generally be achieved through environmental safety, organizational changes, and different lifestyles.

a. **Developing Safety Programs**—Organizational safety programs require planning for prevention of workplace accidents. Plans may be relatively simple or more complex and highly sophisticated in order to fit the organization's size. Top management's support is essential if safety programs are to be effective. Tremendous economic losses can result from accidents.

1. **Job hazard analysis**: The main goal of safety and health professionals is to prevent job-related injuries and illnesses.

2. **The Superfund Amendments Reauthorization Act, Title III (SARA)**: SARA requires businesses to communicate more openly about the hazards associated with the materials they use and produce and the wastes they generate.

3. **Employee involvement**: One way to strengthen a safety program is to include employee input, which provides workers with a sense of accomplishment.

b. **Accident Investigation—**Accidents can happen even in the most safety-conscious firms. Each accident, whether or not it results in an injury, should be carefully evaluated to determine its cause and to ensure that it doesn't recur. The safety engineer and the line manager jointly investigate accidents—why, how, and where they occur and who is involved. Main causes that can create accidents at workplace are:

- Chance occurrences
- Unsafe working conditions
- Unsafe acts by employees
- Unsafe conditions
    - Physical conditions
        - Defective Equipment
        - Inadequate Machine Guards
        - Lack of Protective Equipment
    - Environmental conditions
        - Noise
        - Dust, Fumes
        - Stress
        - Unsafe behaviors

c. **Evaluation of Safety Programs**—Perhaps the best indicator that a safety program is succeeding is a reduction in the frequency and severity of injuries and illnesses.

d. **Rationale for Safety and Health Trends—**Firms are spending an increasing amount of money on safety. Reasons include; (1) profitability—employees can produce only while they are on the job, (2) employee relations—firms with good safety records can attract and retain good employees, (3) reduced liability—an effective safety program can reduce corporate and executive liability, (4) marketing—a good safety record may well provide companies with a competitive edge, and productivity—(5) an effective safety program may boost morale and productivity while simultaneously reducing rising costs.

## II. Ways to manage Safe and Healthy environment in organization

To cope with physical hazards and other hazards such as stress, unsafe behavior, and poor health habits, employers often design comprehensive safety and health programs. Among these are safety programs, employee assistance programs, and wellness programs.

### a. Safety Programs

A safe working environment does not just happen; it has to be created. The organizations with the best reputations for safety have developed well-planned and thorough safety programs.

### b. Employee Assistance Programs (EAPs)

EAPs are programs designed to help employees whose job performance is suffering because of physical, mental, or emotional problems.

### c. Wellness Programs

As health care costs have skyrocketed over the last two decades, organizations have become more interested in preventative programs. A complete wellness program has three components:

- It helps employees identify potential health risks through screening and testing.
- It educates employees about health risks such as high blood pressure, smoking, poor diet, and stress.
- It encourages employees to change their lifestyles through exercise, good nutrition, and health monitoring.

**d. Smoking in The work place**

Numerous studies have concluded that workplace smoking not only is hazardous to employees' health, but also is detrimental to the firm's financial health. Increased costs of insurance premiums, higher absenteeism, and lost productivity cost huge amount a year. These factors, along with rising opposition from nonsmokers and widespread local and state laws, have spurred many firms into action, and the trend continues.

- The rewards of good health habits

**Effective safety programs share the following features:**

- They include the formation of safety committee and participation by all departments within the company. Employees participate in safety decision and management carefully considers employee suggestions for improving safety.
- They communicate safety with a multimedia approach that includes safety lectures, films, poster, pamphlets, and computer presentations.
- They use incentives, rewards, and positive reinforcement to encourage safe behavior.
- They communicate safety rules and enforce them.
- They use safety directors and/or the safety committee to engage in regular self-inspection and accident research to identify potentially dangerous situations, and to understand why accidents occur and how to correct them.

## III. Policies to prevent workplace violence

Every organization should have a two-pronged policy in place to (a) prevent workplace violence and (b) to deal with violent incidents when they occur. An HR manager's major responsibility is to be certain that selection policies include careful screening and reference checking. Furthermore, the HR manager should take the lead to enforce policies pertaining to the fair treatment of employees. This may require training managers to recognize performance problems, refer troubled employees for counseling, and apply disciplinary procedures consistently.

## IV. Cumulative Trauma Disorders

CTDs are also called repetitive stress (or motion or strain) injuries (or illnesses or syndromes). CTDs do not refer to only one disorder but to a wide array of maladies ranging from carpal tunnel syndrome to tennis elbow. The number of workers with CTDs has risen dramatically in recent years.

## V. Benefits of a Safe and Healthy Workforce

- More productivity
- Increased efficiency and quality
- Reduced medical and insurance costs
- Lower workers' compensation rates and payments
- Greater workforce flexibility

## VI. The HRM Department and Employee Safety and Health

HRM department can help organizations and employers by performing tasks like:

- Develop safety and health programs.
- Select safety and health programs.
- Evaluate safety and health programs.
- Ensure legal compliance.
- Incorporate safety and health concerns in HRM practices.

**Key Terms**

**Safety** Involves protecting employees from injuries due to work-related accidents.

**Health** Refers to the employees' freedom from physical or emotional illness.

**LECTURE 33**

**STRESS MANAGEMENT**

After studying this chapter, students should be able to understand the following:

**A. Explain Stress**

**LESSON OVERVIEW**
We will discuss the concept of stress in this chapter we will see either stress is positive or negative in nature. Further we will see different sources that can create stress at workplace and programs that can be used to manage the stress.

## A. Stress

*Stress* is the body's nonspecific reaction to any demand made on it. For various reasons, programs dealing with stress and its related problems are becoming increasingly popular. Long-term productivity depends largely on the dedication and commitment of the company's employees. Employees are increasingly holding their employers liable for emotional problems they claim are work related. And, stress-related mental disorders have become the fastest-growing occupational disease. There is increasing evidence indicating that severe, prolonged stress is related to the diseases that are leading causes of death—coronary heart disease, stroke, hypertension, cancer, emphysema, diabetes, and cirrhosis; stress may even lead to suicide. Some signs that may indicate problems include impaired judgment and effectiveness, rigid behavior, medical problems, increased irritability, excessive absences, emerging addictive behaviors, lowered self-esteem, and apathetic behavior.

### Sources of Stress

Regardless of its origin, stress possesses the same devastating potential. Some factors are controllable to varying degrees, whereas others are not.

**Stressor**

The person or event that triggers the stress response, it can be organizational, personal or environmental factor that can become the source of stress.

**Organizational Factors**—Many factors associated with a person's employment can be potentially stressful. These include the firm's culture, the individual's job, and general working conditions.

**Personal Factors**—Stress factors outside the job and job environment also may affect job performance. Factors in this category include the family, financial problems, and living conditions.

**The General Environment**—Stress is a part of everyone's everyday life and its potential lurks not only in the workplace and the home but also in our general environment. The three-hour commute in rush traffic, the unrelenting rain, the oppressive heat, or chilling cold can all create stress. Excessive noise, wherever it is encountered, can drive some people up the wall.

### Symptoms of Stress:

Stress can express following four types of the symptoms:

**Short-term physical symptoms:** Short-term physical symptoms include; faster heart beat, increased sweating, cool skin Cold hands and feet Feelings of nausea, or 'Butterflies in stomach' Rapid Breathing, Tense Muscles, dry Mouth, desire to urinate, diarrhea

**Long-term physical symptoms:** Change in appetite frequent colds illnesses (such as asthma Back pain digestive problems headaches aches and pains) feelings of intense and long-term tiredness, Risk factors (Heart attacks and strokes Hypertension and headaches Ulcers Allergies)

**Internal symptoms:** Internal symptoms include Worry or anxiety, Confusion, and an inability to concentrate or make decisions, Feeling ill, Feeling out of control or overwhelmed by events, Mood changes, Depression, Frustration, Helplessness, Restlessness, Being more lethargic, Difficulty sleeping, drinking more alcohol and smoking more, Changing eating habits, relying more on medication.

**Behavioral symptoms:** Behavioral Symptoms include, talking too fast or, too loud Bad moods being irritable Defensiveness Being critical Aggression, Irrationality, Overreaction and reacting emotionally Reduced personal effectiveness Being unreasonably negative Making less realistic judgments Being unable to concentrate and having difficulty making decisions being more forgetful Making more mistakes being more accident-prone Changing work habits Increased absenteeism Neglect of personal appearance

**Outcomes of Organization due to stress:** Continuous stress in working environment results in some problem in organizational operations like poorer decision-making, decreased creativity, lost work time, Increased turnover and more sabotage.

### Stress & Job Performance

Stress can affect the performance in positive as well as negative ways. Stress is a dynamic condition in which an individual is confronted with an opportunity, constraints or demand related to what he or she desires, and for which the outcome is perceived to be both uncertain and important. Stress is a complex issue, so let's look at it more closely. Stress can manifest itself both in positive and negative way. Stress is said to be positive when the situation offers an opportunity for one to gain something; for example, the "psyching- up" that an athlete goes through can be stressful, but this can lead to maximum performance. It is when constraints or demands are placed on us that stress can become negative. Constraints are barriers that keep us from doing what we desire. Demands, on the other hand, may cause you to give up something. Demands are desires that are backed by the purchasing power or affordability.

## Managing Stress

Experts emphasize that some stress is healthy and moderate stress is the key to survival.

a. **INDIVIDUAL COPING APPROACHES**—There are a number of ways, that individuals may take to control excessive stress. There are several specific techniques that individuals can utilize to deal with stress. These methods include hypnosis, biofeedback, and transcendental meditation.

- **Hypnosis**: An altered state of consciousness that is artificially induced and characterized by increased receptiveness to suggestions.

- **Biofeedback:** A method that can be used to control involuntary bodily processes, such as blood pressure or heart beat rate.

- **Transcendental meditation (TM):** A stress-reduction technique whereby a secret word or phrase (mantra) provided by a trained instructor is mentally repeated while an individual is comfortably seated.

b. **ORGANIZATIONAL COPING APPROACHES—**A number of programs and techniques may effectively prevent or relieve excessive stress. General organizational programs, although not specifically designed to cope with stress, may nevertheless play a major role.

## Key Terms

| | |
|---|---|
| **Safety** | Involves protecting employees from injuries due to work-related accidents. |
| **Health** | Refers to the employees' freedom from physical or emotional illness. |
| **Stress** | Stress is the body's nonspecific reaction to any demand made on it. |
| **Burnout** | The total depletion of physical and mental resources caused by excessive striving to reach an unrealistic work-related goal. |
| **Hypnosis** | An altered state of consciousness that is artificially induced and characterized by increased receptiveness to suggestions. |
| **Constraints** | Constraints are barriers that keep us from doing what we desire. |
| **Demands** | Desires that are backed by the purchasing power or affordability. |
| **Biofeedback** | A method of learning to control involuntary bodily processes, such as blood pressure or heart rate. |
| **Transcendental Meditation** | A stress-reduction technique in which an individual, comfortably seated, mentally repeats a secret word or phrase provided by a trained instructor. |

LESSON 34

## COMMUNICATION IN ORGANIZATION

After studying this chapter, students should be able to understand the following:

A. **Explain Burnout**
B. **Describe Communication in Organization**

**LESSON OVERVIEW**
This chapter also presents a model of how communication works. Moreover, it explores specific policies that give employees access to important company information as well as those which provide feedback to top managers.

# A. Burnout

Burnout is a pattern of emotional, physical, and mental exhaustion in response to chronic job stressors. It is an incapacitating condition in which individuals lose a sense of the basic purpose and fulfillment of their work
Burnout has been described as a state of fatigue or frustration that stems from devotion to a cause, way of life, or relationship that did not provide the expected reward. It is often found in a midlife or mid-career crisis, but it can happen at different times to different people. Individuals in the helping professions such as teachers and counselors seem to be susceptible to burnout, whereas others may be vulnerable because of their upbringing, expectations, or their personalities. Burnout is frequently associated with people whose jobs require close relationships with others under stressful and tension-filled conditions. The dangerous part of burnout is that it is contagious. A highly cynical and pessimistic burnout victim can quickly transform an entire group into burnouts. It is important to deal with it quickly; once it has begun, it is difficult to stop.

## I. Symptoms of Burn-Out

Following symptoms indicate that a person is suffering through burnout

- A feeling of lack-of-control over commitments
- A belief (incorrect) that you are accomplishing less
- A growing tendency to think negatively
- Loss of a sense of purpose and energy
- Increased detachment from relationships

## II. Avoiding Burn-Out

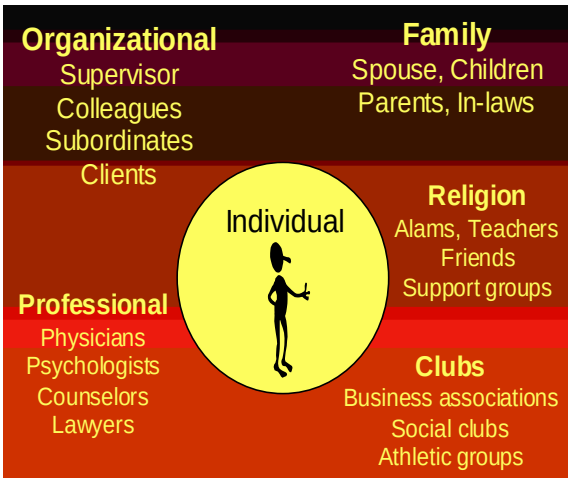
Burnout can be avoided by taking the following steps

- Re-evaluate goals
- Reduce unnecessary commitments
- Learn stress management skills
- Find out where the stress is coming from (family, job, etc.)
- Follow a healthy lifestyle
- Get adequate rest
- Eat a balanced diet
- Get regular exercise
- Limit caffeine and alcohol
- Develop other interests (hobbies)
- Acknowledge your humanity--you have a right to pleasure and relaxation

**Social Support at Work & Home:**
Social support at home by friends family members and at workplace by supervisor, colleagues subordinates etc can be used to avoid the burnout in the organizations.

## B. Communication in organization

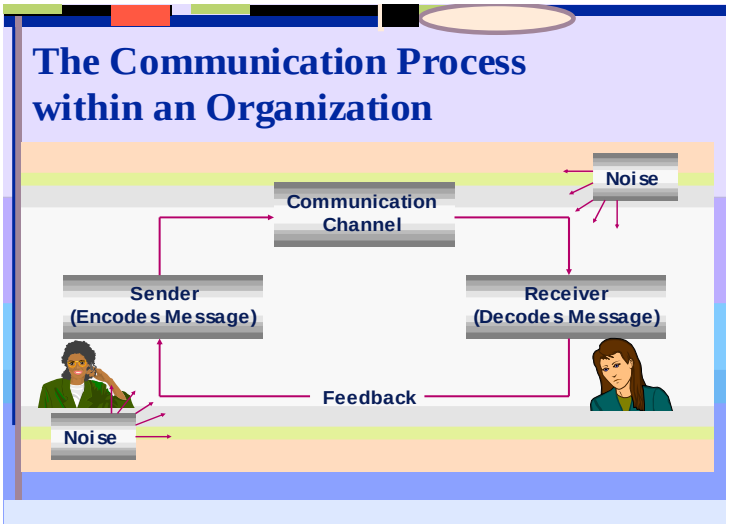
The transmission of information and understanding through the use of common symbols is termed as communication. Communication is the exchange of information between people; it occurs when one person understands the meaning of a message sent by another person, and responds to it. Two forms of information are sent and received in communications: facts and feelings. *Facts* are pieces of information that can be objectively measured or described. Examples are the cost of a computer, the daily defect rate in a manufacturing plant, and the size of the deductible payment of the company-sponsored health insurance policy. *Feelings* are employees' emotional responses to the decisions made or actions taken by managers or other employees. Organizations need to design communication channels that allow employees to communicate facts and feelings about specific aspects of their jobs.




### I. The Communication Process

Communication, a continuous process, is the exchange of information and meaning between people. It occurs when one person understands and responds to the meaning of a message sent by someone else. The communication process includes five main components: the information source, the signal, the transmission, the destination or receiver, and the noise.

Communication starts with a sender who has a message to send to the receiver. The sender must encode the message and select a communication channel that will deliver it to the receiver. In communicating facts, the message may be encoded with words, numbers, or digital symbols; in communicating feelings, it may be encoded as body language or tone of voice.




Communications that provide for feedback are called two-way communications because they allow the sender and receiver to interact with each other. Communications that provide no opportunity for feedback are one-way. Noise means barriers to effective Communication. Potential barriers include: ambiguous, muddled messages; semantics; physical barriers; loss of transmission; failing to communicate; competition barriers; cultural, linguistic, and diversity barriers; and not listening.

### II. Nonverbal Communication

Nonverbal communication is the non-spoken aspects of communication, such as a person's manner of speaking, facial expressions, or body posture, that express meaning to others. The nonverbal aspects of communication can especially complicate the task of communicating internationally. Nonverbal communication is communication that is sent without the use of the written or spoken word. This type of communication is quite powerful because people can communicate without speaking through the use of facial expression, body posture, tone of voice, use of space, and touching. Occulesics are facial expressions and eye contact that people use to communicate. Kinesics is the study of bodies through posture, gesture, head movements, and similar actions. Use of and reaction to facial expressions and body movement vary from culture to culture.

## III. Barriers to Effective Communication and ways to remove these barriers

The complex factors in the communication pose barriers to effective communication.
*Individual barriers* include perceptual biases, which function as noise by affecting how the receiver gathers, organizes, and interprets information.
*Organizational barriers* to effective communication include organizational culture and structure, status differences, and time.
*Active listening* is a good way to minimize both individual and organizational barriers to effective communication. In active listening, the receiver assumes a conscious and dynamic role in the communication process through a variety of behaviors and actions. Both the sender and the message are targets for the active listener. Cultural differences can influence active listening.

*Feedback* is information about some behavior and its effect. Managers need to provide feedback to employees about their job performance; they also give feedback to suppliers and customers about various matters. Managers often have difficulty giving negative feedback—just as employees tend to stop actively listening to negative feedback. Therefore, effective feedback should be fact-based, timely, and focused on behaviors. Feedback is another part of communication that is affected by cultural differences. Supportive communication is honest, accurate interpersonal communication that focuses on building and enhancing relationships. There are number of attributes of supportive communication, which aims to create an environment in which people can openly exchange information about issues.
A number of interpersonal and intrapersonal barriers effect the decoding of a message.

*Filtering refers to manipulating information so that it will be received more favorably.*

- Filtering is most likely to occur where there is emphasis on status differences and among employees with strong career mobility aspirations.
- Expect more filtering taking place in large corporations than in small business firms.

*With selective perception*, receivers see and hear based on their needs, motivations, experience, background, and other personal characteristics.

*Information overload* happens when individuals have more information than they can sort out and use; they tend to select out, ignore, pass over, or forget information, etc.

*Emotions:* When people feel that they're being threatened, they tend to react in ways that reduce their ability to achieve mutual understanding.

*Language*: The meanings of words are not in the words; they are in us.

- Employees come from diverse backgrounds and have different patterns of speech.
- Grouping of employees into departments creates specialists who develop their own jargon or technical language.

While we speak a common language--English-our usage of that language is far from uniform.

- The problem is that members in an organization usually don't know how others with whom they interact have modified the language.

An estimated 5 to 20 percent of the population suffers from debilitating communication apprehension or anxiety.

- People who suffer from it experience undue tension and anxiety in oral communication, written communication, or both.

Studies demonstrate that oral-communication apprehensive avoid situations that require them to engage in oral communication.
Of greater concern is the evidence that high-oral-communication apprehensive distort the communication demands of their jobs in order to minimize the need for communication.

## IV. Improving Communication in Organizations

Working with supervisors and managers, employee relations representatives can facilitate effective communications by developing and maintaining three types of programs: information dissemination, employee feedback, and employee assistance.

**a. Information Dissemination Programs**

Information dissemination involves making information available to decision makers, wherever they are located. The employee handbook is probably the most important source of information the HR department can provide and sets the tone for the company's overall employee relations philosophy. There are many other forms of written communication besides the employee handbook that can be used to alert employees to important information. These include memos and newsletters.

1. The employee handbook
2. Written communications: memos, financial statements, newsletters, and bulletin boards
3. Audiovisual communications

**b. Electronic Communications**

New technologies have made it possible to disseminate information that goes beyond the printed word. Visual images and audio information are powerful communication tools. A recent technological advance, teleconferencing, allows people with busy schedules to participate in meetings even when they are a great distance away from the conference location (or each other). Advances in electronic communications (voice mail and e-mail) have made interactive communications between sender and receiver possible even when they are separated by physical distance and busy schedules.

**c. Meetings**

Formal meetings are opportunities for face-to-face communication between two or more employees and are guided by a specific agenda. Formal meetings facilitate dialogue and promote the nurturing of personal relationships, particularly among employees who may not interact frequently because they are separated by organizational or geographic barriers.

- Retreats
- Informal communications

**d. Employee Feedback Programs**

To provide upward communications channels between employees and management, many organizations offer employee feedback programs. These programs are designed to improve management-employee relations by giving employees a voice in decision making and policy formulation and by making sure that they receive due process on any complaints they lodge against managers. The most common employee feedback programs are employee attitude surveys, appeals procedures, and employee assistance programs.

- Employee attitude surveys
- Appeals procedures

**e. Employee Assistance Programs**

EAPs help employees cope with personal problems that are interfering with their job performance. These problems may include alcohol or drug abuse, domestic violence, elder care, AIDS and other diseases, eating disorders, and compulsive gambling. Confidentiality is an important component of these programs.

## V. The Formal and Informal Communication

**a. Formal communication networks** - Networks that are designated by the organizational structure, charts, or other official documents.

**b. Informal Communications**

Informal communication flows outside of the firm's chain of command.

- **How Excellent Companies Foster Informal Communications**

The following techniques have been found to encourage informal communication: 1) emphasizing informality; 2) maintaining an extraordinary level of communication intensity; and 3) giving communication the physical support.

**Management by Wandering around:** The communication skill here is not in the wandering around the office, but in the interpersonal communication skills you can bring to bear when you're speaking with the employees. These skills include paying attention, making yourself clear, listening actively, and listening sympathetically.

## VI. Levels of Communication

### a. Upward Communication

Upward communication from subordinates to superiors provides management with valuable insight into how the organization is functioning, and provides superiors with feedback about whether subordinates understand orders and instructions. It gives employees an opportunity to vent their feelings. Upward communication can be encouraged by social gatherings, union publications, regular meetings, performance appraisal meetings, grievances, attitude surveys, a suggestion system, and open door policy, indirect measures, and email. Formal, comprehensive programs and upward appraisals also encourage upward communication.

When communicating with a supervisor, avoid phrases that may inadvertently signal a lack of responsibility on your part. Avoid counterproductive body language and nonverbal mannerisms.

### b. Downward Communication

Downward communication is transmitted from superior to subordinate on subjects like corporate vision and mission, what the job consists of, performance evaluations, job instruction, and organizational policies and practices. This format can help build commitment by keeping employees informed about what the organization plans to do. Some firms install open-book management programs that manage without concealment, and motivate all employees to focus on helping the business grow profitable and increasing the return on it human capital. Open-book management fosters trust and commitment among employees by treating them more like partners. When communicating with subordinates, remember that fairness and the appearance of fairness are keys. Make sure your body language comes across as open and receptive.

### c. Horizontal Communication

Horizontal or lateral communications are messages between departments or people in the same department. Managers use individuals or committees to bridge departments and improve the flow of communication between them by using liaison personnel, committees and task forces, and independent integrators.

## VII. Communications and HRM

HRM depends upon the effective communications systems in the organization for its success because all its functions like staffing , compensating , performance appraisal, training and development , etc require communication system for their executions basic purposes that are served through communication systems are keeping employees informed using it a s a tool to bring about positive change and to Influence culture. Bulletin board, newsletter and gossip are different sources that are used to disseminate information in the organizations.

Employees are provided with the Employee Handbook which serves many purposes like (1) it helps employees learn about company at their own pace. (2) Provides references regarding policies, rules, and benefits. (3) Ensures HRM policies will be consistently applied. (4) Creates sense of security and commitment for employees. (5) Provides information to recruits. (6) May be interpreted as implied contract. (7)Should be updated continually but the important thing is that these purposes can be achieved only if the employee handbook is Well Organized, Clearly Written and legally limited. Employee handbook mainly includes the information both about the employee and employer for employee it provides information regarding the job description and for employer it provides information about the rules regulations of the organization and different compensation benefits etc related information to the employees.

## VIII. Communication Methods

Inside the organization Employee handbook, Bulletin board, Company newsletter, Company-wide meetings, Digital Media etc are used as source or method to communicate while for the offsite employees facsimile machine, E-mails, and Internet Phone are used as tools for communication of information.

**Key Terms**

| | |
|---|---|
| **Burnout:** | An incapacitating condition in which individuals lose a sense of the basic purpose and fulfillment of their work |
| **Communication** | Exchange of information between people; it occurs when one person understands the meaning of a message sent by another person, and responds to it. |
| **Noise**: | All factors that interfere with and distort communication. |
| **Encoding** | Process by which sender puts a message in a certain format to send to the receiver. |
| **Feedback** | Information about some behavior and its effect. |
| **Decoding** | Process by which the receiver translates the sender's message into an understandable form. |

LESSON 35

# TRADE UNIONS

After studying this chapter, students should be able to understand the following:

**A. Unions**
**B. Collective Bargaining**
**C. The HRM Department in a Nonunion Setting**
**D. Phases of Labor Relations**

**LESSON OVERVIEW**
This chapter talks about why workers organize, outlines the basics of labor law, and reviews the procedures of labor elections, collective bargaining, and contract administration. We will also go through the grievance procedures.

## A. Unions

Organization of workers, acting collectively, seeking to protect and promote their mutual interests through collective bargaining is termed as union. The most significant impact of a union on the management of human resources is its influence in shaping HRM policies. In the absence of a union, the company may develop all HRM policies based on efficiency. But, when a union enters the picture, management must develop HRM policies that reflect consideration for the preferences of workers who are represented by a union. A union's strong preferences for high wages, job security, the ability to express dissatisfaction with administrative actions, and having a voice in the development of work rules that affect their jobs get injected into the equation along with the employer's preferences.

### I. Union Objectives

Several broad objectives characterize the labor movement as a whole. These include:
(1) To secure and, if possible, improve the living standards and economic status of its members.
(2) To enhance and, if possible, guarantee individual security against threats and contingencies that might result from market fluctuations, technological change, or management decisions. (3) To influence power relations in the social system in ways that favor and do not threaten union gains and goals. (4) To advance the welfare of all who work for a living, whether union members or not. (5) To create mechanisms to guard against the use of arbitrary and capricious policies and practices in the workplace. In order to accomplish these objectives, most unions recognize that they must strive for continued growth and power.

- **Growth**—To maximize effectiveness, a union must strive for continual growth, but the percentage of union members in the workforce is declining. Union leaders are concerned because much of a union's ability to accomplish objectives comes from strength in numbers. Unions must continue to explore new sources of potential members.

- **Power**—We define *power* here as the amount of external control that an organization is able to exert. A union's power is influenced to a large extent by the size of its membership and the possibility of future growth. By achieving power, a union is capable of exerting its force in the political arena.

### II. Factors Leading to Employee Unionization

Three types of factors play role in origin of employee unions they are:

a. **Working Environment:** Inadequate staffing, Mandatory overtime, Poor working conditions
b. **Compensation:** Non-competitive Pay, Inadequate benefits inequitable pay raises
c. **Management Style:** Arbitrary Management Decision Making, Use of fear, Lack of recognition
d. **Organization Treatment:** Job insecurity, unfair discipline and policies, Harassment and abusive treatments, Not responsive to complaints

## III. Why Employees Join Unions

Individuals join unions for many different reasons, and these reasons tend to change over time. They may involve dissatisfaction with management, need for a social outlet, and opportunity for leadership, forced unionization, and peer pressure.
A union is an organization that represents employees' interests to management on issues such as wages, hours, and working conditions. Generally, employees seek to join a union when they
(1) Are dissatisfied with aspects of their job,
(2) Feel a lack of power or influence with management in terms of making changes, and
(3) See unionization as a solution to their problems.

a. **Dissatisfaction with Management—**Unions look for problems in organizations and then emphasize the advantages of union membership as a means of solving them. Management must exercise restraint and use its power to foster management and labor cooperation for the benefit of all concerned. Some reasons for employee dissatisfaction are described:
    1. **Compensation**: If employees are dissatisfied with their wages, they may look to a union for assistance in improving their standard of living.
    2. **Job Security**: If the firm doesn't provide its employees with a sense of job security, workers may turn to a union. Employees are more concerned than ever about job security due to a decline in employment in such key industries as automobiles, rubber, and steel.
    3. **Management Attitude**: Employees do not like to be subjected to arbitrary and capricious actions by management. In some firms, management is insensitive to the needs of its employees. When this situation occurs, employees may perceive that they have little or no influence in job-related matters, thus becoming prime targets for unionization.

b. **A Social Outlet—**Many people have strong social needs. Union-sponsored recreational and social activities, day care centers, and other services can increase the sense of solidarity.

c. **Opportunity For Leadership—**Employers often promote union leaders into managerial ranks as supervisors.

d. **Forced Unionization—**It is generally illegal for management to require that an individual join a union prior to employment. However, in the 29 states without right-to-work laws, it is legal for an employer to agree with the union that a new employee must join the union after a certain period of time (generally 30 days) or be terminated.

e. **Peer Pressure**—Many individuals will join a union simply because they are urged to do so by other members of the work group.

## IV. The Impact of Unions on Human Resource Management

Managers are more likely to develop HRM policies based on efficiency. But, when a union is in the picture, policies must reflect employees' preferences as well. Employees have preferences related to staffing, employee development, compensation, and employee relations.

a. **Staffing:** The contract can dictate how jobs are filled and on what basis they are filled.

b. **Employee Development**: Performance evaluations are rarely used in unionized organizations. However, there is often a greater amount of worker training.

c. **Compensation:** On average, union employees earn 10% to 20% higher wages than comparable non-union employees. Unionized firms avoid using merit pay plans and are likely to give across-the-board pay raises to employees based on market considerations.

d. **Employee Relations:** The labor contract gives employees specific rights. The employees, through the collective bargaining process, have a voice in the development of work rules that affect their jobs.

## B. Collective Bargaining

Under a collective bargaining system, union and management negotiate with each other to develop the work rules.

The performance of the mutual obligation of the employer and the representative of the employees to meet at reasonable times and confer in good faith with respect to wages, hours, and other terms and conditions of employment, or the negotiation of an agreement, or any question arising there under, and the execution of a written contract incorporating any agreement reached if requested by either party; such obligation does not compel either party to agree to a proposal or require the making of a concession.

### I. Labor Management Relations and Collective Bargaining

- **Forms of Bargaining Structures AND Union/ Management Relationships**—The bargaining structure can affect the conduct of collective bargaining. The four major structures are one company dealing with a single union, several companies dealing with a single union, several unions dealing with a single company, and several companies dealing with several unions. Types of union/management relations that may exist in an organization are conflict, armed truce, power bargaining, accommodation, cooperation, and collusion.

- **The Collective Bargaining Process**—Both external and internal environmental factors can influence the process. The first step in the collective bargaining process is preparing for negotiations. This step is often extensive and ongoing for both union and management. After the issues to be negotiated have been determined, the two sides confer to reach a mutually acceptable contract. Although breakdowns in negotiations can occur, both labor and management have at their disposal tools and arguments that can be used to convince the other side to accept their views. Eventually, however, management and the union usually reach an agreement that defines the rules of the game for the duration of the contract. The next step is for the union membership to ratify the agreement. There is a feedback loop from "Administration of the Agreement" to "Preparing for Negotiation." Collective bargaining is a continuous and dynamic process, and preparing for the next round of negotiations often begins the moment a contract is ratified.

- **The Psychological Aspects Of Collective Bargaining**

  Prior to collective bargaining, both the management team and the union team have to prepare positions and accomplish certain tasks. Vitally important for those involved are the psychological aspects of collective bargaining. Psychologically, the collective bargaining process is often difficult because it is an adversarial situation and must be approached as such. It is a situation that is fundamental to law, politics, business, and government, because out of the clash of ideas, points of view, and interests come agreement, consensus, and justice.

#### a. Preparing For Negotiations

Bargaining issues can be divided into three categories: mandatory, permissive, and prohibited.

- **Mandatory Bargaining Issues**—Fall within the definition of wages, hours, and other terms and conditions of employment.

- **Permissive Bargaining Issues**—May be raised, but neither side may insist that they be bargained over.

- **Prohibited Bargaining Issues**—Are statutorily outlawed.

#### b. Bargaining Issues

The document that results from the collective bargaining process is known as a *labor agreement* or *contract*. Certain topics are included in virtually all labor agreements.

- **Recognition**—Its purpose is to identify the union that is recognized as the bargaining representative and to describe the bargaining unit.
- **Management Rights**—A section that is often, but not always, written into the labor agreement and that spells out the rights of management. If no such section is included, management may reason that it retains control of all topics not described as bargain-able in the contract.
- **Union Security**— The objective of union security provisions is to ensure that the union continues to exist and to perform its function.

1. **Closed Shop**: An arrangement whereby union membership is a prerequisite to employment.
2. **Union Shop**: An arrangement that requires that all employees become members of the union after a specified period of employment (the legal minimum is 30 days) or after a union shop provision has been negotiated.
3. **Maintenance of Membership**: Employees who are members of the union at the time the labor agreement is signed or who later voluntarily joins must continue their memberships until the termination of the agreement, as a condition of employment. This form of recognition is also prohibited in most states that have right-to-work laws.
4. **Agency Shop**: Does not require employees to join the union; however, the labor agreement requires, as a condition of employment, that each nonunion member of the bargaining unit "pay the union the equivalent of membership dues as a kind of tax, or service charge, in return for the union acting as the bargaining agent." The agency shop is outlawed in most states that have right-to-work laws.
5. **Exclusive Bargaining Shop**: The Company is bound legally to deal with the union that has achieved recognition, but employees are not obligated to join or maintain membership in the union or to financially contribute to it.
6. **Open Shop**: Employment that has equal terms for union members and nonmembers alike.
7. **Dues Check-off**: The Company agrees to withhold union dues from members' checks and to forward the money directly to the union.

- **Compensation and Benefits**—This section typically constitutes a large portion of most labor agreements. Virtually any item that can affect compensation and benefits may be included.

1. **Wage Rate Schedule**: The base rates to be paid each year of the contract for each job are included in this section. At times, unions are able to obtain a cost-of-living allowance (COLA) or escalator clause in the contract in order to protect the purchasing power of employees' earnings.
2. **Overtime and Premium Pay**: Provisions covering hours of work, overtime pay, and premium pay, such as shift differentials, are included in this section.
3. **Jury Pay**: Some firms pay an employee's entire salary when he or she is serving jury duty. Others pay the difference between jury pay and the compensation that would have been earned. The procedure covering jury pay is typically stated in the contract.
4. **Layoff or Severance Pay**: The amount that employees in various jobs and/or seniority levels will be paid if they are laid off or terminated is presented in this section.
5. **Holidays**: The holidays to be recognized and the amount of pay that a worker will receive if he or she has to work on a holiday are specified. In addition, the pay procedure for times when a holiday falls on a worker's nominal day off is provided.
6. **Vacation**: This section spells out the amount of vacation that a person may take, based on seniority. Any restrictions as to when the vacation may be taken are also stated.
7. **Family Care**: This is a benefit that has been included in recent collective bargaining agreements, with child care expected to be a hot bargaining issue in the near future.

- **Grievance Procedure**—It contains the means by which employees can voice dissatisfaction with specific management actions. Also included in this section are the procedures for disciplinary action by management and the termination procedure that must be followed.

- **Employee Security**—This section of the labor agreement establishes the procedures that cover job security for individual employees. Seniority and grievance handling procedures are the key topics related to employee security.

### a. Negotiating The Agreement

The negotiating phase of collective bargaining begins with each side presenting its initial demands. The term *negotiating* suggests a certain amount of give and take, the purpose of which is to lower the other side's expectations. Each side does not expect to obtain all the demands presented in its first proposal. Demands that the union does not expect to receive when they are first made are known as *beachhead demands*.

### b. Breakdowns In Negotiations

At times negotiations break down, even though both labor and management may sincerely want to arrive at an equitable contract settlement. Several means of removing roadblocks may be used in order to get negotiations moving again.

- **Third-Party Intervention**—Often a person from outside both the union and the organization can intervene to provide assistance when an agreement cannot be reached and a breakdown occurs. At this point there is an impasse.

  1. **Mediation**: A process whereby a neutral third party enters a labor dispute when a bargaining impasse has occurred.

  2. **Arbitration**: A process in which a dispute is submitted to an impartial third party to make a binding decision.

  3. **Sources of Mediators and Arbitrators**: The principle organization involved in mediation efforts, other than the available state and local agencies, is the Federal Mediation and Conciliation Service (FMCS). Either or both parties involved in negotiations can seek the assistance of the FMCS, or the agency can offer help if it feels that the situation warrants this.

- **Union Strategies for Overcoming Negotiations Breakdowns**—There are times when a union believes that it must exert extreme pressure on management to agree to its bargaining demands. Strikes and boycotts are the primary means that the union may use to overcome breakdowns in negotiations.

  1. **Strikes**: When union members refuse to work in order to exert pressure on management in negotiations.

  2. **Boycotts**: An agreement by union members to refuse to use or buy the firm's products. The practice of a union attempting to encourage third parties (suppliers and customers) to stop doing business with the firm is a *secondary boycott*.

- **Management's Strategies For Overcoming Negotiation Breakdowns**—One form of action that is somewhat analogous to a strike is called a *lockout*. Management keeps employees out of the workplace and may run the operation with management personnel and/or temporary replacements. The employees are unable to work and do not get paid.

### a. Ratifying The Agreement

In the vast majority of collective bargaining encounters, the parties reach agreement without experiencing severe breakdowns in negotiations or resorting to disruptive actions. Typically, this is accomplished before the current agreement expires. After the negotiators have reached a tentative agreement on all topics negotiated, they will prepare a written agreement complete with the effective and termination dates. However, the approval process can be more difficult for the union. Until it has received approval by a majority of members voting in a ratification election, the proposed agreement is not final. Union members may reject the proposed agreement, and new negotiations must begin.

### b. Administration Of The Agreement

The larger and perhaps more important part of collective bargaining is the administration of the agreement, which is seldom viewed by the public. The agreement establishes the union-management relationship for the duration of the contract.

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### II. Grievance Handling Under a Collective Bargaining Agreement

If employees in an organization are represented by a union, workers who believe that they have been disciplined or dealt with unjustly can appeal through the grievance and arbitration procedures of the collective bargaining agreement.

a. **Grievance Procedure**—A *grievance* can be broadly defined as an employee's dissatisfaction or feeling of personal injustice relating to his or her employment relationship.

b. **Arbitration**—The process that allows the parties to submit their dispute to an impartial third party for resolution.

c. **Proof that Disciplinary Action was Needed**—Any disciplinary action administered may ultimately be taken to arbitration, when such a remedy is specified in the labor agreement.

d. **Weaknesses Of Arbitration**—The reason for the initial filing of the grievance may actually be forgotten before it is finally settled. Another problem is the cost of arbitration, which has been rising at an alarming rate.

### III Grievance Handling In Union-Free Organizations

Although the step-by-step procedure for handling union grievances is common practice, the means of resolving complaints in union-free firms varies. A well-designed union-free grievance procedure ensures that the worker has ample opportunity to make complaints without fear of reprisal.

## C. The HRM Department in a Non-union Setting

Employers who adhere to certain union-free strategies and tactics can remain or become union free.

- **Effective first-line supervision**: Extremely important to an organization's ability to remain union free is the overall effectiveness of its management, particularly its first-line supervisors. These supervisors represent the first line of defense against unionization.

- **Union-free policy**: The fact that the organization's goal is to remain union free should be clearly and forcefully communicated to all its members.

- **Effective communication**: One of the most important actions an organization that wants to remain union free can take is to establish credible and effective communication. One approach taken to encourage open communication is the open-door policy. The *open-door policy* gives employees the right to take any grievance to the person next in the chain of command if the immediate supervisor cannot resolve the problem.

- **Trust and openness**: Openness and trust on the part of managers and employees alike are important in order to remain union free. The old expression "*actions speak louder than words"* is certainly valid for an organization that desires to remain union free.

- **Effective compensation programs**: The financial compensation that employees receive is the most tangible measure they have of their worth to the organization. If an individual's pay is substantially below that provided for similar work in the area, the employee will soon become dissatisfied.

- **Healthy and safe work environment**: An organization that gains a reputation for failing to maintain a safe and healthy work environment leaves itself wide open for unionization.

- **Effective employee and labor relations**: No organization is free from employee disagreements and dissatisfaction. Therefore, a means of resolving employee complaints, whether actual or perceived, should be available. The *grievance procedure* is a formal process that permits employees to complain about matters affecting them. Most labor-management agreements contain formal grievance procedures, and union members regard handling grievances as one of the most important functions of a labor union.

## D. Phases of Labor Relations

*Labor relations* consist of the human resource management activities associated with the movement of employees within the firm after they have become organizational members and include the actions of promotion, transfer, demotion, resignation, discharge, layoff, and retirement. Labor relations can be divided into following three phases:

a. **Union organizing:** Organization of workers, acting collectively, seeking to protect and promote their mutual interests through collective bargaining is termed as union. The most significant impact of a union on the management of human resources is its influence in shaping HRM policies. In the absence of a union, the company may develop all HRM policies based on efficiency. But, when a union enters the picture, management must develop HRM policies that reflect consideration for the preferences of workers who are represented by a union. A union's strong preferences for high wages, job security, the ability to express dissatisfaction with administrative actions, and having a voice in the development of work rules that affect their jobs get injected into the equation along with the employer's preferences.

b. **Collective bargaining:** The performance of the mutual obligation of the employer and the representative of the employees to meet at reasonable times and confer in good faith with respect to wages, hours, and other terms and conditions of employment, or the negotiation of an agreement, or any question arising there under, and the execution of a written contract incorporating any agreement reached if requested by either party; such obligation does not compel either party to agree to a proposal or require the making of a concession.

c. **Contract administration:** The larger and perhaps more important part of collective bargaining is the administration of the agreement, which is seldom viewed by the public. The agreement establishes the union-management relationship for the duration of the contract. The agreement established the union-management relationship for its effective length. Usually no changes in contract language can be made until the expiration date except by mutual consent. Administering the contract is a day-to-day activity. Ideally, the aim of both management and the union is to make the agreement work to the mutual benefit of all concerned. This is not easy. In the daily stress of the work environment, terms of the contract are not always uniformly interpreted and applied.

**KEY TERMS**

| | |
|---|---|
| **Grievance procedure** | A formal, systematic process that permits employees to complain about matters affecting them and their work. |
| **Collective bargaining** | The process through which representatives of management and the union meet to negotiate a labor agreement. |
| **Mediation** | A process whereby a neutral third party enters a labor dispute when a bargaining impasse has occurred. |
| **Boycotts** | An agreement by union members to refuse to use or buy the firm's products. |
| **Arbitration** | The process that allows the parties to submit their dispute to an impartial third party for resolution. |

**LESSON 36**

## CONFLICT AND NEGOTIATION

After studying this chapter, students should be able to understand the following:

A. **Conflict**
B. **Conflict and Negotiation**

**LESSON OVERVIEW**

This lecture takes an in-depth look at conflict management and negotiation, key aspects of contemporary organizational behavior. After examining the two views of conflict, the consequences of conflict, and the types and levels of conflict, the chapter discusses culture and conflict, conflict management styles, organizational sources of conflict, and conflict management strategies. The chapter goes on to explore negotiation.

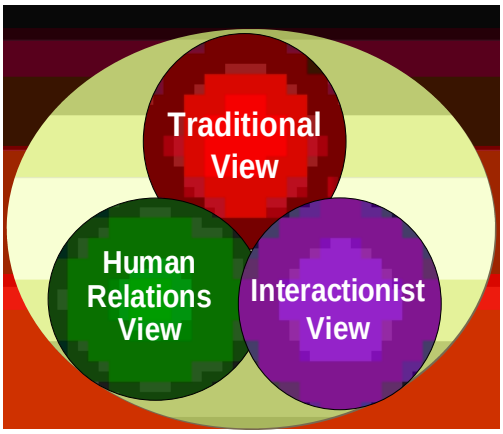
# A. Conflict

Conflict is the process in which one party perceives that its interests are being opposed or negatively affected by another party. Conflict is a process in which people disagree over significant issues, thereby creating friction between parties. Conflict can exist when people have opposing interests, perceptions, and feelings; when those involved recognize the existence of differing points of view; when the disagreement is ongoing; and when opponents try to prevent each other from accomplishing their goals. Although conflict can be destructive, it can also be beneficial when used as a source of renewal and creativity. Competition and rivalry between individuals or groups over an outcome that both seek, is not the same as conflict. In competition, there must be a winner and a loser; with conflict, people can cooperate so that no one wins or loses.

**Organizational conflict** occurs when a stakeholder group pursues its interests at the expense of other stakeholders. Given the different goals of stakeholders, organizational conflict is inevitable. Conflict is associated with negative images, such as unions getting angry and violent, but some conflict can improve effectiveness. When conflict passes a certain point, it hurts an organization.

## I. Transitions in Conflict Thought

Under **traditional view** conflict is a process in which people disagree over significant issues, creating friction between parties. One view of conflict is that it is dysfunctional and harmful to organizations, because the struggle over incompatible goals is a waste of time that prevents people and organizations from being productive and reaching their potential. On the other hand, **interactionist view** states that when conflict is based on issues rather than personalities, it can enhance problem solving and creativity. Open discussions of differing viewpoints allows for a thorough consideration of alternatives and their consequences in the course of decision making. Conflict can also increase motivation and energize people to focus on a task. **Human relation** view states that Conflict is a natural occurrence and we should accept conflict.




## II. Conflict Good or Bad

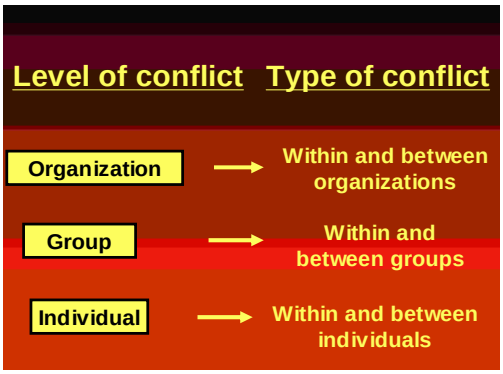
Conflict can have both positive and negative consequences. On the positive side, conflict can bring energy to a competition and focus participants on the task at hand. It can also increase group cohesion and stimulate open discussion of issues. On the negative side, conflict can cause participants to lose sight of common goals and focus on winning at all costs. In addition, it can lead to distorted judgments and a lack of cooperation. Finally, the losers in a conflict feel demoralized and lose motivation; this loser effect harms long-term relationships and overall organizational performance.

## III. How can conflict improve effectiveness?

Conflict can overcome inertia and introduce change, because conflict requires an organization to reassess its views. Different views are considered, and the quality of decision-making is improved.

## IV. Types and levels of Conflict

There are four types of conflict. Inter-group conflict occurs when groups within and outside the organization disagree on various issues. Interpersonal conflict is due to differences in goals, values, and styles between two or more people who are required to interact. Intra group conflict occurs within a work group over goals and work procedures. Intrapersonal conflict is a person's internal conflict over divergent goals, values, or roles. Inter group conflict can occur at two levels which are horizontal and vertical. Horizontal conflict takes place between departments or groups at the same level of the organization. In contrast, vertical conflict occurs between groups at different levels of the organization.

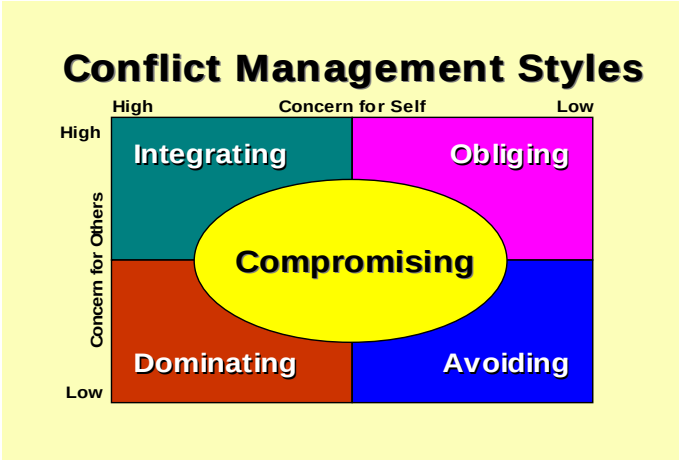



**Types of Conflict**

- Task conflict: Conflicts over content and goals of the work
- Relationship conflict: Conflict based on interpersonal relationships
- Process conflict: Conflict over how work get done

## V. Individual Conflict Management Styles

a. **The obliging style of conflict management** is based on low concern for self, high concern for others, and focusing on the needs of others while satisfying or ignoring personal needs. This works best when issues are unimportant, knowledge is limited, there is long-term give and take, and the person managing the conflict has no power.




b. **The avoiding style** is based on low concern for self and others and a focus on suppressing, setting aside, and ignoring the issues. This is appropriate when the conflict is too strong and parties need to cool off.

c. **The integrative style** shows high concern for self and for others and focuses on collaboration, openness, and exchange of information. This is used when issues are complex, when commitment is needed, when dealing with strategic issues, and when long-term solutions are required.

d. **The dominating style** shows high concern for self, low concern for others, and focuses on advancing own goals at any cost. This is used when time is short, issues are trivial, all solutions are unpopular, and an issue is important to the party resolving the conflict.

e. **The compromising style** shows moderate concern for self and others and focuses on achieving a reasonable middle ground where all parties win. This is used when goals are clearly incompatible, parties have equal power, and a quick solution is needed.

### VI. Manager's ways to manage conflict.

Managers can manage conflict by either preventing or reducing high levels of conflict or stimulating low levels of conflict. To do this, managers can apply a behavioral approach or an attitudinal approach. The behavioral approach targets the behavior causing the conflict, while the attitudinal approach targets the roots of the conflict, including people's emotions, beliefs, and behaviors. Behavioral methods include enforcing rules, separating the parties, clarifying tasks, having a common enemy or outside competition, and increasing resources and rewarding cooperation. Attitudinal methods include having a common enemy, rotating members, increasing resources, and team-building and organizational development (OD). To stimulate conflict, managers can introduce change, increase task ambiguity, or create interdependency.

## B. Conflict and Negotiation

Stakeholders compete for the resources that an organization produces. Shareholders want dividends, employees want raises. An organization must manage both cooperation and competition among stakeholders to grow and survive. All stakeholders have a common goal of organizational survival, but not all goals are identical.

### o Negotiation

It is the process used by two or more parties to reach a mutually agreeable arrangement to exchange goods and services. Managers need negotiating skills to be effective in today's global, diverse, dynamic, team-oriented business environment. Culture significantly affects the negotiation process. Negotiators from masculine cultures emphasize assertiveness and independence, which can cause them to see negotiation as a competition and spur them to win at all costs. Negotiators from cultures comfortable with uncertainty will take a creative, problem-solving approach, while those from high uncertainty-avoidance cultures will emphasize bureaucratic rules and procedures. Power-distance, individuality-collectivism, high or low context, emotion, and time-orientation dimensions also affect negotiation.

Beyond a certain point, conflict hurts the organization and causes decline. Managers spend time bargaining, rather than making decisions. An organization in decline cannot afford to spend time on decision-making, because it needs a quick response to recover its position. Group's battle for their interests, no agreement is reached, and the organization floats along, falling prey to inertia.
Bargaining issues in negotiation process can be divided into three categories: mandatory, permissive, and prohibited.

- **Mandatory Bargaining Issues**—Fall within the definition of wages, hours, and other terms and conditions of employment.
- **Permissive Bargaining Issues**—May be raised, but neither side may insist that they be bargained over.
- **Prohibited Bargaining Issues**—Are statutorily outlawed.

### o Negotiation Strategies

**Figure** shows four negotiating strategies based on the importance of the substantive outcome and the importance of the relationship outcome. These four strategies are trusting collaboration, firm competition, open subordination, and active avoidance. Trusting collaboration is a win-win strategy most appropriate when both the substantive task outcome and the relationship outcome are important. Firm competition is used when the substantive task outcome is important but the relationship outcome is not. Open subordination is applied when the task outcome is not important but the relationship outcome is. Active avoidance is useful when neither the task outcome nor the relationship outcome is important.

When two parties are unable to come to agreement during negotiations, they may bring in a third party to help resolve the differences. Conciliation and consultation focus on improving interpersonal relations to foster constructive discussion of issues. Mediation considers both interpersonal and substantive issues and relies on formal evaluation of positions plus persuasion to bring about a non-binding solution. Arbitration, a legally binding process in which the arbitrator imposes a solution, can be used when all other methods have failed and the conflict must be urgently resolved.

- **Common mistakes made when negotiating, include**:

Irrational escalation of commitment; thinking the pie is fixed; winner's curse; and overconfidence. Avoiding these common mistakes requires managers to be aware of the issues, be thoroughly prepared, and be willing to rely on expert opinion to reduce the possibility of making mistakes.

## KEY TERMS

| | |
|---|---|
| **Conflict** | Conflict is the process in which one party perceives that its interests are being opposed or negatively affected by another party. |
| **Task conflict** | Conflicts over content and goals of the work |
| **Relationship conflict** | Conflict based on interpersonal relationships |
| **Process conflict** | Conflict over how work get done |
| **Vertical conflict** | It occurs between groups at different levels of the organization. |
| **Horizontal conflict** | It takes place between departments or groups at the same level of the organization. |
| **Negotiation** | It is the process used by two or more parties to reach a mutually agreeable arrangement to exchange goods and services. |

LESSON 37

# POWER AND POLITICS

After studying this chapter, students should be able to understand the following:

A. **Power**
B. **Politics In Organizations**
C. **Power and Politics in Context**

**LESSON OVERVIEW**

This chapter explores how managers use power and organizational politics. Organizations today use power and politics differently than in the past, given the uncertain environment and the shift to flatter hierarchies, team structures, and employee empowerment. This chapter opens with a look at power, including the individual and organizational sources, the effect of culture and gender, corruption of power, and potential benefits of empowerment. Next, the chapter examines politics.

## A. Power

Power, the ability of one person to influence another, is not limited to managers. Employees at all levels and outsiders such as customers have the ability to influence the actions and attitudes of other people. Someone need not have power to influence another person—and those with influence may not have power. Also, power is not the same as authority. Authority is the power vested in a particular position, such as the power of the security director.

### I. Power, influence, and authority

Power is the ability of one person to influence another. It is not the same as authority, which refers to the power vested in a particular position. It is not synonymous with influence, either, since someone who has power may not be able to influence others while someone without power may have the ability to influence others. Power, authority, and influence are all integral parts of any organization, although the way

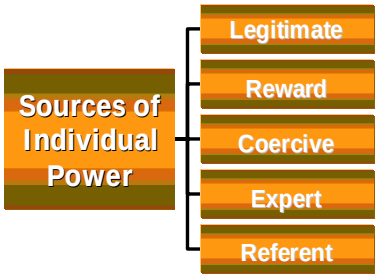
### II. Sources of Power

Three types of power derive from the person's formal position in the organization:

- **Legitimate power**: It is based on a person holding a formal position;
- **Reward Power**: reward power, based on a person's access to rewards.
- **Coercive Power**: coercive power, based on a person's ability to punish.

Two types of power derive from the individual:

- **Expert power**,: Expert power is based on personal expertise and knowledge
- **Referent Power:** referent power, based on a person's attractiveness to others.




Organizational sources of power, which derive from the structure, depend on strategic contingencies—elements that are essential to the performance and effectiveness of the organization, department, or team. The three strategic contingencies that are sources of organizational power are: coping with uncertainty; centrality in the resource network; and dependency and substitutability.

### III. Advantages and Disadvantages of Power

Power is necessary in an organization because it helps managers fulfill their leadership responsibilities; it also helps all employees influence others in pursuit of organizational and personal goals. Two key benefits are the ability to inspire commitment (as a reaction to expert or referent power) and the ability to reduce uncertainty for others in the organization. Empowerment leads to other benefits, such as support for creativity and reduction of bureaucratic obstacles. The main disadvantage is the potential for misuse and abuse, which can harm individuals and the organization.

### IV. Power Corruption

Power corruption occurs when someone has a great deal of power but is not held accountable for its use. The result is abuse of power for personal gain. The power corruption cycle starts when managers are physically removed from their employees, they may develop an inflated view of themselves. The disparity in power can cause employees to feel helpless, so they respond by becoming more submissive and dependent and by flattering the manager. The consequences of the power corruption cycle are poor decision making, use of coercion, low opinion of employees, more distance from employees, and possibly ethical or illegal actions taken by the manager.

Organizations can prevent corruption of power by pushing for more contact between managers and employees; reducing employees' dependence on managers; and creating an open, performance-centered organizational culture and structure.

One of the most visible ways managers and organizations can encourage the ethical use of power is by modeling and rewarding ethical behavior. In addition, they can establish appropriate policies and procedures to identify and stop unethical use of power and create an organizational culture that values high ethical standards for the use of power.

## B. Politics In Organizations

Organizational politics are activities that allow people in organizations to achieve goals without going through formal channels. Whether political activities help or hurt the organization depends on whether the person's goals are consistent with the organization's goals. In the rational model of organizations, people are assumed to manage logically, based on clear information and well-defined goals.

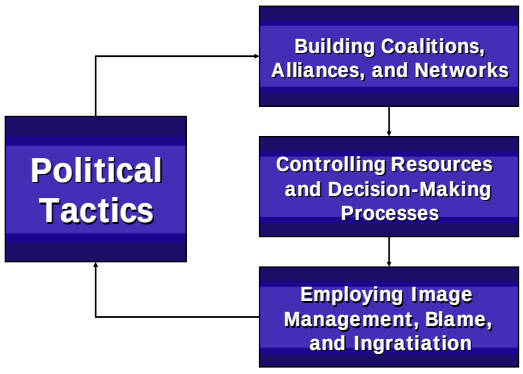
### I. Elements initiating Political activities

Three elements create the conditions under which political activities thrive.

a. **Changes in any of the five strategic contextual forces** (environment, technology, strategy, culture, and structure) can generate uncertainty over resource allocation, leading to an increase in political behavior.
b. **Changes in the coordination** and integration of organizational activities used to achieve common goals can also lead to an increase in political behavior.
c. **Finally, changes in leadership,** which change traditional relationships and processes, can create an opportunity for increased political behavior.

### II. Rational and political models of organizations

Organizational politics are activities that allow people in organizations to achieve goals without going through formal channels. In the rational model of organizations, people are assumed to manage logically, based on clear information and well-defined goals. In contrast, the political model assumes that information is scarce, individuals and groups have diverse goals, negotiation and alliances drive decision making, and individual goals take the place of rational, systematic processes for problem solving and decision making.




**Political Tactics**

Political tactics are activities that fall outside the standardized, formal processes of the organization. Four types of political tactics are building relationships, controlling resources, image management, and blame and ingratiation.

- **Building Relationship**

People develop relationships through coalitions, alliances, networks, and supportive managerial linkages. Coalitions are relationships formed over specific issues; alliances are general agreements of support among different individuals and groups; and networks are broad, loose support systems. Relationship building can either help or harm the organization.

**a. Controlling Resources**

Controlling resources and decisions, another type of political tactic, involves developing expertise, becoming indispensable, and influencing decision criteria. Like relationship building, controlling resources and decisions can either help or harm the organization.

**b. Image Management**

Image management means remaining visible and presenting oneself in the best light within the organization. It also means knowing when to avoid association with people who are considered deviants.

**c. Blame and Integration**

Blaming and attacking others to deflect attention from one's mistakes—and using ingratiating behavior to gain favor—are unethical and negative types of political actions.

Managers need to manage political behavior from two directions. First, they should seek to maintain and encourage constructive relationships, which are essential for coordination and effectiveness within the organization. Second, they also need to reduce negative, self-interested behaviors that can hurt the organizations. This can be accomplished through an open, supportive organizational culture; information sharing to reduce uncertainty; use of consistent, open, and fair processes, procedures, and rewards; increased cooperation with decreased internal competition; and rewarding and modeling constructive behaviors.

## C. Power and Politics in Context

Power and politics are linked to strategy, structure, and culture. The development and implementation of the organization's mission, strategy, and goals entails much uncertainty, which makes the strategic planning process ripe for political activity. To be effective, managers must apply both power and politics as they negotiate, build relationships, and seek cooperation from others. The structure determines how power will be distributed in the organization, and managers need power to make structural changes in response to the environment. National and ethnic cultural values influence how managers perceive and use power. But power and politics also affect the organization's culture; in particular, how a top leader uses power and politics helps shape the culture.

**KEY TERMS**

| | |
|---|---|
| **Power** | Ability of a person to influence another. |
| **Authority** | Power vested in a particular position. |
| **Expert Power** | Based on personal expertise and knowledge in a certain area. Others comply because they believe in the power holder's knowledge. |
| **Legitimate Power** | Based on a person holding a formal position. Others comply because they believe in the legitimacy of the power holder. |
| **Reward Power** | Based on a person's access to rewards. Others comply because of the desire to receive rewards. |
| **Organizational Politics** | Activities that allow people in organizations to achieve goals without going through formal channels. |

LESSON 38

## EMPLOYEE RIGHTS AND DISCIPLINE

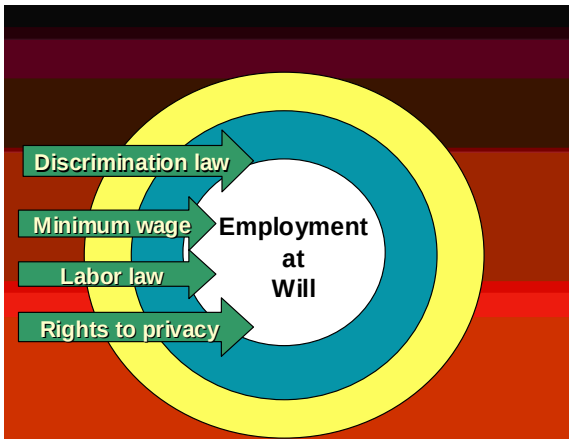
After studying this chapter, students should be able to understand the following:

A. **Employee Rights**
B. **Disciplining Employees**

**LESSON OVERVIEW**

Today's lecture examines employee rights and employee discipline. The concepts of employee rights, management rights, and the employment-at-will doctrine are discussed. Some challenges managers encounter in balancing employee rights with their own rights and responsibilities (duties) are explored. Employee discipline is discussed, and some suggestions for managing difficult employees are offered.

## A. Employee Rights




Employee rights allow them to engage in conduct protected by laws and social sanctions. Federal and state governments have enacted laws giving employees specific protection in their relationship with their employer. The courts have also been willing to protect workers from wrongful discharge. These rights include statutory, contractual, and other rights.

There are many laws and regulations governing human resource management that have been created to help define, maintain, and preserve employee rights. Discrimination laws essentially give people the right to work without being evaluated on the basis of non-job-relevant factors such as religion, origins, sex or race. Minimum wage legislation gives people the right to expect a certain base level of compensation for their work. Labor laws give employees the right to organize and join a labor union under certain prescribed circumstances. Employee rights allow them to engage in conduct protected by laws and social sanctions. Federal and state governments have enacted laws giving employees specific protection in their relationship with their employer. The courts have also been willing to protect workers from wrongful discharge. These rights include statutory, contractual, and other rights.

### a) Statutory Rights

The key statutory rights can be found in laws such in Civil Rights Acts, the Occupational Safety and Health Act (OSHA), and the National Labor Relations Act (NLRA). These rights Protect employees from discrimination, Safe working conditions, Right to form unions

### b) Contractual Rights

A written employment contract details the terms of the employment relationship. These contracts usually address such issues as seniority, due process, and wrongful discharge. Besides written contracts, there are implied contracts. Employee handbooks, employment policies, and statements made by an interviewer or manager may be interpreted by the courts as implied contracts.

### c) Other Rights

Beyond statutory and contract rights, employees may have rights to ethical treatment, limited free speech, and limited privacy.

**d) Ways Managers and Supervisors Can Influence Their Companies' Climate of Fairness and Behavior**

- Take actions that develop trust, such as sharing useful information and making good on commitments.
- Act consistently so that employees are not surprised by unexpected management actions or decision.
- Be truthful and avoid white lies and actions designed to manipulate others by giving a certain (false) impression.
- Demonstrate integrity by keeping confidences and showing concern for others.
- Meet with employees to discuss and define what is expected of them.
- Ensure that employees are treated equitably, giving equivalent rewards for similar performance and avoiding actual or apparent special treatment of favorites.
- Adhere to clear standards that are seen as just and reasonable.
- Demonstrate respect toward employees, showing openly that they care about employees and recognize their strengths and contributions.

**e) Management Rights**

Management rights are the rights to run the business and to retain any profits generated. In particular, this includes the right to direct the work force (i.e., to hire employees and set pay levels). Often, these rights are residual. Residual rights are those remaining that are not affected by contracts or other (i.e., EEO) laws.

**f) Employment at Will**

It is a common law doctrine stating that employers have the right to hire, fire, demote, or promote whomever they choose, unless there is a law or contract to the contrary and Employees have the right to quit and got another job under the same constraints. The employment-at-will rule was adopted in the nineteenth century. Workers were free to terminate their relationship (employment) for any reason, so the courts deemed it fair for employers to be able to do the same. Such a rule has stacked the deck in favor of the employer, giving wrongfully discharged employees little legal recourse. Nevertheless, employment-at-will is limited in certain situations. These include cases of public policy exceptions, implied contracts, and lack of good faith and fair dealing.

**g) Employee Rights Challenges:**

There is a thin line between the rights of employees and the rights of management. Workplace issues such as random drug testing, electronic monitoring and whistle-blowing highlight this conflict.

a. **Random Drug Testing**

Companies that use drug tests must address several challenges such as establishing a policy, what to do with false positives, how to ensure security over urine specimens, and whether alternative tests should be used (e.g., performance tests).

b. **Electronic Testing**

Companies attempt to fight various forms of employee theft by electronic monitoring. To use this type of monitoring successfully, employees should know what devices are being used, employers should create ways in which monitoring is beneficial to the employees as well, the employer should develop appropriate policies which are publicized throughout the company.

c. **Whistle blowing**

Whistle blowing means employees can notify the wrongdoings of the management. While federal employees who blow the whistle have certain legal protections; private-sector employees are far less protected. Because employees may decide to blow the whistle on an employer, many companies realize that it is in their best interest to establish a policy on whistle blowing.

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## B. Disciplining Employees

Employee discipline is a tool that managers use to communicate a need to change behavior. Traditionally, such discipline is performed by supervisors. But, when teams are used, it may be the team's responsibility. Two different approaches to discipline are widely used. They include progressive and positive discipline

a. **Progressive Discipline**

The most commonly used form of discipline, progressive discipline, consists of a series of management interventions that gives employees opportunities to correct their behavior before being discharged.

b. **Positive Discipline**

Encouraging employees to monitor their own behaviors and assume responsibility for their own actions is called positive discipline. Management still intervenes, but with counseling sessions as opposed to punishment.

**KEY TERMS**

| | |
|---|---|
| **Employee Rights** | Employee rights allow them to engage in conduct protected by laws and social sanctions. |
| **Whistle Blowing** | A situation in which an employee notifies authorities of wrongdoings in organization. |
| **Discipline** | A procedure that corrects or punishes a subordinate because a rule of procedure has been violated. |
| **Progressive Discipline** | An approach to disciplinary action designed to ensure that the minimum penalty appropriate to the offense imposed. |
| **Positive Discipline** | Encouraging employees to monitor their own behaviors and assume responsibility for their own actions is called positive discipline |

**LESSON 39**

**DISCIPLINE (CONT...)**

## A. Employee Separations

## A. Discipline

As discussed in previous lectures, the term discipline refers to a condition in the organization where employees conduct themselves in accordance with the organization's rules and standards of acceptable. For the most part employees discipline themselves by conforming to what is considered proper behavior because they believe it is the reasonable thing to do. One they are made aware of what is expected of them, and assuming they find these standards or rules to be reasonable, they seek to meet those expectations. But not all employees will accept the responsibility of self-discipline. There are some employees that will accept the norms of responsible employees' behavior. These employees, then, require some degree of extrinsic disciplinary action. It is this need to impose extrinsic disciplinary action that we will address in the following sections.

### I. Discipline System Recommended by Labor Department

A fair discipline process is based on three prerequisites: rules and regulations, a system of progressive penalties, and an appeals process. Inform employees ahead of time as to what is and is not acceptable behavior. Progressive penalties range from oral warnings to written warnings to suspension from the job to discharge; the severity is a function of the severity of the offense and, in some cases, the number of times the offense has occurred. Discipline guidelines include the need to determine whether there was "just cause" for disciplinary action by (1) using discipline in line with the way management usually responds to similar incidents; (2) warning the employee of the consequences of the alleged misconduct; (3) punishing for violation of rules that are "reasonably related" to the efficient and safe operation of the work environment; (4) investigating adequately; (5) applying rules and employee's past history. Fairness is built into the system of discipline without punishment in that the punitive nature of discipline is reduced while there is an attempt to gain the employee's acceptance of the rules.

### II. Factors to Consider when Disciplining

Before we review disciplinary guidelines, we should take at the major factors that need to be considered if we are to have fair and equitable disciplinary practices. The following seven contingency factors can help us analyze a discipline problem:

1. **Seriousness of the problem**. How sever is the problem? As noted previously, dishonesty is usually considered a more serious infraction than reporting to work 20 minutes late.
2. **Duration of problem**. Have there been other discipline problems in the past, and over how long a time span? The violation dies not take place in a vacuum. A first occurrence is usually viewed differently than a third or fourth offense.
3. **Frequency and nature of the problem**. Is the current problems part of an emerging or continuing pattern of disciplinary infractions? We are continual with not only the duration but also the pattern of the problem. Continual infractions may require but also the pattern of the problem. Continual infractions may require a different type of discipline from that applied to isolated instances of misconduct. They may also point out a situation that demands far more sever discipline in order to prevent a minor problem demands far more severe discipline in order to prevent a minor problem from becoming a major one.
4. **Extenuating Factors**. Are there extenuating circumstances related to the problem? The student who fails to turn in her term paper by the deadline because of the death of her grandfather is likely to have her violation assessed more leniently than will her peer who missed the deadline because he overslept.
5. **Degree of socialization**. To what extent has management made an earlier effort to educate the person causing the problem about the existing rules and procedures and the consequences of knowledge that the violator holds of the organization's standards of acceptable behavior. In contrast to the previous item, the new employee is less likely to have been socialized to these standards than the 20-year veteran. Additionally, the organization that has formalized, written rules governing employee conduct is more justified in aggressively enforcing

6. **Violations of these rules than is the organization whose rules are informal or vague.** History of the Organization's Discipline practices. How have similar infractions been dealt with in the past within the department? Within the entire organizations? Has there been consistency in the application of discipline procedures? Equitable treatment of employees must take into consideration precedents within the unit where the infraction occurs, as well as previous disciplinary actions taken in other units within the organization. ? Equity demands consistency against some relevant benchmark.
7. **Management Backing**. If employees decide to take their case to a higher level in management, will you have reasonable evidence to justify your decision? Should the employee challenge your disciplinary action, it is important that you have the data to back up the necessity and equity of the action taken and that you feel confident that management will support your decision. No disciplinary action is likely to carry much weight if violators believe that they can challenge and successfully override their manager's decision.

How can these seven items help? Consider that there are many reasons for why we might discipline an employee. With little difficulty, we could list several dozen or more infraction that management might believe require disciplinary action. For simplicity's sake, we have classified the most frequent violations into four categories: attendance, on-the- job behaviors, dishonesty, and on the job behavior.

- **Attendance like:** Unexcused absence, chronic absenteeism, leaving without permission
- **Work Performance** problems can include action like not completing work assignments, producing substandard products or services not meeting established production requirements
- **Dishonesty and Related Problems like,** Theft, Falsifying employment application, Willfully damaging organizational property, Punching another employee's time card, Falsifying work records
- **On-the-job Behaviors like:** Insubordination ,Smoking in unauthorized places, Fighting, Gambling, Failure to use safety devices, Failure to report injuries, Carelessness, Sleeping on the job, Using abusive or threatening language with supervisors, Possession of narcotics or alcohol, Possession of firearms or other weapons, Sexual harassment,

Infractions may be minor or serious given the situation or the industry in which one works. For example, while concealing defective work in a hand –power tool assembly line may be viewed as minor, the same action in an aerospace manufacturing plant is more serious. Furthermore, recurrence and severity of the infraction will play a role. For instance, employees who experience their first minor offense might generally expect a minor reprimand. A second offense might result in a more stringent reprimand, and so forth. In contrast, the first occurrence of a serious offense might mean not being allowed to return to work, the length of time being dependent on the circumstances surrounding the violation.

## III. Disciplinary Guidelines:

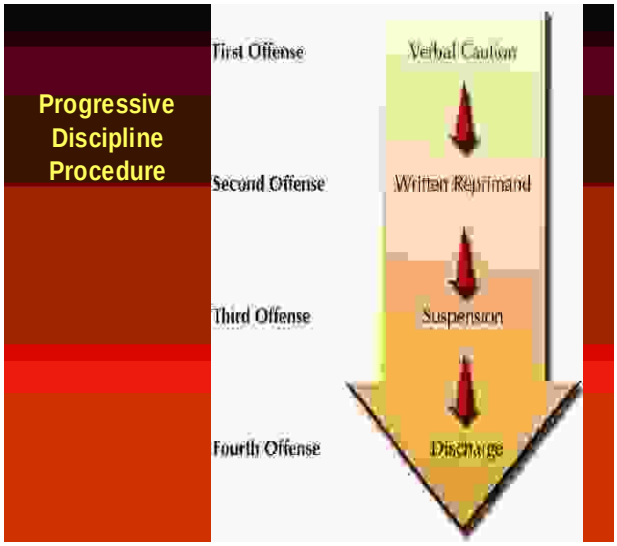
All human resource managers should be aware of disciplinary guidelines. In the section, we will briefly describe them.

a. Make Disciplinary Action Corrective Rather than punitive. The objective is to correct an employee's undesirable behavior. While punishment may be a necessary means to that end, one should never lose sight of the eventual objective.
b. Make disciplinary Action progressive. Although the type of disciplinary action that is appropriate may vary depending on the situation, it is generally desirable for discipline to be progressive. Only for the most serious violations will an employee be dismissed after a first offense. Typically, progressive disciplinary action begins with a verbal warning and proceeds through a written warning, suspension, and, only in the most serious cases, dismissal. More on this in a moment.
c. Follow the "Hot-stove" Rule. Administering discipline can be viewed as analogous to touching a hot stove (hence, the hot-stove rule).84 While both are painful to the recipient, the analogy goes further. When you touch a hot stove, you get an immediate response; the burn you receive is instantaneous, leaving no question of cause and effect. You have ample warning; you know what happens if you touch a red-hot stove, you furthermore, the result is consistent: every time you touch a hot stove, you get the same response you get burned. In all, the result is impersonal; regardless of who you are, if you touch a hot stove, you will get burned. The comparison between touching a hot stove and administering discipline should be apparent, but let us briefly expand on each of the four points in the analogy.

The impact of a disciplinary action will be reduced as the time between the infraction and the penalty's implementation lengthens. The more quickly the discipline follows the offense, the offense, the more likely it is that the employee will associate the discipline with the offense rather than with the manager imposing the discipline. As a result, kit is best that the disciplinary process begin as soon as possible after the violation is noticed. Of course, this desire for immediacy should not result in undue haste. If all the facts are not in, managers may invoke a temporary suspension, pending a final decision in the case. The manager has an obligation to give advance warning prior to initiating formal disciplinary action. This means the employee must be aware of the organization's rule and accept its standards of behavior. Disciplinary action is more likely to be interpreted as fair by employees when there is clear warning that a given violation will lead to discipline and when it is known that discipline will be. Fair treatment of employees also demands that disciplinary action be consistent. When rule violations are enforced in an inconsistent manner, the rules lose their impact. Morale will decline and employees will question the competence of management. Productivity will suffer as a result of employee insecurity and anxiety. All employees want to know the limits of permissible behavior, and they look to the actions of their managers for such feedback. The last guideline that flows from the hot-stove rule is: keep the discipline impersonal. Penalties should be connected with a given violation, not with the personality of the violator. That is, discipline should be directed at what employees have done, not the employees themselves. As a, manager, you should make it clear that violation personal judgments about the employee's character. You are penalizing the rule violation, not the individual, and all employees committing the violation can expect to be penalized. Furthermore, once the penalty has been imposed, you as manager must make every effort to forget the incident; you should attempt to treat the employee in the same manner as you did prior to the infraction.

## IV. Disciplinary Actions (Progressive discipline)

As mentioned earlier, discipline generally follows a typical sequence of four steps: written verbal warning, written warning, suspension, and dismissal. Let's briefly review these four steps.




### a. Written Verbal Warning

The mildest form of discipline is the written verbal warning. Yes, the term is correct. A written, verbal warning is a temporary record of a reprimand that is then placed in the manager's file on the employee. This written verbal warning should state the purpose, date, and outcome of the interview with the employee. This in fact, what differentiates the written verbal warning from the verbal warning. Because of the need to document this step in the process, the verbal warning must be put into writing. The difference, however, is that this warning remains in the hands of the manager; that is, it is not forwarded to HRM for inclusion in the employee's personnel file.

The written verbal reprimand is best achieved when completed in a private and informal environment. The manager should begin by clearly informing the employee of the rule that has been violated and the problem that this infraction has caused. For instance, if the employee has been late several times, the manager would reiterate the organization's rule that employees are to be at their desks by 8:00 A.M, and then proceed to give specific evidence of how violation of this rule has resulted in an increase in workload for others and has lowered departmental morale. After the problem has been made clear, the manager should then allow the employee to respond. Is he aware of the problem? Are there extenuating circumstances that justify his behavior? What does he plan to do correct his behavior?

After the employee has been given the opportunity to make his case, the manager must determine if the employee has proposed an adequate solution to the problem. If this has not been done, the manager should direct the discussion toward helping the employee figure out ways to prevent the trouble from recurring. Once a solution has been agreed upon, the manager should ensure that the employee understands what, if any, follow-up action will be taken if the problem recurs.

**b. Written Warning**

The second step in the progressive discipline process is the written warning. In effect, it is the first formal stage of the disciplinary procedure. This is because the written warning becomes part of the employee's official personnel file. This is achieved by not only giving the warning to the employee but sending a copy to HRM to be inserted in the employee's permanent record. In all other ways, however, the procedure concerning the writing of the warning is the same as the written verbal warning; that is, the employee is advised in private of the violation, its effects, and potential consequences of future violations. The only difference is that the discussion concludes with the employee being told that a formal written warning will be issued. Then the manager writes up the warning-stating the problem, the rule that has been violated, any acknowledgment by the employee to correct her behavior, and the consequences form a recurrence of the deviant behavior-and sends it to HRM.

**c. Suspension**

A suspension or layoff would be the next disciplinary step, usually taken only the prior steps have been implemented without the desired outcome. Exceptions-where suspension is given without any prior verbal or written warning –occasionally occur if the infraction is of a serious nature.

A suspension may be for one day or several weeks; disciplinary layoffs in excess of a month are rare. Some organizations skip this step completely because it can have negative consequences for both the company and the employee. From the organization's perspective, a suspension means the loss of the employee for the layoff period. If the person has unique skills or is a vital part of a complex process, her loss during the suspension period can severely impact her department or the organization performance if a suitable replacement cannot be located. From the employee's standpoint, a suspension can result in the employee returning in a more unpleasant and negative frame of mind than before the layoff.

Then why should management consider suspending employees as a disciplinary measure? The answer is that a short layoff is potentially a rude awakening to problem employees. It may convince them that management is serious and may move them to accept responsibility for following the organization's rules.

**d. Dismissal**

Management's ultimate disciplinary punishment is dismissing the problem employee. Dismissal should be used only for the most serious offenses. Yet it may be the only feasible alternative when an employee's behavior seriously interferes with a department or the organization's operation.

A dismissal decision should be given long and hard consideration. For almost all individuals, being fired from a fob is an emotional trauma. For employees who have been with the organization for many years' dismissal can make it difficult to obtain new employment or may require the individual to undergo extensive retraining. In addition, management should consider the possibility that a dismissed employee will take legal action to fight the decision. Recent count cases indicate that juries are cautiously building a list of conditions under which employees may not be lawfully discharged.

# B. Employee Separations

## I. Employee Separations

An employee separation occurs when an employee ceases to be a member of an organization. The rate of employee separations in an organization (the turnover rate) is a measure of the rate at which employees leave the firm.

a. **The Costs of Employee Separations**

There are always costs associated with employee separations. The cost may be more or less, depending on whether managers intend to eliminate the position or to replace the departing employee. Costs included in separations include: recruitment costs, selection costs, training costs, and separation costs.

1. Recruitment costs.
2. Selection costs.
3. Training costs.
4. Separation costs.

b. **The Benefits of Employee Separations**

While many people understand the costs of employee separations, there are benefits as well. Some of the benefits of separations include: reduced labor costs, replacement of poor performers, increased innovation, and the opportunity for greater diversity.

1. Reduced labor costs.
2. Replacement of poor performers.
3. Increased innovation.
4. Opportunity for greater diversity.

## II. Types of Employee Separations

Employee separations can be divided into two categories based on who initiates the termination of the employment relationship. Voluntary separations (quits and retirements) are initiated by the employee. Involuntary separations (discharges and layoffs) are initiated by the employer.

a. **Voluntary Separations**

1. Quits.
2. Retirements.

b. **Involuntary Separations**

Involuntary separations occur when management decides to terminate its relationship with an employee due to economic necessity or a poor fit between the employee and the organization.

1. Discharges.
2. Layoffs.
3. Downsizing and rightsizing. A reduction in the number of people employed by a firm (also known as *restructuring* and *rightsizing*); essentially the reverse of a company growing and suggests a one-time change in the organization and the number of people employed

## III. Managing Early Retirements

When a company realizes that it needs to downsize its scale of operations, its first task is to examine alternatives to layoffs. One of the most popular of these methods is early retirement.

- **The Features of Early Retirement Policies:** Early retirement policies consist of two features: (a) a package of financial incentives that make it attractive for senior employees to retire earlier than they planned and (b) an open window that restricts eligibility to a fairly short period. After the window is closed, the incentives are no longer available to senior employees.

- **Avoiding Problems with Early Retirements:** Managing early retirement policies requires careful design, implementation, and administration. When not properly managed, early retirement policies can cause a host of problems. All managers with senior employees should make certain that they do not treat senior employees any differently than other employees.

## IV. Managing Layoffs

Generally, an organization will institute a layoff when it cannot reduce its labor costs by any other means. Managers should first try to reduce labor costs with layoff alternatives.

- **Alternatives to Layoffs**: There are many alternative methods of reducing labor costs that management should explore before deciding to conduct a layoff. These alternatives include things such as early retirements, employment policies (attrition and hiring freeze), job redesign (job sharing), pay and benefits policies (pay freezes and cuts), training, and other voluntary workforce reductions.

1. Employment policies.
2. Changes in job design.
3. Pay and benefits policies.
4. Training.
5. Nontraditional alternatives to layoffs.

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- **Implementing a Layoff:** A layoff can be a traumatic event that affects the lives of thousands of people, so managers must implement the layoff carefully. Issues that need to be considered include how to notify employees, developing layoff criteria, communicating to laid-off employees, coordinating media relations, maintaining security, and reassuring survivors of the layoff.
  1. Notifying employees.
  2. Developing layoff criteria.
  3. Communicating to laid-off employees.
  4. Coordinating media relations.
  5. Maintaining security.
  6. Reassuring survivors of the layoff.

## V. Outplacement

Outplacement is a human resource program created to help separated employees deal with the emotional stress of job loss and to provide assistance in finding a new job

- **The Goals of Outplacement:**

The goals of outplacement reflect the organization's need to maintain employee productivity. The most important of these goals are (1) reducing the moral problems of employees who will be laid off so that they will remain productive; (2) minimizing the amount of litigation initiated by separated employees; and (3) assisting separated employees in quickly finding comparable jobs.

- **Outplacement Services:** The most common outplacement services provided to separate employees are emotional support and job-search assistance. These services can help achieve the goals of outplacement.
  1. Emotional support.
  2. Job-search assistance.

## VI. The role of HR Department in employee separations and outplacement

Cooperation and teamwork characterize the relationship between managers and HR staff in the employee separation process. HR staff can act as valuable advisers to managers, particularly in the dismissal process, by helping them avoid mistakes that can lead to claims of wrongful discharge. They can also help protect the employee whose rights may be violated by managers. Furthermore, they may assist in the development of and/or selection of the contents of voluntary severance plans or buyouts, early retirement plans, and outplacement services

**KEY TERMS**

| | |
|---|---|
| **Employee Separations** | An employee separation occurs when an employee ceases to be a member of an organization. |
| **Downsizing** | A reduction in the number of people employed by a firm (also known as *restructuring* and *rightsizing*) |
| **Outplacement** | A company procedure that assists a laid-off employee in finding employment elsewhere |

**LESSON 40**

**LEADERSHIP**

**LESSON OVERVIEW**

Today we will discuss the role of leadership in the organizations. The face of leadership is changing in business today. In addition to influencing subordinates to achieve desired objectives, today's managers must make quicker, more accurate decisions in a consensus building and teamwork environment. Leaders fill many roles simultaneously. Leaders not only influence others to achieve desired goals, they interact with and motivate subordinates, and deal with conflict and any other issues that may arise.

## A. Leadership

Leadership is a process where Leader/Person, who influences individuals and groups in an organization, helps them establish goals, guides them toward achievement of those goals, and allows them to be effective as a result. Leaders fill many roles simultaneously. Leaders not only influence others to achieve desired goals, they interact with and motivate subordinates, and deal with conflict and any other issues that may arise.

**How Leaders Provide a Vision:** To be effective, leaders must provide a vision that is a general statement of the organization's intended direction that evokes positive emotional feelings in organization members.

### I. The Foundations and Traits of Leadership

a. **The Leader's Traits:** Researchers have studied the traits of successful leaders for many years in an effort to identify a set of core traits that would predict success as a leader. Recent research indicates that there are certain core traits that significantly contribute to success for a business leader. These include drive, the desire to lead, honesty/integrity, self-confidence, cognitive ability and knowledge of the business.

**b. The Leader's Behavior**

**How Leaders Act Like Leaders?** Leadership studies that focus on how the leader's style is related to his/her effectiveness as a leader all focus on what the leader does and how he/she behaves in trying to influence followers. These studies also focus on the two major functions of leaders—accomplishing the task and satisfying the needs of group members.

**Initiating Structure and Consideration:** Initiating structure and consideration have been two of the most frequently used descriptions of leader behavior. These concepts evolved from the Ohio State University leadership studies. Initiating structure is leader behavior whereby the person organizes work to be done and defines relationships or roles, the channels of communication, and ways of getting jobs done. Consideration is leader behavior indicative of mutual trust, friendship, support, respect, and warmth. In most situations, considerate leaders will have more satisfied subordinates, but the effects of such considerate leadership on employee performance are inconsistent. The effects of initiating structure are also inconsistent with respect to performance and satisfaction.

**Participative and Autocratic Styles:** Leaders can act in either a participative or autocratic style. Autocratic leaders solve problems and make decisions by themselves based upon information available at the time. Participative leaders share the problem with subordinates as a group, and together, they generate and evaluate alternatives and attempt to reach consensus on a solution.

**Transformational Leadership Behavior:** Transformational leaders encourage and obtain performance beyond expectations by formulating visions, inspiring their subordinates to pursue them, cultivating employee acceptance and commitment to their visions, and providing their employees with the big picture. Transformational leaders are perceived as charismatic, inspirational, considerate, and stimulating. On the other hand, leaders who exhibit transactional behaviors are more focused on accomplishing the task at hand and maintaining good working relations with subordinates by rewarding for performance.

**Are There Gender Differences in Leadership Styles?** Research suggests that there are few differences in the way men and women lead. The slower career progression for women can be better accounted for by institutional biases and inaccurate stereotypes of women managers. It has been found that men and women perform at about the same level. Women managers have been found to be more achievement oriented, understanding, patient, relationship oriented, socially sensitive, and communicative than men.

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**c. Situational Theories of Leadership**

- **Fiedler's Contingency Theory of Leadership:** Fiedler used a least preferred coworker (LPC) scale to measure whether a leader who was lenient in evaluating associates he/she least liked working with was more likely or less likely to have a high-producing group than the leader who was demanding and discriminating. Three factors combine to determine which leadership style is more appropriate: position power, task structure, and leader-member relations. Fiedler concluded that if the situation is favorable or unfavorable to the leader, a more task-oriented, low-LPC leader is appropriate. In the middle range where the factors are more mixed, a more people-oriented, high-LPC leader is more appropriate. Recent research findings cast doubt on the validity of these conclusions.

- **Path-Goal Leadership Theory:** Path-goal theory of leadership, developed by House, is based upon expectancy theory, which states whether a person will be motivated depends on whether the person believes he/she has the ability to accomplish a task and his/her desire to do so. The theory concludes that leaders should increase the personal rewards subordinates receive for attaining goals and make the path to these goals easier to follow. The leadership style required depends upon the situation, so the leader must be flexible and adopt the style that is required.

- **Leader-Member Exchange Theory:** Leader-member exchange theory (LMX) says that leaders may use different styles with different members of the same work group. Followers tend to fall in either the in-group or the out-group in relating to the leader. The quality of leader-member exchanges was positively related to a leader's perception of the follower's similar attitudes and extroversion. The findings suggest that leaders should try to make the in-group more inclusive, and followers should try to be in the leader's in-group by emphasizing similarity in attitudes.

- **The Situational Leadership Model:** The situational leadership model of leadership suggests that a leader should adapt his/her leadership style (delegating, participating, selling, or telling) to the task.
    - **The Vroom-Jago-Yetton Model:** Vroom, Jago, and Yetton have developed a leadership model that enables a leader to analyze a situation and decide whether it is right for participation. The technique includes a set of management decision styles, a set of diagnostic questions, and a decision tree for identifying how much participation is called for in a situation.

## II. Power and Leadership

Leaders without power are really not leaders because they have no chance of influencing anyone to do anything. Leaders in organizations normally derive much of their power from their formal position and the ability to allocate rewards. In some cases, leaders may have expert or referent power depending upon their individual characteristics.

## III. Becoming a Leader

**Start to think Like a Leader:** Thinking like a leader requires applying the three-step model: identify what is happening; account for it; and decide on the necessary leadership actions. And remember that leading requires knowledge of matters other than leadership theories (e.g., culture, motivation, groups, conflict, and change) to influence followers to move toward goals.

**Develop Your Judgment:** Leaders can improve their judgment or decision-making ability by increasing their knowledge, debasing their judgment, being creative, using intuition, not overstressing the finality of decisions, and making sure the timing of a decision is right.

**Develop Your Other Leadership Traits:** Leaders can use good judgment, exhibit self-confidence, and improve their knowledge of the business to improve their effectiveness.

**Start to Build Your Power Base:** Leaders can strengthen the foundation of their leadership by making sure followers share their vision, adapting their leadership style and actions to the situation, substituting other management skills to help them lead by choosing the right followers, and organizing the task properly to reduce the need for leadership.

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**Help Others Share Your Vision:** Ensuring that your subordinates know and understand your vision, mission, and objectives can help the leader influence the subordinates to work enthusiastically toward achieving an objective.

**Adapt Your Style and Actions to the Situation:** No one leadership style is appropriate for every situation.

**Use Your Other Management Skills to Lead:** Leaderships should choose the right followers and organize the task properly.

## B. Building Trust: The Essence of Leadership

### I. Understanding Trust

Trust is a positive expectation that another will not act opportunistically. The two most important elements of our definition are that it implies familiarity and risk. Trust is a history-dependent process based on relevant but limited samples of experience. It takes time to form, building incrementally and accumulating, it involves making oneself vulnerable. By its very nature, trust provides the opportunity for disappointment. But trust is not taking risk per se; rather it is a willingness to take risk. Recent evidence has identified five: integrity, competence, consistency, loyalty, and openness. Integrity refers to honesty, conscientiousness, and truthfulness. This one seems to be most critical when someone assesses another's trustworthiness. Competence encompasses an individual's technical and interpersonal knowledge and skills. Consistency relates to an individual's reliability, predictability, and good judgment in handling situations. Loyalty is the willingness to protect and save face for another person. The final dimension of trust is openness.

### II. Trust as One Foundation of Leadership

1. Trust appears to be a primary attribute associated with leadership.
2. Part of the leader's task has been working with people to find and solve problems, but whether leaders gain access to the knowledge and creative thinking they need to solve problems depends on how much people trust them.
3. When followers trust a leader, they are willing to be vulnerable to the leader's actions.
4. Honesty consistently ranks at the top of most people's list of characteristics they admire in their leaders.
5. Now, more than ever, managerial and leadership effectiveness depends on the ability to gain the trust of followers.
6. In times of change and instability, people turn to personal relationships for guidance; and the quality of these relationships are largely determined by level of trust.

7. Moreover, contemporary management practices such as empowerment and the use of work teams require trust to be effective.

### III. Types of Trust

- **Deterrence-based Trust:** The most fragile relationships are contained in deterrence-based trust, based on fear of reprisal if the trust is violated. It works only to the degree that punishment is possible, consequences are clear, and the punishment is actually imposed if the trust is violated. To be sustained, the potential loss of future interaction with the other party must outweigh the profit potential that comes from violating expectations. Most new relationships begin on a base of deterrence. In a new manager-employee relationship the bond that creates this trust lies in the authority held by the boss and the punishment he/she can impose.

- **Knowledge-based Trust:** Most organizational relationships are rooted in knowledge-based trust. Trust is based on the behavioral predictability that comes from a history of interaction. Knowledge of the other party and predictability of his or her behavior replaces the contracts, penalties, and legal arrangements more typical of deterrence-based trust. This knowledge develops over time, largely as a function of experience. The more communication and regular interaction you have with someone else, the more this form of trust can be developed and depended upon. Interestingly, at the knowledge-based level, trust is not necessarily broken by inconsistent behavior. If you can adequately explain or understand another's apparent violation, you can accept it, forgive the person, and move on in the relationship. Most manager-employee relationships are knowledge-based.

- **Identification-based Trust:** The highest level of trust is achieved when there is an emotional connection between the parties. It allows one party to act as an agent for the other and substitute for that person. This mutual understanding is developed to the point that each can effectively act for the other. Controls are minimal at this level. The best example of identification-based trust is a long-term, happily married couple. You see identification-based trust occasionally in organizations among people who have worked together for long periods of time and have a depth of experience that allows them to know each other inside and out. This is also the type of trust that managers ideally seek in teams.

## KEY TERMS

**Leadership** Leadership is a process where Leader/Person who influences individuals and groups in an organization.

**Trust** Trust is a positive expectation that another will not act opportunistically.

**Vision** **V**ision that is a general statement of the organization's intended direction that evokes positive emotional feelings in organization members.

LESSON 41

## REVISION (LESSON 12-21)

### KEY TERMS

| | |
|---|---|
| **Plans** | Plans are methods for achieving a desired result. |
| **Simulation** | A technique for experimenting with a real-world situation through a mathematical model representing that situation. A model is an abstraction of the real world. |
| **Strategic planning** | The process by which top management determines overall organizational purposes and objectives and how they are to be achieved. |
| **Human resource planning (HRP)** | It is the process of systematically reviewing human resource requirements to ensure that the required number of employees, with the required skills, is available when they are needed. |
| **Layoffs** | At times, the firm has no choice but to actually lay off part of its workforce. |
| **Strategic planning** | It is the process by which top management determines overall organizational purposes and objectives and how they are to be achieved. |
| **Human Resource Information System** | HRISs are systems used to collect, record, and store, analyze, and retrieve data concerning an organization's human resources. |
| **Job Analysis:** | Studying and under-standing jobs through the process known as *job analysis* is a vital part of any HRM program |
| **Job Specification** | A job specification is a document containing the minimum acceptable qualifications that a person should possess in order to perform a particular job |
| **Job Description** | A job description is a written statement of what the jobholder actually does, how he or she does it, and under what conditions the job is performed. |
| **Job Evaluation** | It suggests about the relevant importance of a particular job in organization. |
| **Job Identification** | Contains the job title, the FLSA status, date, and possible space to indicate who approved the description, the location of the job, the immediate supervisor's title, salary and/or pay scale. |
| **Job Summary** | Describe the general nature of the job, and includes only its major functions or activities. |
| **Recruitment:** | It is the process of attracting individuals on a timely basis, in sufficient numbers and with appropriate qualifications, and encouraging them to apply for jobs with an organization. |
| **Internal Recruiting Sources** | When job vacancies exist, the first place that an organization should look for placement is within itself |
| **Job Evaluation** | It is used to evaluate the importance of job by considering its contribution towards achievements of the objectives of organization. |

| | |
|---|---|
| **Advertising** | A way of communicating the employment needs within the firm to the public through media such as radio, newspaper, television, industry publications, and the Internet. |
| **Yield Ratios**: | Yield Ratios help organizations decide how many employees to recruit for each job opening. |
| **Validity**: | The extent to which a test measures what it purports to measure. If a test cannot indicate ability to perform the job, it has no value as a predictor. |
| **Snap Judgments:** | This is where the interviewer jumps to a conclusion about the candidate during the first few minutes of the interview. |
| **Outsourcing** | Out sourcing is the process of transferring responsibility for an area of service and its objectives to an external service provider instead of internal employee. |
| **Contingent Workers** | It is also known as part-timers, temporaries, and independent contractors, comprise the fastest-growing segment of our economy. |
| **Internships** | A special form of recruiting that involves placing a student in a temporary job. |
| **Recruitment:** | Recruiting refers to the process of attracting potential job applicants from the available labor force. |
| **Selection Process** | *Selection* is the process of choosing from a group of applicants those individuals best suited for a particular position. |
| **Application Blank** | Application blank is a formal record of an individual's application for employment. |
| **Standardization**: | Refers to the uniformity of the procedures and conditions related to administering tests. It is necessary for all to take the test under conditions that are as close to identical as possible. |
| **Objectivity**: | Achieved when all individuals scoring a given test obtain the same results. |
| **Norms**: | Provide a frame of reference for comparing applicants' performance with that of others. A norm reflects the distribution of scores obtained by many people similar to the applicant being tested. The prospective employee's test score is compared to the norm and the significance of the test score is determined. |
| **Reliability:** | The extent to which a selection test provides consistent results. If a test has low reliability, its validity as a predictor will also be low. To validate reliability, a test must be verified. |
| **Socialization:** | Teaching the corporate culture and philosophies about how to do business<br>In order to reduce the anxiety that new employees may experience, attempts should be made to integrate the person into the informal organization. |
| **Training:** | Training is a process whereby people acquire capabilities to aid in the achievement of organizational goals. It involves planned learning activities designed to improve an employee's performance at her/his current job. |
| **Corporate Culture:** | The firm's culture reflects, in effect, how we do things around here. This relates to everything from the way employees dress to the way they talk. |

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**LESSON 42**

## REVISION (LESSON 22-26)

### KEY TERMS

**Training** The process of teaching new employees the basic skills they need to perform their jobs.

**Task Analysis** A detailed study of a job to identify the skills required so that an appropriate training program may be instituted.

**Performance Analysis** Careful study of performance to identify a deficiency and then correct it with new Equipment, a new employee, a training program, or some other adjustment.

**On-the-job Training (OJT)** Training a person to learn a job while working at it.

**Vestibule or Simulated** Training employees on special off-the-job equipment, as in training airplane pilot training, whereby training costs and hazards can be reduced.

**Coaching/Mentoring** A method of on-the-job training where an experienced worker or Method the trainee's supervisor trains the employee.

**Action Learning** A training technique by which management trainees are allowed to work full-time analyzing and solving problems in other departments.

**Case Study Method** A development method in which the manager is presented with a written description of an organizational problem to diagnose and solve.

**Business Games** A development technique in which teams of managers compete with one another by making computerized decisions regarding realistic but simulated companies.

**Behavior Modeling** A training technique in which trainees are first shown good management techniques in a film, are then asked to play roles in a simulated situation, and are then given feedback and praise by their supervisor.

**Learning Organization** An organization skilled at creating, acquiring, and transferring knowledge and at modifying its behavior to reflect new knowledge and insights.

**Training** The heart of a continuous effort designed to improve employee competency and organizational performance.

**Human Resource Development**
A major HRM function that consists not only of T&D but also individual career planning and development activities and performance appraisal.

**Learning Organizations** Firms that recognize the critical importance of continuous performance-related training and development and take appropriate action.

**Job Rotation** It involves moving employees from one job to another for the purpose of providing them with broader experience.

**Assistant to Position** Employees with demonstrated potential are sometimes given the opportunity to work under a successful manger.

**Job Rotation** It involves moving employees to various positions in organization in an effort to expand their skills, knowledge and abilities.

| | |
|---|---|
| **Career** | Career can be defined as a general course of action a person chooses to pursue throughout his or her working life. |
| **Career planning** | Career planning is an ongoing process through which an individual sets career goals and identifies the means to achieve them. |
| **Career Paths** | Career paths have historically focused on upward mobility within a particular occupation. |
| **Career Development** | A formal approach taken by an organization to help people acquire the skills and experiences needed to perform current and future jobs is termed as career development. |
| **Mentoring & Coaching** | When senior employee takes an active role in guiding another individual, we refer to this activity as mentoring and coaching. |
| **Dual-Career Path** | A career-path method, that recognizes that technical specialists can and should be allowed to continue to contribute their expertise to a company without having to become managers. |
| **Performance** | Performance can be defined as efforts along with the ability to put efforts supported with the organizational policies in order to achieve certain objectives. |
| **Motivation** | Activities in HRM concerned with helping employees exert high energy levels and to get performance in desirable direction. |
| **Performance Management** | A process that significantly affects organizational success by having managers and employees work together to set expectations, review results, and reward performance. |
| **Performance** | Performance appraisal is a system of review and evaluation of an individual or team's job performance. |
| **Halo Error** | Occurs when the evaluator perceives one factor as being of paramount importance and gives a good or bad overall rating to an employee based on this factor. |
| **MBO** | It is a goal-oriented performance appraisal method, requires that supervisors and employees determine objectives for employees to meet during the rating period, and the employees appraise how well they have achieved their objectives. |
| **360-Degree Feedback** | Involves input from multiple levels within the firm and external sources as well. |
| **Central Tendency** | Occurs when employees are incorrectly rated near the average or middle of the scale. |

LESSON 43

## REVISION (LESSON 27-35)

### KEY TERMS

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|---|---|
| **Job Evaluation** | Job evaluation means systematically determining relative worth of jobs to create job structure. |
| **Point Method** | Raters assign numerical values to specific job components, and the sum of these values provides a quantitative assessment of a job's relative worth. |
| **Classification Method** | A job evaluation method by which a number of classes or grades are defined to describe a group of jobs is known as Classification method. |
| **Ranking Method** | Raters examine the description of each job being evaluated and arrange the jobs in order according to their value to the company. |
| **EAPs** | Specific programs designed to help employees with personal problems. |
| **Positive Reinforcement** | Applying a valued consequence that increases the likelihood that the person will repeat the behavior that led to it is termed as positive reinforcement. |
| **Punishment** | Punishment means administering an aversive consequence. |
| **Merit Pay** | A pay increase given to employees based on their level of performance as indicated in the appraisal. |
| **Equity** | Workers' perceptions that they are being treated fairly. Compensation must be fair to all parties concerned and be perceived as fair. |
| **External Equity** | Exists when a firm's employees are paid comparably to workers who perform similar jobs in other firms. |
| **Internal Equity** | Exists when employees are paid according to the relative value of their jobs within an organization. |
| **Compensation** | The total of all rewards provided employees in return for their services. |
| **Job Pricing** | Job pricing means placing a dollar value on the worth of a job. |
| **Flexi-time** | The practice of permitting employees to choose, with certain limitations, their own working hours. |
| **Capitation** | Typically, the reimbursement method used by primary care physicians is an approach to health care where providers negotiate a rate for health care for a covered life over a period of time. |
| **Disability protection** | Workers' compensation protects employees from job-related accidents and illnesses. Some firms, however, provide additional protection that is more comprehensive. |
| **(ESOP)** | A defined contribution plan in which a firm contributes stock shares to a trust. |
| **Gain sharing** | Plans that are designed to bind employees to the firm's performance by providing an incentive payment based on improved company performance. |
| **Scanlon plan** | Provides a financial reward to employees for savings in labor costs that result from their suggestions. |

| | |
|---|---|
| **Telecommuting** | Telecommuting is a work arrangement whereby employees are able to remain at home, or otherwise away from the office, and perform their work over telephone lines tied to a computer. |
| **Autonomy** | The extent of individual freedom and discretion employees has in performing their jobs. |
| **Pay for Performance** | Pay for performance refers to any compensation method that ties pay to the quantity or quality of work the person produces. |
| **Empowerment** | Empowerment means giving employees the authority, tools, and information they need to do their jobs with greater autonomy. |
| **Extinction** | Withdrawing or failing or failing to provide a reinforcing consequence. |
| **Punishment** | Administering an aversive consequence. |
| **Positive Reinforcement** | applying a valued consequence that increases the likelihood that the person will repeat the behavior that led to it. |
| **Motivation** | Motivation is the inner drive that directs a person's behavior toward goals. |
| **Safety** | Involves protecting employees from injuries due to work-related accidents. |
| **Health** | Refers to the employees' freedom from physical or emotional illness. |
| **Safety** | Involves protecting employees from injuries due to work-related accidents. |
| **Health** | Refers to the employees' freedom from physical or emotional illness. |
| **Stress** | Stress is the body's nonspecific reaction to any demand made on it. |
| **Burnout** | The total depletion of physical and mental resources caused by excessive striving to reach an unrealistic work-related goal. |
| **Hypnosis** | An altered state of consciousness that is artificially induced and characterized by increased receptiveness to suggestions. |
| **Constraints** | Constraints are barriers that keep us from doing what we desire. |
| **Demands** | Desires that are backed by the purchasing power or affordability. |
| **Biofeedback** | A method of learning to control involuntary bodily processes, such as blood pressure or heart rate. |
| **Transcendental Meditation** | A stress-reduction technique in which an individual, comfortably seated, mentally repeats a secret word or phrase provided by a trained instructor. |
| **Burnout** | An incapacitating condition in which individuals loses a sense of the basic purpose and fulfillment of their work. |
| **Communication** | Exchange of information between people; it occurs when one person understands the meaning of a message sent by another person, and responds to it. |
| **Noise** | All factors that interfere with and distort communication. |
| **Encoding** | Process by which sender puts a message in a certain format to send to the receiver. |

| | |
|---|---|
| **Feedback** | Information about some behavior and its effect. |
| **Decoding** | Process by which the receiver translates the sender's message into an understandable form. |
| **Grievance procedure** | A formal, systematic process that permits employees to complain about matters affecting them and their work. |
| **Collective bargaining** | The process through which representatives of management and the union meet to negotiate a labor agreement. |
| **Mediation** | A process whereby a neutral third party enters a labor dispute when a bargaining impasse has occurred. |
| **Boycotts** | An agreement by union members to refuse to use or buy the firm's products. |
| **Arbitration** | The process that allows the parties to submit their dispute to an impartial third party for resolution. |

LESSON 44

## INTERNATIONAL DIMENSIONS OF HRM

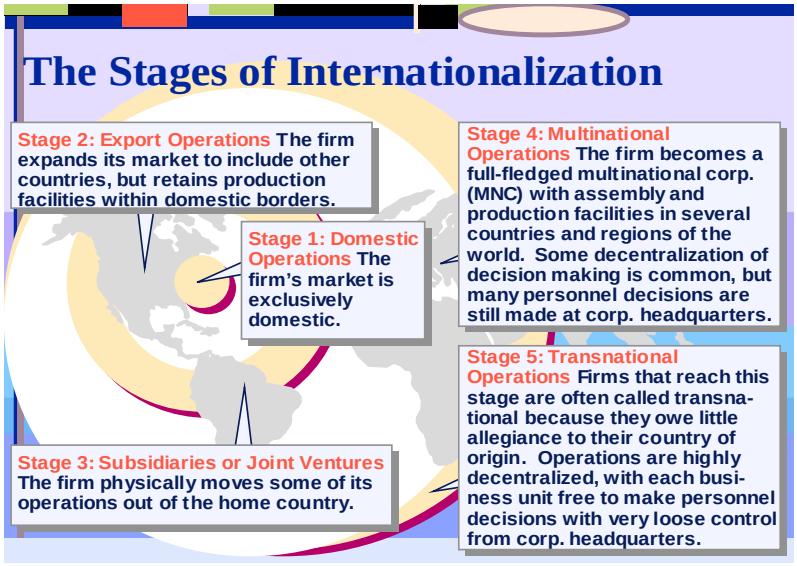
This lecture demonstrates how managers can effectively utilize HRM practices to enhance their firms' competitive response in an era when the opportunities and challenges facing business are international in nature. It covers the stages of international involvement, the challenges of expatriate job assignments, and the ways to make those assignments more effective. It also discusses the development of HRM policies in a global context and the specific HR concerns of exporting firms.

## A. Managing Human Resources in an International Business

Globally, HR executives are strategic partners with line managers and actively participate in top-level business decisions that bring human resource perspectives to the global management of a company. Basically, the role of the global human resource executive is focused on being a strategic business partner and decision maker. Any human resource initiative must be based on maximizing productivity to best benefit the bottom line, and, therefore, a solid understanding of the total global system is essential. Just as global business enterprises evolve, so do the human resources that support them. The global human resources role is, and should be, a natural extension of the positive orientation toward global human resource management and the recognition of the strategic role that must play.

### I. The Stages of International Involvement

Firms progress through five stages (e.g., domestic operations, export operations, subsidiaries or joint ventures, multinational operations, and transnational operations) as they internationalize their operations. See **Figure** for a graphical display of these stages. The higher the stage, the more HR practices need to be adapted to diverse cultural, economic, political, and legal environments. For example, HRM practices at Stage 5 companies (transnational corporations) are designed to blend individuals from diverse backgrounds to create a shared corporate (rather than national) identity and a common vision. The evolution of global business stages are:




- **Exporting**—Selling abroad, either directly or indirectly, by retaining foreign agents and distributors.
- **Licensing**—An arrangement whereby an organization grants a foreign firm the right to use intellectual properties such as patents, copyrights, manufacturing processes, or trade names for a specific period of time.
- **Franchising**—The parent company grants another firm the right to do business in a prescribed manner. Franchisees must follow stricter operational guidelines than do licensees. Licensing is usually limited to manufacturers, whereas franchising is popular with service firms such as restaurants and hotels.
- **Multinational Corporation (MNC)**—A firm that is based in one country (the parent or home country) and produces goods or provides services in one or more foreign countries (host countries).
- **Global Corporation**—Has corporate units that are integrated to operate as one organization worldwide in a number of countries.

## II. Global Human Resource Management

The utilization of global human resources to achieve organizational objectives without regard to geographic boundaries. Those engaged in the management of global human resources develop and work through an integrated global human resource management system similar to that experienced domestically.

## III. Global Staffing

A global organization must have qualified individuals in specific jobs at specific places and times in order to accomplish its goals. This process involves obtaining such people globally through human resource planning, recruitment, and selection.

**A. Type of staff members**

1. **Expatriate**: An employee working in a firm who is not a citizen of the country in which the firm is located but is a citizen of the country in which the organization is headquartered.
2. **Host-country national (HCN)**: An employee working in a firm who is a citizen of the country in which the firm is located, but where the firm is operated by an organization headquartered in another country. Normally the bulk of employees in international offices will be host-country nationals.
3. **Third-country national (TCN)**: A citizen of one country, working in a second country, and employed by an organization headquartered in a third country.

**B. Approaches to Global Staffing**

1. **Ethnocentric staffing**: Companies primarily hire expatriates to staff higher-level foreign positions.
2. **Polycentric Staffing**: When more host-country nationals are used throughout the organization, from top to bottom.
3. **Regiocentric Staffing**: Similar to the polycentric approach, but regional groups of subsidiaries reflecting the organizations strategy and structure work as a unit.
4. **Geocentric staffing**: A staffing approach that uses a worldwide integrated business strategy.

**Global training and development is needed because people, jobs, and organizations are often quite different globally.**

## IV. Global Human Resource Development

a. **Expatriate Development**—The development process should start as soon as the workforce is selected, even before beginning global operations if possible.

b. **Repatriation Orientation and Training**—Orientation and training is necessary prior to repatriation, which is the process of bringing expatriates home. Repatriation orientation and training is needed to prepare the employee, and the family, for a return to the home-country culture and to prepare the expatriate's new subordinates and supervisor for the return.

## V. Global Compensation and Benefits

Probably the main reason that organizations relocate to other areas of the world is because of high-wage pressures that threaten their ability to compete on a global basis. Basically, the compensation levels are usually much lower globally. Variations in laws, living costs, tax policies, and other factors all must be considered when establishing global compensation packages.

## VI. Global Safety and Health

Safety and health aspects of the job are important because employees who work in a safe environment and enjoy good health are more likely to be productive and yield long-term benefits to the organization. For this reason, progressive global managers have long advocated and implemented adequate safety and health programs. Basically, U.S.-based global operations are often safer and healthier than those of the host-country operations, but frequently not as safe as similar operations in the United States.

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## VII. Possible Barriers To Effective Global Human Resource Management

Unfortunately, a global organization must cope with various unknowns. The management of HR functions globally is enormously complicated by the need to adapt HR policies and practices to different host countries. HR management must consider the potential impact of global differences on human resources. Differences in politics, law, culture, economics, labor/management relations systems, and other factors complicate the task of global human resource management.

a. **Political and Legal Factors**—the nature and stability of political and legal systems vary throughout the globe. Firms enjoy a relatively stable political and legal system. The same is true in many of the other developed countries, particularly in Europe. However, in other nations, the political and legal systems are much more unstable. Some governments are subject to coups, dictatorial rule, and corruption, which can substantially alter the business environment as well as the legal environment. Legal systems can also become unstable, with contracts suddenly becoming unenforceable because of internal politics.

b. **Cultural Factors**—Cultural differences vary from country to country with corresponding differences in HR practices. HR practices must be adapted to local cultural norms, and, therefore, most HR staff members in a foreign subsidiary should be drawn from host-country nationals. However, just because certain cultural norms are restrictive does not mean that an attempt at change should not be made. Companies must bring in a critical mass of expatriates who carry the culture with them and always leave one or two behind to oversee locals and ensure that they are following corporate policies. The key is to accommodate local cultures but maintain the critical nature of the corporate culture.

c. **Economic Factors**—Differences in economic systems must also be thoroughly investigated. In a capitalist system, the overwhelming need for efficiency favors HR policies and practices that value productivity and efficiency. In a socialist system, HR practices favor the prevention of unemployment, often at the expense of productivity and efficiency, which is often unacceptable. The impact of economic factors on pending global operations must be fully understood and accounted for prior to developing HR policies and practices. Probably one of the greatest economic factors is the difference in labor costs.

d. **Labor/Management Relations Factors**—The relationship between workers, unions, and employers varies dramatically from country to country and obviously has an enormous impact on HR management practices.

## VIII. The Challenges of Expatriate Assignments

One of the most challenging tasks for any firm operating internationally is to manage its expatriate work force effectively.

### a. Why International Assignments End in Failure

The failure, expatriates is estimated to be in the 20 to 40 percent range. Six factors account for most failures.

1. Career blockage
2. Culture shock
3. Lack of pre-departure cross-cultural training
4. Overemphasis on technical qualifications
5. Getting rid of a troublesome employee
6. Family problems

**Difficulties on Return**

When the expatriates return home, they may experience additional problems, which include:

7. Lack of respect for acquired skills
8. Loss of status
9. Poor planning for return position
10. Reverse culture shock

**Effectively Managing Expatriate Assignments with HRM Policies and Practices**
Companies can minimize the chances of failure by putting in place a sensible set of HRM policies and practices that get to the root of the problems. Such policies and practices would pertain to selection, training, career development, and compensation. Adequate practices in these areas can be used to avoid problems.

**Selection**
The choice of an employee for an international assignment is a critical decision. To choose the best employee for the job, management should:
1. Emphasize cultural sensitivity as a selection criterion
2. Establish a selection board of expatriates
3. Require previous international experience
4. Explore the possibility of hiring foreign-born employees
5. Screen candidates' spouses and families

**Training**
The assumption that people everywhere respond in similar fashion to the same images, symbols, and slogans has hurt U.S. companies. Cross-cultural training sensitizes candidates for international assignment to the local culture, customs, language, tax laws, and government.

**Career Development**
The expatriate's motivation to perform well on an international assignment will depend to a large amount on the career development opportunities offered by the employer.

**Compensation**
Firms can use compensation packages to enhance the effectiveness of expatriate assignments. However, compensation policies can create conflict if locals compare their pay packages to the expatriate have and conclude that they are being treated unfairly.

**Global Equal Employment Opportunity**
Equal employment opportunity worldwide ranges from virtually none to a highly sophisticated system. Some countries have extensive EEO laws, and they are enforced vigorously. Other countries have similar laws that are not enforced, whereas others have no laws relating to EEO.

## Eight Keys to Global Human Resource Management of Expatriates

Global HR management of expatriates can be made simpler and more manageable by following eight steps, which are general guidelines for developing an expatriate workforce.

- The global business plan must be completely understood to make it easier to determine how existing human resource policies can be adapted to accomplish global objectives.
- The company's Foreign Service policy should be a set of guidelines, not rigid rules, for relocating employees and their families around the world while maintaining the domestic corporate culture.
- Develop a global budget process so the overall cost of each expatriate global assignment can be estimated. Such costs represent enormous investments and should be carefully considered to determine if expatriates or host-country or third-country nationals should be used.
- Profile the candidate and his or her family to determine who might be an effective candidate for a global assignment. Often an entire family, not just an employee, must be considered in making the determination.
- The terms and conditions of the global assignment should be clearly stated up front. Expatriates should be given both a verbal and written presentation of the assignment's terms and conditions to ensure a complete understanding of both the benefits and responsibilities of the global assignment.
- Prepare expatriates and their families for relocation with departure orientation and training. Employees and their families should be given language training and cultural training, as well as a general orientation of everyday living and local customs.
- Develop and implement a continual development process to take advantage of the employee's global experiences, including career planning, as well as home-country development during the global assignment period.
- Prepare returning expatriates and their families with repatriation orientation training.

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## Maintaining Corporate Identity through Corporate Culture

Maintaining an effective corporate culture that reflects that of the home country is essential for continuity worldwide and often requires innovative insight. When a U.S. company hires too many local people in its foreign offices, it risks losing the unique set of values and operating procedures that defines its corporate culture.

Often a corporation forms an alliance with a company in the host country. In such situations, it is essential that the corporate cultures and management styles of the partners blend together as quickly as possible. Long-term success means having a corporate culture that supports the goals of the global organization and effectively deals with the international business environment. As a firm becomes more and more global in nature, it becomes more difficult to have a supportive corporate culture. Alliances are useful for all partners because collaboration makes it possible to share the costs and risks of doing business, and it enables companies to share financial resources, technology, production facilities, marketing expertise, and of course, human resources. However, problems may occur in international alliances when people from different organizations and national cultures work together. Regardless of whether an alliance exists, it is essential that the corporate culture focus on making a profit. Combining an effective corporate culture that keys on innovatively coping with the global environment and, at the same time, being profitable is what all global companies must strive for. Ideally, the corporate culture of global corporations will closely parallel that of the home country.

**KEY TERMS**

| | |
|---|---|
| **Ethnocentric Staffing** | Companies primarily hire expatriates to staff higher-level foreign positions. |
| **Polycentric Staffing** | When more host-country nationals are used throughout the organization, from top to bottom. |
| **Regiocentric Staffing** | Similar to the polycentric approach, but regional groups of subsidiaries reflecting the organizations strategy and structure work as a unit. |
| **Geocentric Staffing** | A staffing approach that uses a worldwide integrated business strategy |
| **Expatriate** | An employee working in a firm who is not a citizen of the country in which the firm is located but is a citizen of the country in which the organization is headquartered. |
| **Licensing** | An arrangement whereby an organization grants a foreign firm the right to use intellectual properties such as patents, copyrights, manufacturing processes, or trade names for a specific period of time. |
| **Multinational Corporation** | A firm that is based in one country (the parent or home country) and produces goods or provides services in one or more foreign countries (host countries). |
| **Global Corporation** | Has corporate units that are integrated to operate as one organization worldwide in a number of countries. |

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**LESSON 45**

**CONCLUSION & REVIEW**

In today's lecture, we will be having overview of the entire course we have covered in previous modules and will consider the reasons of importance of HRM.

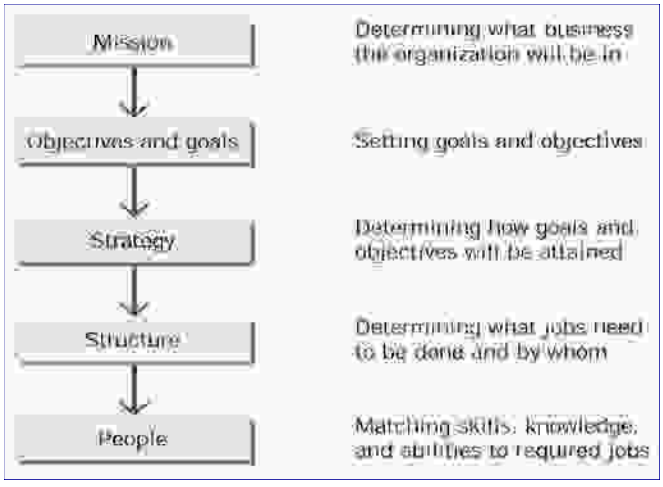
## A. Human Resource Management

A managerial function tries to match an organization's needs to the skills and abilities of its employees. Attracting developing, motivating and retaining required talent and people in organization carries out this function. Workforce of the organization is also being utilized as a source of competitive advantage by acquiring financial or economic capabilities, product capabilities, technological or process capability, organizational capability.

## B. Strategies for Gaining Competitive Advantage

**Competitive advantage** refers to a company's ability to maintain market share and profitability. Any competitive advantage enjoyed by an organization tends to be short-lived because other companies are likely to imitate it. This is as true for HR advantages as for technological and marketing advantages. For example, many high-tech firms have "borrowed" reward programs for key scientists and engineers from other successful high-tech firms. The challenge from an HR perspective is to develop strategies that offer the firm a sustained competitive advantage. For instance, a company may develop programs that maximize present employees' potential through carefully developed career ladders while at the same time rewarding them generously with company stock with strings attached (for example, a provision that they will forfeit the stock if they quit before a certain date).

a. **Cost leadership** A cost leadership strategy is a competitive strategy in which a company aims to become the low-cost leader in the industry by emphasizing the attainment of absolute cost advantages from any and all sources. Requires a balance between low costs and acceptable quality.
b. **Differentiation** A differentiation strategy is a competitive strategy in which a company seeks to be unique in its industry in a way that is valued by the customers. HR strategies that fit a differentiation strategy emphasize innovation, flexibility, and renewal of the work force by attracting new talent from other firms, opportunities for mavericks, and reinforcement (rather than discouragement) of creative flair. The specific HR strategies that are likely to benefit differentiators include the use of broad job classes, loose work planning, external recruitment at all levels, team-based learning, emphasis on what the individual can do (rather than on the job title held) as a basis for pay, and reliance on performance appraisal as a developmental (rather than a control) device.
c. **Focus Strategy**: A focus strategy is a competitive strategy in which a company selects a market segment and serves the customers in that particular market niche better or cheaper than its competitors. The *focus strategy* relies on both a low-cost position and differentiation, with the objective of serving a narrow target market better than other firms. The firm seeks to achieve differentiation either from better meeting the needs of the particular target, or from lowering costs in serving this target, or both. The HR strategies likely to fit the focus strategy best would be somewhere in the middle of those described for low-cost producers and differentiators.



## C. The Strategic Management Process

Strategic planning is the process of identifying the business of the firm today and the business of the firm for the future, and then identifying the course of action it should pursue. Strategic planning includes the first five strategic management tasks: evaluating the situation, defining the business, developing the mission, translating the mission into goals, and then crafting a course of action. Strategic management includes the implementation phase. The strategic management process is the continuous process of identifying and pursuing the organization's mission by aligning internal capabilities with the external demands of the environment.

I. **Step 1: Define the Business and Its Mission:** The strategic management process begins with answering the question, in what business should we be? Defining a company's business involves identifying several things: product scope, vertical integration, geographic scope, how they compete. A vision is a general statement of the organizations desired direction that evokes emotional feelings in its members. A mission statement outlines the organization's future path and it communicates its purpose. Managers base their strategic plans on methodical analyses of their internal and external situations.
II. **Step 2: Translate the mission into strategic goals:** Top management's vision and mission are translated into operational strategic goals.
III. **Step 3: Formulate a strategy to achieve the strategic goals**: A strategy is a course of action that explains how the organization will move to achieve its strategic goals given its internal strengths and weaknesses and its external opportunities and threats. Implementation of the strategy means translating the plan strategy into actions and results, which requires drawing on the planning, organizing, leading, and controlling functions of management. Top companies craft strategies whose basic principles are easy to communicate.
IV. **Step 4: Structure:** Some HR strategies fit very well with highly formalized organizations that are divided into functional areas (for example, marketing, finance, production, and so on) and that concentrate decision making at the top. The HR strategies appropriate for this type of firm include a control emphasis, centralized pay decisions, explicit job descriptions, and job-based pay.
V. **Step 5: People:** People in organization mean to have workforce in organization to perform different functions. Different set of HR strategies, include informal hiring and socializing of new employees, decentralized pay decisions, broad job classes, and individual-based pay.

Managers must be alert to opportunities and threats that might require modifying or totally redoing their strategies. Strategic control is the assessing of progress towards strategic goals and taking corrective action as needed and keeping the strategy up-to-date.

## D. Strategic Management Role:

Strategic management role is used to link the firm's HR policies and practices to the broader, longer-term needs of the firm and its stakeholders. Main responsibilities include Setting the direction Crafting corporate- and business-level plans developing and implementing functional plans measuring, evaluating, revising and refocusing, the fit between HR & business strategy

a. **Enabler and Consultant Role**: This role is used to enabling line managers to make things happen main responsibilities include, Training, assisting with problem diagnosis developing solutions with managers being accessible and attuned to employee needs and concerns

c. **Monitoring and Maintaining Role:** Continuous monitoring is required to have compliance with legal regulations and effectiveness of HR activities and this is ensured by the monitoring role by HR department. Main activities performed in this role include monitoring morale, providing support during change and uncertain times

d. **Innovator Role:** Improving productivity and quality of work life it includes: Adapting to an environment of uncertainty, energy conservation, and international competition, justifying the benefits and costs of programs**.**

e. **Change and Knowledge Facilitator Role:** This role is played in order to facilitate organizational change and to maintain the organizational flexibility. It includes focusing on the future, guiding the flow of knowledge, information and learning throughout the organization.

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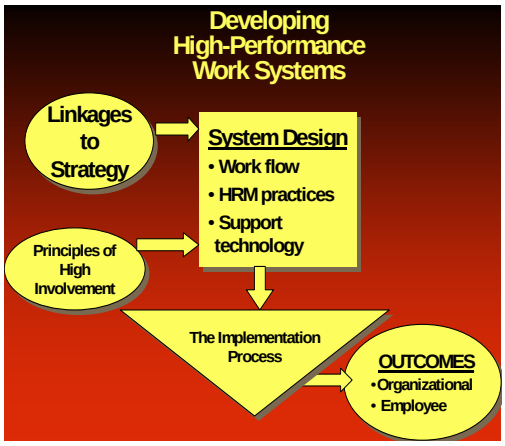
## E. High-performance Work System (HPWS)




A specific combination of HR practices, work structures, and processes that maximizes employee knowledge, skill, commitment, and flexibility is called high performance work systems. This system is composed of many interrelated parts that complement one another to reach the goals of an organization, large or small. This system is based upon the principles of shared information, knowledge development, performance reward linkage and social equality. **High performance work system can bring many advantages to organization they mainly include:**

- **Employee Benefits**: High performance work systems are beneficent for employee in absence that they are provided with opportunity of more involvement in organization, experience growth and satisfaction specifically through organizational training and developmental policies and can become more contributors towards achievement of goals and mission of the organization.
- **Organizational Benefits:** Organization can improve and increase the productivity; it can ensure quality, flexibility in system in order to have more satisfied customers.

## F. Selecting HR Strategies to Increase Firm Performance

No HR Strategy is "good" or "bad" in and of itself. The success of HR strategies depends on the situation or context in which they are used. In other words, an HR strategy's effect on firm performance is always dependent on how well it fits with some of the factors. *Fit* refers to the consistency or compatibility between HR strategies and other important aspects of the organization

### a. Fit with Organizational Strategies

Organizational strategies may be examined at two levels: corporate and business.
***Corporate strategy*** refers to the mix of businesses a corporation decides to hold and the flow of resources among those businesses. This involves decisions pertaining to acquisition, divestment, diversification, and growth. At one end of the spectrum is the evolutionary business strategy; at the other end is the steady-state strategy. ***Business unit strategies*** refer to those established by firms or autonomous units of the corporation. Well-known business strategies were formulated by Porter (overall cost leadership strategy, differentiation business strategy, and focus strategy) and Miles and Snow (defender strategy and prospector strategy).

### b. Fit with the Environment

HR strategies should help the organization better exploit environmental opportunities or cope with the unique environmental forces that affect it. The environment can be examined on four dimensions, including (1) degree of uncertainty, (2) volatility, (3) magnitude, and (4) complexity.

### c. Fit with Organizational Characteristics

To be effective, HR strategies must be tailored to the organization's personality. The features of an organization's personality are its (1) production process for converting inputs into output, (2) market posture, (3) overall managerial philosophy, (4) organizational structure, and (5) organizational culture.

### d. Fit with Organizational Capabilities

An organization's capabilities are its distinct competencies. HR strategies make a greater contribution to a firm's performance (1) when they help to exploit the firm's specific advantages or strengths while avoiding its weaknesses, and (2) when they assist in better using its own unique blend of human resource skills and assets.

### e. Choosing Consistent and Appropriate HR Tactics to Implement HR Strategies

Even the best-laid strategic HR plans may fail when specific HR programs are poorly chosen or implemented. A firm's HR strategies must be mutually consistent. That is, HR strategies are more likely to be effective if they reinforce one another rather than work at cross-purposes.

## G. Expectations for HR Professionals

Today's dynamic environment places some expectations upon the HR professional to meet the changing environment and contingencies these expectations are enlisted as following:

- Understand problems assigned
- Stay competent and professional through study and research
- Maintain high standards of personal honesty and integrity
- Consider the personal interests, welfare, and dignity of all employees affected by recommendations and actions
- Ensure organizations maintain high regard for public interest and personal interests and dignity of employees

## H. Current HRM Challenges

### a. Managing Diversity

A diverse workforce refers to two or more groups, each of whose members are identifiable and distinguishable based on demographic or other characteristics like gender age group, education etc. Several barriers in dealing with diversity include stereotyping, prejudice, ethnocentrism, discrimination, tokenism, and gender-role. Managing diversity means planning and implementing organizational systems and practices to manage people so that the potential advantages of diversity are maximized while its potential disadvantages are minimized. Managers are striving for racial, ethnic, and sexual workplace balance as a matter of economic self-interest. A study found that cultural diversity contributes to improved productivity, return on equity, and market performance.

### b. Managing Change

Many organizations face a volatile environment in which change is nearly constant. If they are to survive and prosper, they need to adapt to change quickly and effectively. Human resources are almost always at the heart of an effective response system.

### c. Managing Globalization

One of the most dramatic challenges facing as they enter the twenty-first century is how to compete against foreign firms, both domestically and abroad. Many companies are already being compelled to think globally, something that doesn't come easily to firms long accustomed to doing business in a large and expanding domestic market with minimal foreign competition.

Weak response to international competition may be resulting in upwards layoffs in every year. Human resources can play a critical role in a business's ability to compete head-to-head with foreign producers. The implications of a global economy on human resource management are many. Some firms try to develop a global company identity to smooth over cultural differences between domestic employees and those in international operations. Minimizing these differences increases cooperation and can have a strong impact on the bottom line. Some firms actively engage in international alliances with foreign firms or acquire companies overseas to take advantage of global markets. Making such alliances work requires a highly trained and devoted staff. These illustrations show how firms can use HR strategies to gain a worldwide competitive advantage.

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d. **Managing Teams**

Team building—activities aimed at improving the internal work and relationship processes of teams—requires attention to both task and interpersonal relationships. In team building, organizations apply the principles of group dynamics to select complementary members, support more cohesion, manage stages of group development, and establish constructive norms that foster high performance. Membership in teams is based on expertise in areas that are necessary for task accomplishment. Trust is the key to team members' commitment to a common goal, mutual accountability, and collaboration. Trust is built on six interdependent factors: the integrity of the members; open communication; mutual respect and support; fairness and equity; competence and hard work; and reward for cooperation. In addition, clear goals are a requirement for effective teamwork. Members of effective teams play eight different roles, all of which are necessary for a complete team and for synergy

## I. Code of Ethics for HR Professionals:

Ethics related problems are faced by the organizations whenever there is a practice of using favoritism rather than ability or job performance for managerial decisions regarding employment, promotion, pay and discipline. These problems can be reduced and eliminated by maintaining the highest standards of professional and personal conduct, encouraging employers to make fair and equitable treatment of all employees a primary concern, maintaining loyalty to employers and pursue company objectives in ways consistent with the public interest, upholding all laws and regulations relating to employer activities, and maintaining the confidentiality of privileged information. People's expectations that their employers will behave ethically are increasing, so much that many firms and professional organizations have created codes of ethics outlining principles and standards of personal conduct for their members. These negative perceptions have worsened over the years. The widespread perceptions of unethical behavior may be attributed to the fact that managerial decisions are rarely clear-cut. Except in a few blatant cases (such as willful misrepresentation), what is ethical or unethical is open to debate. Even the most detailed codes of ethics are still general enough to allow much room for managerial discretion. In other words, many specific decisions related to the management of human resources are subject to judgment calls. Workplace Flexibility: collaborative work in a virtual office

## J. How Can You Gain Support for "Best HR Practices?"

Managers can gain support for best HR practices by linking the use of HR practices to the solution of real business problems, and to achieving tangible business goals. This achievement of goals requires selection of well defined and specific, measurable and realistic goals and communicating the expected standard of performance to workers. Managers should demonstrate how the benefits outweigh the costs of using "best HR practices." Speak the language of business people, i.e., money, not correlation coefficients! Etc.

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## K. Future HR Trends:

- **Workplace Flexibility:** collaborative work in a virtual office as well as flexible work hours is one of future HR trends.
- **Global Business:** borderless business requires a global workforce to perform the function at international business level.
- **Work & Society:** working to live, not living to work
- **Workforce Development:** constant learning in a just-in-time format, learning organization & high skill utilization
- **Definition of Jobs:** jobs get bigger & broader
- **Strategic Role of HR:** becoming leaders, not just partners
- **The Value of Predicting:** having a vision & a way to achieve it.

Key issues of the organization are to achieve efficiency, effectiveness and competitiveness and this can be done by using not ignoring the Knowledge and experience are available. Because most of the time Best HR Practices are not used because of Resistance to change, Ignorance on the part of decision makers and Political considerations. By overcoming these three factors we can have more effectively managed organizations by using HR practices.

***THE END***

## Lecture-23

**Maximizing Learning**

- Selecting the Stage for Learning
- Provide clear task instructions
- Model appropriate behavior

**Increasing Learning during Training**

- Provide for active participation
- Match training techniques to trainees self-efficacy
- Ensure specific, timely, diagnostic, and practical feedback
- Provide opportunities for trainees to practice new behavior

**Maintaining Performance after Training**

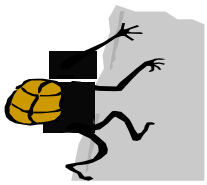
- Develop learning points to assist knowledge retention
- Set specific goals
- Identify appropriate reinforcers
- Teach trainees self-management skills.

**Following up on Training**

Evaluate effectiveness

- Make revisions as needed.

**Learning Principles**



- Participation
- Repetition
- Relevance
- Transference
- Feedback

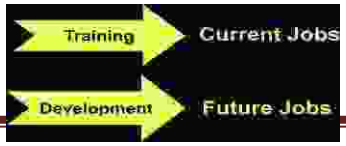
**Purposes of T & D**

- Orient new employees
- Prepare for promotion
- Satisfy personal growth needs
- Reduced learning time
- To cope with the change
- Improve performance
- Update employees skills
- Avoid Managerial Obsolescence
- Solve organizational problems

**Selecting T & D Program**

- Cost effectiveness
- Desired Program content
- Learning principles
- Appropriateness of the facilities
- Trainee performance and capabilities
- Trainer performance and capabilities

**Training vs. Development**

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**Human Resource Development (HRD)**

- HRD has been defined as an organized learning experience, conducted in a definite time period, to increase the possibility of improving job performance and growth.

**HRD programs are divided into Three categories**

- Training,
- Education &
- Development

**Training** Is the acquisition of technology which permits employees to perform their present job to standards.

**Education** Is training people to do a different job. It is often given to people who have been identifies as being promotable, being considered for a new job either lateral or upwards.

**Development** Is training people to acquire new horizons, technology, or viewpoints. It enable leaders to guide their organizations onto new expectations by being proactive rather than reactive.

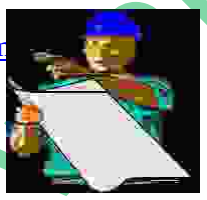
Training for the present, Educating for the future, Developing to lead.

- Developing a succession planning program

Ensure specific, timely, diagnostic, and practical feedback

Provide opportunities for trainees to practice new behavior

**Line Managers and Training and Development**

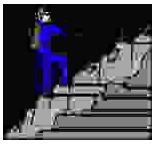


- Provide employee orientation training. www.vuanswer.com
- Assess training needs and plan developmental strategies.
- Provide on-the-job training.
- Ensure transfer of training.

**The HRM Department and Training and Development**

- Provide employee orientation training.
- Contribute to management development programs.
- Provide training and development.
- Evaluate training.

**Lecture-24**



## Career

☿ A career consists of all the jobs held during one's working life

Develop occupational self-image, assess alternative occupations, develop initial occupational choice, pursue necessary education.

Obtain job offer (s) from desired organization (s), select appropriate job based on complete and accurate information.

Learn job, learn organizational rules and norms, fit into chosen occupation and organization, increase competence, pursue goals.

Reappraise early career goals, reaffirm or modify goals, make choices appropriate to middle adult years, remain productive.

Remain productive in work, maintain self-esteem, prepare for effective retirement.

**Career Planning Terms**

**Career Path**

☿ A career path is the sequential pattern of jobs that forms one's career.



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**Career Goals**

- Career goals are the future positions one strives to reach as part of a career. These goals serve as benchmarks along one's career path.

**Career Planning**

- Career planning is the process by which one selects career goals and the path to those goals.

**Career Development**

- Career Development consists of the personal improvements one undertakes to achieve a personal career plan

**Common Concerns**

- Do company training programs help my chances for a promotion?
- How do I advance my career?
- Why hasn't my boss given me career counseling?
- Aren't most promotions based on luck and knowing the right people?
- Do I need a degree for that job?
- With all the talk of downsizing, how secure is my job?

**Individual Career Development**

- Job Performance
- Exposure
- Networking
- Resignations
- Organizational Loyalty
- Mentors and Sponsors
- Key Subordinates
- Growth Opportunities
- International Experience

**Stages of Career Development**

- Stage 1: Preparation for Work (ages 0–25)
- Stage 2: Organizational Entry (ages 18–25)
- Stage 3: Early Career (ages 25–40)
- Stage 4: Mid-career (ages 40–55)
- Stage 5: Late Career (ages 55–retirement)

**Stage 1: Preparation for Work (ages 0–25)**

Traditional career stages

- Exploration stage—involves identifying interests and opportunities.
- Establishment stage—involves creating a meaningful and relevant role in the organization.
- Maintenance stage—involves optimizing talents or capabilities.
- Disengagement stage—the individual begins to gradually pull away from work and develop other interests.

**Alternative Career Moves**

Career Planning

- "If you don't have a plan for yourself you'll be a part of someone else's" - American Proverb
- Career Planning is a tool to encourage employee development
- Important to give employee a sense of a career vs a job with the company
- Having a plan does not mean auto promotion
- Need to have good performance, experience, education, planning and preparation

**Career Planning & Development**

- Often done through planning, education information and counseling

**HR Support & Career Development**

- Develop management support for career planning activities
- Can offer career planning, education, info and counseling

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- Also need to ensure employees receive accurate and timely feedback on career development & performance

**Career Education**

- Employees often know very little about planning
- Feel luck & performance only ways to get ahead
- Might not be aware of other opportunities

**HR can increase planning awareness by**

- Holding seminars
- Workshops
- Speeches
- Newsletters

– All of these items can help to increase interest in planning

– Senior management backing is a must www.vuanswer.com

**Career Counseling**

- Have trained counselors in the department
- Can assist with guidance on realistic goals and plans
- Often self & environmental assessments required

**HR's Role in Career Development**

- The Goal: Matching Individual and Organizational Needs

**Lecture-25**

**Career (cont..)**

**Internal Barriers to Career Advancement**

- Lack of time, budgets, and resources for employees to plan their careers and to undertake training and development.
- Rigid job specifications, lack of leadership support for career management, and a short-term focus.
- Lack of career opportunities and pathways within the organization for employees.

**Successful Career-Management Practices**

- Placing clear expectations on employees.
- Giving employees the opportunity for transfer. www.vuanswer.com
- Providing a clear succession plan
- Encouraging performance through rewards and recognition.
- Encouraging employees to continually assess their skills and career direction.
- Giving employees the time and resources they need to consider short- and long-term career goals.

**Individual and Organizational Perspectives on Career Planning**

**Performance**

Performance =A*E*S

- A: Ability
- E: Effort
- S: Organizational Support

**Why Do We Care?**

Determinants of Job Performance Sample Core Performance Indicators

**Financial (Economic) Perspective**

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**How do we look to shareholders?**
**Survive** Cash flow
**Maintain** Quarterly sales growth and operating income
**Prosper** Increased market share, profit, ROI /value-added

**Customer Perspective**

**How do our customers experience us?**
**New products** Percent of sales derived from new products **Value** Competitive pricing, product quality
**Brand loyalty** Market share **Customer satisfaction** Repeat business, response time, accuracy and minimal product returns …

**Innovation, Learning and Equity**

**How can we sustain our success?**
**Leadership,** Staff development and learning, participation
**Staff stability** Employee retention /turnover trends; satisfaction & loyalty
**Innovation,** Continuous process, improvement and redesign, creativity valued
**Internal Business (Operational) Perspective**
**What must we excel at?**
**Manufacturing excellence,** Product develop cycle time, unit cost, time to market
**Design & productivity,** Efficiency (output per labor cost), material yields
**Factors that influence whether performance will be sustained**

- Valid performance measurement
- Value of reward and negative consequence
- Ongoing feedback

**Why is performance measured?**

- Enhances motivation & productivity
- Assists in validation studies
- Detects problems
- Helps evaluate change efforts
- Provides basis for making decisions
- Differentiates employees in job-related areas
- Helps ensure legal compliance

**What Is Measured?**
Dimensions against which performance is evaluated
**Performance Management**

- A means of getting better results… by understanding and managing performance within an agreed framework of planned goals, standards and competence requirements.
- It is a process to establish a shared understanding about what is to be achieved, and an approach to managing and developing people…(so that it)… will be achieved.

**Goal:**

- Improve the effectiveness & efficiency of the organization by:
- Aligning the employee's work behaviors & results with the organization's goals
- Improving the employee's work behaviors & results
- On-going, integrative process

**Lecture-26**

**Performance Appraisal**

- The ongoing process of evaluating and managing both the behavior and outcomes in the workplace.
- Its goal is to provide an accurate picture of past and / or future employee performance.
- To achieve this, performance standards are established.

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**Objectives of Performance Appraisal**

**Evaluating Objectives**

- Staffing decisions
- Compensation decisions
- Evaluate selection system

**Developmental Objectives** www.vuanswer.com

- Performance feedback.
- Decision for future performance.
- Identify training & development needs.

**What to evaluate?**

- Traits
- Behaviors
- Task Outcomes

**Performance Standards**

- Expected levels of performance
- Benchmarks
- Goals
- Targets
- Should relate back to the job description details

**Characteristics of Well-defined Standards**

- Realistic
- Measurable
- Clearly understood

**Appraisal process**

- Determine performance requirements.
- Choose an appropriate appraisal method.
- Train supervisors.
- Discuss methods with employees.
- Appraise according to Job standards.
- Discuss appraisal with employees.
- Determine future performance goals.

**Performance Appraisal methods**

- **Rating Scales**
  - Graphic Scales
- **Comparative Methods**
  - Ranking
  - Forced Distribution
  - Paired Comparison
- **Critical Incidents**
  - Annual Review
  - Checklist
  - Behaviorally Anchored Rating Scale (BARS)
- Essay
- MBO
- Combination Methods

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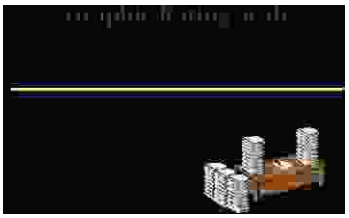
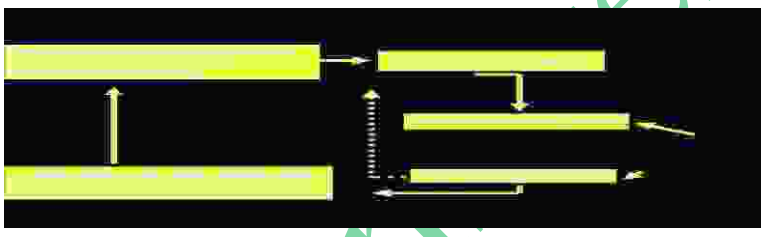
**Graphic Rating Scale**



**BARS Dimension: Quality of Group Member Input**

**Management-By-Objectives**

**Model of the MBO Process**

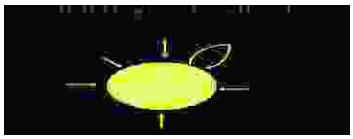


**Appraisal Interviews**

**Who Should Do the Rating?**

- Supervisors
- Peer Evaluation
- Customer/Client Evaluation
- Self Rating
- Reverse Appraisal
- Team Appraisal
- Multiple (360)

**360 Degree Feedback**



**Common Rater Errors in PA's**

- Supervisory Bias
- Halo Effect
- Central Tendency
- Leniency
- Strictness

- Regency
- Overall Rating

**Lecture-27**

**JOB EVALUATION AND PRICING**

**When is Performance Measured?**

- Base timing on organization's strategy
  - Typical times include:
  - Focal-point (everyone at same time)
  - Anniversary
  - Natural time span of job
  - Project base
- How frequently?

**The Line Manager and Performance Appraisal**

- Complete the ratings.
- Provide performance feedback.
- Set performance goals.

**The HRM Department and Performance Appraisal**

- Develop the appraisal system.
- Provide rater training.
- Monitor and evaluate the appraisal system.

**Strategies for Improving Performance**

**Designing an Appraisal System**

- Gain support for the system
- Choose the appropriate rating instrument
- Choose the raters
- Determine the appropriate timing of appraisals
- Ensure appraisal fairness

**Job evaluation and pricing, job analysis outcomes?**

- Job description
- Job specification
- Job evaluation

**Job Evaluation is…**

- Process for ensuring internal equity (jobs of comparable worth receive comparable wages)
- Systematically determining relative worth of jobs to create job structure
- An attempt to identify inputs that are most valuable to the organization & to develop job hierarchy based on which jobs have more or less of those dimensions

**So…..**

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- The comparison results in a wage or salary hierarchy

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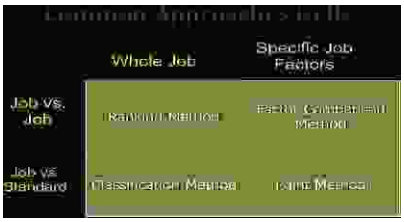
**Choosing a Job Evaluation Method**

- There are four general job evaluation methods.
- Ranking
- Classification
- Factor comparison
- Point factor

**Common Approaches to JE**




**Job Evaluation Method 1:Ranking**

- Simplest method
- Raters examine description of each job
- Jobs arranged in order according to value
- Must first conduct job analysis and write job description

**Method 2: Job Classification**

- Determine how many categories.
- Write definitions for each class – the standards for comparison.
- Rates categories of jobs into groups
- Groups called classes if jobs are similar
- Called grades if groups contain different jobs of similar difficulty
- Compare jobs to be evaluated with class definitions
- Place jobs in appropriate classifications
- Write-up class or grade descriptions
- Draw up a set of guidelines
- Choose compensable factors and develop class or grade definitions

**Example Clerical Worker Classification System**

- Class I – simple work, no supervisory responsibility, no public contact
- Class II – simple work, no supervisory responsibility, public contact
- Class III – Work of medium complexity, no supervisory responsibility, public contact
- Class IV – Work of medium complexity, supervisory responsibility, public contact
- Class V – Complex work, supervisory responsibility, public contact

**Method 3: Factor Comparison**

- Factor comparison is a widely used method to rank jobs by a variety of skills and difficulties, then adding these to obtain a numerical rating for each job
- Obtain job descriptions
- Determine compensable factors (e.g., mental, physical, skill, responsibility, working conditions)
- Select key jobs
- Must vary on the factors
- Must have well-defined rates
- Rank each job on each factor
- Assign money values to factors
- Build master schedule of rates
- Evaluate all other jobs

**Method 4: Point (Factor) Method**

- The point method is more quantitative
- Identifies compensable factors

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**Steps**

- Obtain job data
- Select job evaluators
- Select compensable factors
- Define compensable factors
- Define factor scales
- Assign Point Values to Factors
- Assigning points to degree levels within each factor
- Write up Job Evaluation Manual
- Evaluate all jobs.

**Helpful Criteria When Considering Which to Use…**

- Simplicity & Cost
- ranking  classification  factor comparison  point
- Acceptability
- Understandable, easily communicated
- Reliability & Validity

**Lecture-28**

**COMPENSATION SYSTEM**

- Pay is a statement of an employee's worth by an employer.
- Pay is a perception of worth by an employee.

**Employee Compensation**

- Employee compensation refers to all forms of pay or rewards going to employees and arising from their employment.
- It consists of 2 parts
- Direct financial payments www.vuanswer.com
- Indirect financial payments
- **Direct or Indirect compensation is given based on**
- **Increments of time**
- Hourly
- Salaried
- **Performance**
- Piecework
- Commission
- **Piecework** - Pay is tied directly to what the worker produces

**Wages versus Salaries**

- **Wages:** generally refer to hourly compensation paid to operating employees; the basis for wages is time.
- **Salary:** is income that is paid an individual not on the basis of time, but on the basis of performance.

**Compensation System**

- A total reward system includes both monetary and nonmonetary compensation.

**Phases of Compensation Management**

- **Phase:-1.** Evaluate every job to ensure internal equity based on each job's relative worth.
- **Phase:-2.** Conduct wage and salary surveys to find the rates paid in the labour market.
- **Phase:-3**. Price each job to determine the rate of pay based.

**Objectives of Effective Compensation Management**

- The "Big Three"
- Attract qualified employment applicants
- Retain qualified employees, while discouraging retention of low performing
- Motivate employee behavior toward organization objectives

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- Ensure Equity

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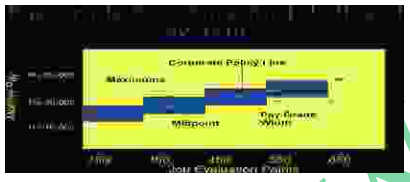
- Reward Desired Behavior
- Control Costs
- Comply With Legal Regulations
- Facilitate Understanding
- Achieve external competitiveness
- Support organization priorities
  - Strategy and goals
  - Culture and values
- Easy to administer

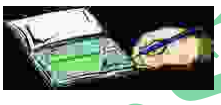
**Steps for Establishing Pay Rates**

- Conduct a salary survey of what other employers are paying for comparable jobs
- Employee committee determines the worth of each job in your organization through job evaluation
- Group similar jobs into pay grades
- Price each pay grade by using wage curves
- Fine-tune pay rates

**Pay Grade Structure for Job-Based System**



**What Determines How Much You Pay?**



- Prevailing Wages
- Ability to Pay
- Cost of Living
- Productivity
- Bargaining Power
- Job Requirements
- Government Laws

**Equity Perceptions**

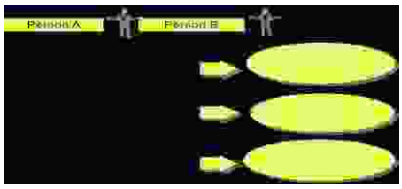
**Equity Theory Description**

- Pay should be based upon contributions made by the Employees. Higher effort should be rewarded with higher pay.

**Application to Compensation**

- Pay should be tied to the performance level of individual Employee

**Equity Theory Predictions**



**Balancing Internal and External Equity**

**Pay above Market Rate**

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**Advantages**

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- Attracts better employees
- Minimizes voluntary turnover
- Fosters strong culture and competitive superiority

**Disadvantages**

- Additional compensation costs
- Sense of entitlement

**Pay at Market Rate**

**Advantages**

- Higher quality of human resources at midrange of market-driven compensation costs

**Disadvantages**

- Does not attract higher performers
- Turnover will vary with labor demands of competing firms

**Pay below Market Rate**

**Advantages**

- Lower compensation costs
- Useful in labor markets where unemployment is high

**Disadvantages**

- Lower-quality employees
- Low morale/job satisfaction
- Higher turnover; especially among high performers

**Conditions Necessary for Perceptions of Pay Fairness**

- Internal consistency
- External competitiveness
- Employee contributions

**Line Managers and Compensation**

- Evaluate the worth of jobs.
- Negotiate starting salaries.
- Recommend pay raises and promotions.
- Notify HRM department of job changes.

**The HRM Department and Compensation**

- Establish rates of pay.
- Oversee job evaluation process. www.vuanswer.com
- Conduct salary surveys.
- Establish procedures for administering pay plans.
- Ensure compliance with antidiscrimination laws.
- Communicate benefits information .

**Lecture-29**

**Benefits**

An indirect compensation given to an employee or group of employees as a part of organizational membership.

**Strategic Role of Benefits**

- Benefits absorb social costs for health care and retirement.
- Benefits influence employee decisions about employers (e.g., recruitment and retirement).
- Benefits are increasingly seen as entitlements.
- Benefit costs are about 40% of total payroll costs.

**Why Focus on Benefits?**

- Integral part of compensation strategy to compete for employees
  - E.g., new firm – lower base pay, high variable incentives, keep benefit costs low
  - May help build business image

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- Influence employee decisions on whether to apply, accept an offer, stay, & when to retire
- Depends on external environment, org environ, etc.

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- Communicate organization's values & support strategic objectives
- Cost containment (use them wisely!)
- **Note:** benefits average **about 40%** of payroll costs
- Enhance organizational image

Benefits depend on the times! They aren't motivators (not Performance-based), but can Attract & Retain employees.

**What Happens to Benefit Money?**

- Insurance Payments
  - (e.g., medical premiums, vision care, dental care, life insurance, etc).
- Payment for Time Not Worked
  - (e.g., leaves, vacations, holidays)
- Legally Required Contributions
  - (e.g., Social Security, unemployment, workers' compensation)
- Retirement Plans
  - (e.g., pensions)
- Paid Rest Periods
  - (e.g., coffee breaks, lunch period, travel time)
- Miscellaneous
  - (e.g., educational assistance, severance pay, child care, etc.)

**Types of Benefits & Services**

- Insurance Benefits
  - Medical Insurance
  - Vision Insurance
  - Dental Insurance
  - Mental Health Insurance
  - Life Insurance
  - Disability Insurance

- Employee Security Benefits
  - Employment Income Security
  - Retirement Security
- Time-Off Benefits
  - On-the-job Breaks
  - Sick Days Pay
  - Holidays & Vacations
  - Leaves of Absence
- Work Scheduling Benefits
  - Shorter Work Times
  - Flextime
  - Job Sharing
- Employee Services
  - Educational Assistance
  - Financial Services
  - Social Services
- Family Oriented
  - Child Care
  - Elder Care
  - Relocation Programs

**Other Benefits**

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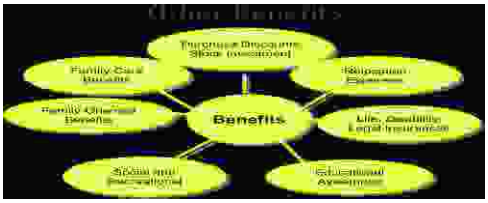


**Retirement Benefits**

- Early retirement options
- Pre-retirement counseling
- Disability retirement benefits
- Health care for retirees
- Pension plans

**Retirement Programs**

- Silver Handshake
- An early-retirement incentive in the form of increased pension benefits for several years or a cash bonus.
- Preretirement Programs
- Counseling
- Seminars
- Workshops

**Types of Pension Plans**

- Contributory plan
- Contributions to a plan are made jointly by employees and employers.
- Noncontributory plan
- Contributions to a plan are made solely by the employer.

**Family-Oriented**

- Family & Medical Leave
- Dependent care
- Alternative work arrangements (Flextime)
- Job sharing

**Social & Recreational**

- Tennis courts
- Other sports activities
- Sponsored events (athletic, social)
- Company cafeteria & food services
- Recreation programs

**Other Employee Benefits and Services**

**The Annual Bonus**

A bonus is aimed at motivating short term performance with three issues to consider when awarding them:

- Eligibility – based on job level and salary
- Fund size – use a formula

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- Individual awards – based on performance

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**Long Term Incentives**

- Stock options
- Different stock option plans
- Performance plans
- Cash plans
- Other plans

**Benefits….Money's Going In, but What Are We Getting In Return???**

- Are your company's benefits adding value?
- Evaluate the effectiveness!
- Conduct benefits needs analysis periodically. Ask questions such as:
- How much total comp (incl benefits) should be provided?
- What part should benefits comprise of total comp?
- Why are we offering each type of benefit?
- Which employees get what?
- Collect measurements on effectiveness for decision-making
- What are your goals for offering benefits (e.g., attraction, retention, productivity, etc.)?
- Design study to assess the effectiveness

**Effective Benefit Administration**

- Communication is critical

– Most employees don't know their benefits or the value!

- Benefits Communication

– Benefits Statements

• Annual "personal statement of benefits" that translates the benefits into dollars to show their worth.

– HRIS and Benefits Communication

• HRIS information allows employees to obtain benefits information on-line.

- Consider flexible benefits
- Flexible benefits plan ("cafeteria")
- More & more popular, especially w/larger employers
- Scan the environment
- What are employee preferences?
- What do different generations look for in benefits?
- What about benefits for part-timers?
- What's your corporate strategy?

## Lecture-30

## ROLE OF MONEY IN PERFORMANCE OF EMPLOYEES

**Motivation**

A compensation philosophy of higher pay for higher contributions

- Performance will be calculated on - corporate performance and personal performance .

**Meeting the Challenges of Pay-for-Performance System**

- Link pay and performance appropriately
- Use Pay-for-Performance as part of a broader HRM system
- Build employee trust
- Promote the belief that performance makes a difference
- Use multiple layers of rewards
- Increase employee involvements
- Use motivation and non-financial incentives

**Types of Pay-for-Performance Plans**

- Individual-Based plans
- Merit Pay

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- Bonus program or lump-sum payment
- Award

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- Team-Based plans
- Plant-wide plans (gain sharing)
- Corporate-wide plans (profit sharing)

**Determinants of Effective Pay-For-Performance Systems**

- Worker values outcomes (rewards)
- Outcome is valued relative to other rewards
- Desired performance must be measurable
- Worker must be able to control rate of output
- Worker must be capable of increasing output
- Worker must believe that capability to increase exists
- Worker must believe that increased output will result in receiving the reward
- Size of reward must be sufficient to stimulate increased effort
- Performance measures must be compatible with strategic goals for short and long term

**Six Criteria of Value of Performance**

1. Quality
2. Quantity
3. Timeliness
4. Cost-effectiveness
5. Need for supervision
6. Interpersonal impact

**Reasons for Pay-For-Performance Failures**

- Poor perceived connection between performance and pay
- Level of performance-based pay is too low
- Lack of objective accountable results for most jobs, so performance appraisal ratings are used in place of objective outcomes
- Faulty performance appraisal systems
- Union resistance
- Poor connection between Pay-For-Performance outcomes and corporate performance measures

**The Role of Money**

When someone says, “It’s not the money, it’s the principle, it’s the money!-- Anonymous

**The Meaning of Money**

**Money and employee needs**

Affects several needs, not just existence needs

- They value their services and place high value on them
- Perceive money as symbol of their achievement
- Will not remain in low paying organization
- Very self – confident
- Know their abilities and limitations

**Money and attitudes**

Money ethic -- not evil, represents success, should be budgeted carefully

- Influences our self-perceptions
- Evidence that men more than women identify with money

**Improving Reward Effectiveness**

- Link rewards to performance
- Ensure rewards are relevant
- Use team rewards for interdependent jobs
- Ensure rewards are valued
- Beware of unintended consequences

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**Money as a Motivator**

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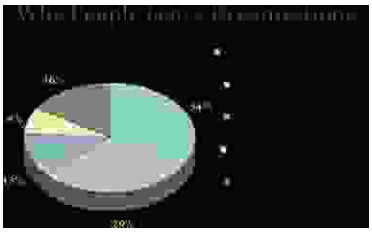
- According to Maslow and Alderfer, pay should prove especially motivational to people who have strong lower-level needs.
- If pay has this capacity to fulfill a variety of needs, then it should have good potential as a motivator



"What's in it for me?" calculation

- Conscious ↔ subconscious (self image and comparisons)

Fairness (equitable social (economic) exchange)

- interpret rewards/pay-offs of others
- judge what is fair/unfair
- satisfaction if each party achieves a balance (relative equality)

**Lecture-31**

**MOTIVATION**

The inner drive that directs a person's behavior toward goals.

**Performance Formula**

**Performance** = f (ability X motivation X opportunity)

**Ability** = individual's knowledge, skills, and ability to accomplish task

**Motivation** = level of individual energy for the task

**Opportunity** = right performance opportunity

**McGregor's Theory-X and Theory-Y**

**Theory X**

- Management view that assumes workers generally dislike work and must be forced to do their jobs.

**Theory Y**

- Management view that assumes workers like to work and under proper conditions, employees will seek responsibility to satisfy social, esteem, and self-actualization needs.

**Effective goal setting**

- Changing workforce
- younger generation employees have different needs and expectations to senior workers
- people have more diverse values – results in more variety in what motivates employees
- Cultural values
- globalization has added to diversity

**Motivating Professionals**

- Provide challenging projects.
- Allow them the autonomy to be productive.
- Reward with educational opportunities.
- Reward with recognition.
- Express interest in what they are doing.
- Provide flexible work, leave, and pay schedules.
- Provide child and elder care benefits.
- Structure working relationships to account for cultural differences and similarities.

**Basic assumptions**

- Once a need is satisfied, its role declines
- Needs are complex, with multiple needs acting simultaneously
- Lower level needs must be satisfied before higher level needs are activated
- More ways exist to satisfy higher level needs

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- Individual and environment influence employee behavior

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- Individuals decide behavior, although environment can place constraints
- Individuals have different needs/ goals
- Decide among alternatives based on perception of behavior leading to desired outcome

**Why is motivation important?**

- Important in getting and retaining people
- The glue that links individuals to organizational goals
- Make individuals go beyond the job and be creative

**But why is it so important for managers**

- Organizations are hiring more contract workers
- Each of us would have worked in 5-6 firms in our life time instead of just 1
- New organizational designs- teams
- Employees need to upgrade skills

**Motivating Contingent Workers**

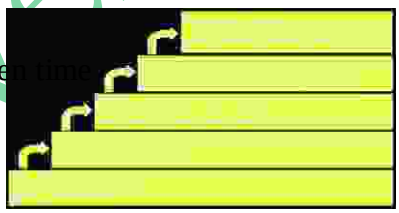
- Provide opportunity for permanent status.
- Provide opportunities for training
- Provide equitable pay

**Motivating Low-Skilled Service Workers**

- Increase pay and benefits
- Make jobs more appealing.

**Motivating People Doing Highly Repetitive Tasks**

Unsatisfied needs = deficiencies that a person experiences at any given time



- Recruit and select employees that fit the job
- Create a pleasant work environment
- Mechanize the most distasteful aspects of the job

**Three Approaches to Motivation**

**Lecture-32**

**OCCUPATION, HEALTH & SAFETY**

Occupational health & safety refers to the physiological-physical and psychological conditions of a workforce that result from the work environment provided by the organization.

**What Causes Accidents?**

- Chance occurrences
- Unsafe working conditions
- Unsafe acts by employees
- Unsafe conditions

**Physical conditions**

- defective equipment
- inadequate machine guards
- lack of protective equipment

**Environmental conditions**

- Noise

- dust, fumes
- stress

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- Unsafe behaviors

**Causes of Accidents**

- Human
- Overwhelming majority
- Carelessness
- Intoxication
- Daydreaming
- Inability to do the job
- Other human deficiency

**Safety Hazards**

- Aspects of the work environment that have the potential of causing immediate and sometimes violent harm or even death

- Examples of safety hazards:
  - poorly maintained equipment
  - unsafe machinery
  - exposure to hazardous chemicals

**Health Hazards**

- Aspects of the work environment that slowly and cumulatively lead to deterioration of health
- The person may:
  - develop a chronic or life threatening illness
  - become permanently disabled

- Typical causes are:
  - physical and biological hazards
  - toxic and carcinogenic dusts and chemicals
  - stressful working conditions

**Organizational Stress**

- **Four Ss:**

Supervisor, Salary, Security, Safety

- Organizational change
- Work pacing
- Physical environment
- Stress-prone employees

**The Costs of Workplace Injuries and Illnesses**

- Medical and insurance
- Workers' compensation
- Lost wages
- Damaged equipment and materials
- Production delays
- Other workers' time losses
- Selection and training costs for replacement workers
- Accident reporting

**Steps to Take to Reduce Workplace Accidents**

- Reduce unsafe conditions.
- Reduce unsafe acts.
- Use posters and other propaganda.
- Provide safety training.
- Use positive reinforcement.
- Emphasize top-management.
- Emphasize safety.

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- Establish a safety policy.
- Set specific loss control goals.

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- Conduct safety and health inspections regularly.
- Monitor work overload and stress.
- Safety committees.

**Violence Prevention Suggestions**

- Develop a plan
- Review policies
- Treat with respect and dignity
- Problems occur
- Disciplined too harshly
- Laid off without reason
- Supervisor training
- Employee assistance programs
- Keep weapons out

**Healthy Work Environment**

- Sick buildings

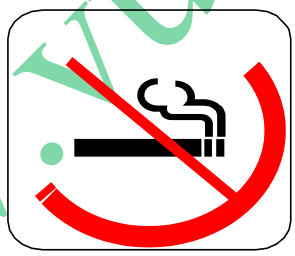
- Airborne pathogens
- Indoor pollution
- Smoking
- Germs
- Mold
- Fungus

**To Have A Healthy Work Environment**

- Fresh air
- Avoid suspect building materials
- Test new buildings
- Keep air ducts clean and dry
- Workers' complaints
- Smoking

**Smoke-free Environment**

- Problems



- Second-hand smoke
- Health insurance
- Productivity
- Absence
- Accidents
- Breaks

**Cumulative Trauma Disorders (repetitive stress injuries)**

**To Avoid CTDs**

- Stretch 2 - 3 times per hour
- Maintain good posture
- Sit erect.
- Feet flat on floor.
- Bend elbows at a comfortable angle.
- Sit about 18-28 inches from the screen.
- Place documents at the same height and angle as monitor.

**Benefits of a Safe and Healthy Workforce**

- More productivity
- Increased efficiency and quality
- Reduced medical and insurance costs

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- Lower workers' compensation rates and payments

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- Greater workforce flexibility
- Help employees should work safely.
- Ensure that workers are doing their jobs safely.
- Investigate accidents.
- Ensure legal compliance.
- Alleviate worker stress.
- Maintain confidentiality of employee information.

**Elements of Workplace Safety and Health**

- Physical Conditions:
- Conditions resulting from the workplace environment that include occupational diseases and accidents, such as:
- Repetitive motion injuries
- Back pain
- Cancer
- Etc.

**Occupational diseases & accidents**

- Loss of life
- Loss of limb
- Back pain
- Cardiovascular disease
- Various forms of cancer

**Psychological Conditions:**

Conditions resulting from the workplace environment that result from organizational stress and low quality of working life.

These include:

- Dissatisfaction, withdrawal
- Mistrust in others, irritability

**Lecture-33**

**STRESS MANAGEMENT**

**Stressor**

The person or event that triggers the stress response Stressors in the Work Environment

**Stressors in the Work Environment**

- Job risk
- Prolonged noise
- Glaring or inadequate lighting
- Temperature variations
- Poor air quality
- Required repetitive motions
- Talking too fast or too loud
- Bad moods
- Being irritable
- Defensiveness
- Being critical
- Aggression
- Irrationality
- Overreaction and reacting emotionally
- Reduced personal effectiveness
- Being unreasonably negative
- Making less realistic judgments

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- Being unable to concentrate and having difficulty making decisions
- Being more forgetful

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- Making more mistakes
- Being more accident prone
- Changing work habits
- Increased absenteeism
- Neglect of personal appearance

**Stress Management**

Procedures for helping people cope with or reduce stress already being experienced.

**Stress Prevention**

Focuses on controlling or eliminating stressors that might provoke the stress response.

**Stress Management Programs**

- Training
  - Time management
  - Coping skills
- Wellness
  - Assessment
  - Self-help materials
  - Group programs

**Individual Stress Management**

- Relaxation
- Time management
- Manage Change
- Get fit
- Let it go
- Social support
- Relaxation
- Physical Exercise

**Dealing with Long-Term Stress**

- Fatigue and exhaustion
  - Go to bed earlier
  - Take a good break (vacation)
  - Change work commitments if possible
  - Time management strategies
- **Handling depression**
  - Deep depression is a clinical illness and should be handled professionally
- **Otherwise**
  - Positive thinking
  - Talk to people and get support
  - Get away from situation causing stress
- **Lack of self-confidence**
  - Set personal goals
  - List your shortcomings and deal with them
  - List the things that worry you and see if it is really important to worry about them at all.
  - Write down the things you do well
  - Positive thinking
- **Relationships**
  - Being more assertive will help
  - Improve your social skills
  - Are other people contributing to this problem? Are you better off without them?

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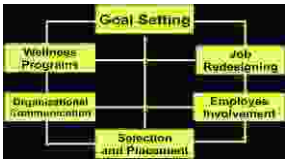
♉ **Standards**

- Are your standards impossibly high?

**Organizational Stress Management**




♉ **Organizational Approaches**

- Improved personnel selection and job placement
- Training
- Use of realistic goal setting
- Redesigning of jobs
- Increased employee involvement
- Improved organizational communication
- Offering employee sabbaticals
- Establishment of corporate wellness programs

**Organizational Stress Prevention**

♉ Focuses on people's work demands

♉ Focuses on ways to reduce distress at work

♉ Most organizational prevention is primary

- ♉ job redesign
- ♉ goal setting
- ♉ role negotiation
- ♉ career management

**What is Stress? Stress Management**

Stress is an adaptive response, moderated by individual differences, that is a consequence of any action, situation, or event that places special demands on a person.

**Three key factors determine the likelihood of stress**

- **importance:**

How significant the event is to the person

- **Uncertainty:**

Degree of clarity over what will happen

- **Duration:**

Length of time the demands remain in place

**Is stress good or bad?**

- Stress response itself is neutral
- Some stressful activities (aerobic exercise, etc.) can enhance a person's ability to manage stressful demands or a situations
- Stress can provide a needed energy boost
- Negative stress results from a prolonged activation of the stress response

**Lecture-34**

**Burnout**

A pattern of emotional, physical, and mental exhaustion in response to chronic job stressors.

**Communication Defined**

The transmission of information and understanding through the use of common symbols.

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**Communication Defined**

- **Noise**
  - Interference in the flow of a message from a sender to a receiver.
- **Nonverbal Communication**
  - Messages sent with body posture, facial expressions, and head and eye movements.

**How Communication Works**

Communications experts tell us that effective communication is the result of a common understanding between the communicator and the receiver. In fact the word communication is derived from the Latin *communis*, meaning "common."

**Downward Communication**

- Communication that flows from individuals in higher levels of the organization's hierarchy to those in lower levels.

**Upward Communication**

- Communication that flows from individuals at lower levels of the organizational structure to those at higher levels.

**Horizontal Communication**

- Communication that flows across functions in an organization.

**Diagonal Communication**

- Communication that cuts across functions and levels in an organization.

**How do you find out about what happens at work?**

- BULLETIN BOARD
- NEWSLETTER
- GOSSIP

**What HR functions are involved?**

- All of them?
- Recruiting
- Orientation
- Rewarding
- AND….
- Compensation
- Motivation
- Change
- Health and safety
- Benefits
- Keep employees informed
- Tool to bring about positive change
- Influence culture

**Employee**

- Information central source
- Commitment, security
- Direction

**Employer**

- Committed workforce
- Recruit
- Educate, inform, and guide employees
- Helps employees learn about company at their own pace
- Provides references regarding policies, rules, and benefits
- Ensures HRM policies will be consistently applied

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- Creates sense of security and commitment for employees

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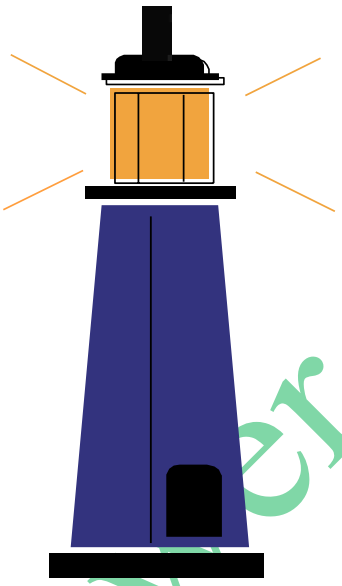
- Provides information to recruits
- May be interpreted as implied contract
- Should be updated continually

**To Achieve that….**

**AN EMPLOYEE HANDBOOK SHOULD BE**

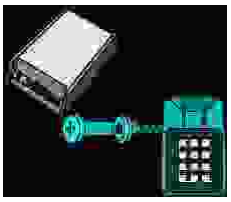
- Well organized
- Clearly written
- Legally limited
- Introductory comments
- What you should know
- Your benefits
- Your responsibilities and safety procedures
- Greetings
- Welcome
- Valuable to the company
- Tone setting, culture statement
- Performance, role expectations
- Rules and policies
- Attendance, work hours
- Lunch hours
- Lay off practices
- Performance appraisal issues
- Membership-based
- Keep morale high
- Costs
- Eligibility
- Safety
- Personal conduct
- Reporting accidents
- Compliance requirements



**Communication Methods**

- Employee handbook
- Bulletin board
- Company newsletter
- Company-wide meetings
- Digital Media
- Etc.

**For Offsite Employees**



- Facsimile machines
- Emails
- Internet
- Phone

**HRM Communications Programs**

- Keep employees informed
- Convey organization's concern for employees
- Build trust and openness
- Monitor employee concerns

**Lecture-35**

**Unions**

- **Union**

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- organization formed for purpose of representing members' interests in dealing with employers

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- **Factors Promoting Interest in Unions**
- Working environment
- Compensation
- Management style
- Organization treatment

**Working Environment**

- Inadequate staffing
- Mandatory overtime
- Poor working conditions

**Management Style**

- Arbitrary Management Decision Making
- Use of fear
- Lack of recognition

**Organization Treatment**

- Job insecurity
- Unfair discipline and policies
- Harassment and abusive treatments
- Not responsive to complaints

**Unions Defined**

- Organization of workers
- Acting collectively
- Seeking mutual interest
- Protection
- Promotion
- Through collective bargaining

**What is a Trade Union?**

A trade union is an organization that represents the interest of its members in work and related matters. It seeks to maintain and improve their employment relations through direct collective bargaining with management.

**Why Do Workers Organize?**

The urge to unionize often boils down to the belief that it is only through unity that the workers can get their fair share of the pie and also protect themselves from the arbitrary decisions of management.

**Why People Join Union**

- Greater bargaining power
- Desire for self-expression
- Minimize favoritism & discrimination
- Social factors (peer pressures)
- To gain advancement

**Reasons to reject Unions**

- Cultural problems
- Job satisfaction
- Fear of reprisal
- Shift in employment from manufacturing to service
- Employers oppose unions and take aggressive stands against them
- Employers often find permanent replacements for striking employees
- Bargain for improved wages, hours, working conditions and benefits for members
- Protect members for arbitrary management actions
- Provide services and assistance to members
- Present the social aspirations and political ideology of members to the public.

**Union Benefits**

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- Higher wages and benefits

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- Influence work rules
- Greater job security
- Dealing with management
- Decisions and policies are subject to challenge and negotiation
- Management powers are limited
- May have to disclose certain information about the company to union representatives

**Union can also effect management…**

- Staffing
- Employee Development
- Compensation
- Employee Relations

**Union-Management Relations Moderate the Impact of Unions on Productivity**

- Government
- Manufacturing
- Transportation
- Public utilities
- Large industrial corporations

The negotiation process between management and labour in which both parties try to agree on the terms of the contact is known as collective bargaining

**Collective Bargaining Objectives**

- Contract agreement
- Acceptable to both parties
- Common issues

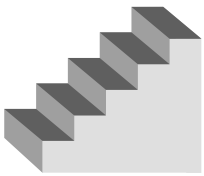
- Wages
- Hours
- Terms and conditions of employment
- Grievance procedure

**Collective Bargaining - Involved**

- Labor
- Management
- Government
- Financial institutions (Indirectly)

**Collective Bargaining Steps**

- Preparation
- Negotiation
- Agreement
- Contract Administration



**Union Power in Collective Bargaining**

Grievance is a formal expression of individual or collective employee dissatisfaction with company policies as well as inappropriate management actions.

- Clear and publicized grievance procedures will clarify the process of handling employee complain.
- Perceived fairness may be a motivating factor.

**Grievance Procedure Steps**

- Start at lowest level
- Supervisor

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- Manager, specialist

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- Grievance rights arbitration

**Key Points**

- Procedure should be simple with adequate opportunities for communication
- Some formality is inevitable since senior management is involved
- Written complaint is needed at the later stage of the procedure
- If possible, grievance should be settled at the lowest step in the process
- Sufficient training of foreman or first level supervisor in the grievance procedure is important

**Line Managers and HRM in a Unionized Setting**

- Comply with provisions of the collective bargaining agreements.
- Understand the agreement provisions and grievance system.
- Resolve conflicts early.

**Line Managers and HRM in a Nonunionized Setting**

- Fairly allocate rewards and punishments.
- Cultivate a climate that stresses open communication.
- Negotiate and consult with union officials.
- Ensure compliance with the labor contract.
    - Provide workers with a greater voice in determining work conditions.
    - Install a formal grievance system.
    - Hire a labor relations consultant.

**Phases of Labor Relations**

- Union organizing
- Collective bargaining
- Contract administration

**Lecture-36**

**Conflict and Negotiation**

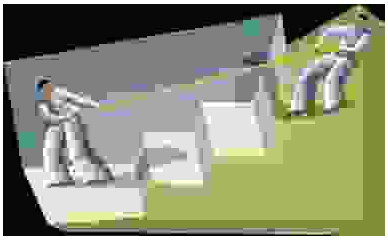
**Conflict**

The process in which one party perceives that its interests are being opposed or negatively affected by another party.

- Perceived by the parties
- Parties are in opposition to one another
- At least one party is blocking the goal attainment of the other party
- Goals can be tangible or psychological
    - Money
    - Task Achievement
    - Happiness

"a process which begins when one party perceives that the other is frustrated, or is about to frustrate, some concern of his (or her)."

**Organizational conflict**



- Organizational hierarchy
- Competition for scarce resources
- Self-image & stereotypical views of others
- Differing goals & objectives
- Failures & resultant blame fixing
- Poor coordination of activities

**Traditional**

- Conflict is bad & should be avoided
- Results from lack of openness & trust
- Evidence of a failure in management
- The "Common Sense" view of conflict

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**Human Relations**

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- Conflict is a natural occurrence
- We should accept conflict

**Interactionist**

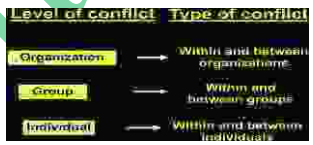
- The view of current Conflict Theory
- Conflict should be encouraged & managed
- Brings life, creativity & synergy
- **Two kinds:**
  1. Functional
  2. Dysfunctional

**Is Conflict Good or Bad?**

- Functions of Conflict
  - Synergy
  - Promotion of change
  - Promotes goal achievement
- Dysfunctions of Conflict
  - Wasted time & energy
  - Stress
  - Detracts from the goal of the group

**Organizational Conflict Outcomes**

- Dysfunctional outcomes
  - Diverts energy and resources
  - Encourages organizational politics
  - Encourages stereotyping
  - Weakens knowledge management
- Potential benefits
  - Improves decision making
  - Strengthens team dynamics




**Types of Conflict**

- Task conflict

Conflicts over content and goals of the work

- Relationship conflict

Conflict based on interpersonal relationships

- Process conflict

Conflict over how work get done

**Managing conflict effectively**

- Identify the problem
- Plan
- Communicate effectively
- Close at the appropriate moment
- Follow up the outcomes

**What is negotiation?**

Negotiation is the process that is used to achieve agreement about the goals and the outcome of the situation

**Essential skills are..**

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- Planning and preparing thoroughly before a negotiation

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- Using appropriate techniques during the negotiation
- Following up effectively
- Evaluating the effectiveness of a negotiation

**Determine the negotiation outcome**

- Win/lose
- Lose/lose
- Win/win
  - Lose-lose methods: compromise
  - Win-lose methods: dominance
  - Win-win methods: problem solving

**Preparation for Bargaining**

- Fact gathering
- Goal setting
- Strategy development

**Issues for Negotiation**

- Mandatory Issues
  - Wages
  - Hours
  - Other terms and conditions of employment
- Permissive Issues (If parties agree)
  - Price
  - Product design
  - New jobs
- **Prohibited Issues**
- Illegal or outlawed activities such as a demand that the employer use only union-produced goods

**So, during Negotiation…**

- Separate the people from the problem
- Focus on interests not positions
- Generate a variety of possibilities before deciding what to do
- Insist that the result be based on some objective standard

## Lecture-37
## Power & Political Behavior

**Power**

- What is it?
- Do you have any?
- Do you want some?
- How can you get some?

**Concept of Power**

**Power** - the ability to influence another person

**Influence** - the process of affecting the thoughts, behavior, & feelings of another person

**Authority** - the right to influence another person

**Sources of Organizational Power**

**Coercive**

Exists when one person believes another person can and will provide or withhold punishment

**Reward**

Exists when one person believes another person can and will provide or withhold rewards

**Legitimate**

Exists when one person believes that another person has the right to influence him or her (authority)

**Expert**

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Exists when one person believes another person has desired expertise and is willing to share or withhold it

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- **Information power**

Power that comes from access to and control over information

- **Expert power**

Influence based on special skills or knowledge

**Interpersonal Power**

The ability to influence others and maintain control over your own fate

**Dependency: The Key To Power**

**Principles of Power**

- Power is perceived
- Power is relative
- Power bases must be coordinated
- Power is a double-edged sword (used and abused)

**Organizational Power Management**

- Select charismatic individual
- Select & train for desired expertise
- Assign to position of authority
- Provide resources to manage
- Empower to punish others
- Empower to reward others

**Personal Power Management**

- Be a nice person
- Acquire and make expertise known
- Acquire and make resources known
- Use & make authority known
- Show ability to provide or with-hold rewards
- Show ability to provide or with-hold punishment

**Using Power Ethically**

- Does the behavior produce a good outcome for people both inside and outside the organization?
- Does the behavior respect the rights of all parties?
- Does the behavior treat all parties equitably and fairly?

**Two Faces of Power**

**Personal Power**

- used for personal gain

**Social Power**

- used to create motivation
- used to accomplish group goals

**Organizational Politics**

Organizational politics refer to activities that people perform to acquire, enhance, and use power and other resources to obtain their preferred outcomes in a situation where there is uncertainty or disagreement.

**Power tactics**

Ways in which individuals translates power bases into specific actions

**Organizational politics** refer to activities that people perform to acquire, enhance, and use power and other resources to obtain their preferred outcomes in a situation where there is uncertainty or disagreement.

The use of power in nonprescribed ways (means) and/or for nonprescribed purposes (ends)

**Political behavior**

Activities that are not required as part of one's formal role in the organization, but that influence, or attempt to influence, the distribution of advantages and disadvantages within the organization

**Political Behavior in Organizations**

Organizational Politics - the use of power and influence in organizations

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Political Behavior - actions not officially sanctioned by an organization that are taken to influence others

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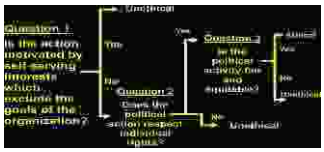
in order to meet one's personal goals

**Organizational Factors that Contribute to Political Behavior**

- Low trust
- Democratic decision making
- High performance pressures
- Scarcity of resources
- Role ambiguity
- Self-serving senior managers
- Unclear evaluation systems
- Zero-sum allocations

**Ethical Guidelines for Political Behavior**



**Employee Responses to Organizational Politics**

- Decreased job satisfaction
- Increased anxiety
- Increased turnover
- Reduced performance

**Managing Political Behavior**

- Maintain open communication
- Clarify performance expectations
- Use participative management
- Encourage cooperation among work groups
- Manage scarce resources well
- Provide a supportive organizational climate

**Lecture-38**

**Employee Rights & Discipline**

Rights and Responsibilities Issues

- **Rights**
  - That which belongs to a person by law, nature, or tradition.
- **Responsibilities**
  - Obligations to be accountable for actions.
- **Statutory Rights**
  - Rights based on specific laws and statutes passed by federal, state, and local governments.

**Employee Rights in the Workplace**

**Employment at Will**

- A common law doctrine stating that employers have the right to hire, fire, demote, or promote whomever

they choose, unless there is a law or contract to the contrary.

- Employees have the right to quit and got another job under the same constraints.

**Employee Rights….**

- There are many laws and regulations governing human resource management that have been created to help define, maintain, and preserve employee rights.
- Discrimination laws essentially give people the right to work without being evaluated on the basis of



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nonjob- relevant factors such as religion, origins, sex or race.

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♉ Minimum wage legislation gives people the right to expect a certain base level of compensation for their work.
♉ Labor laws give employees the right to organize and join a labor union under certain prescribed circumstances.
♉ A rights issue that has arisen lately is – employee right to privacy.
♉ What about an employee's private life? Is it private or does the organization have the right to monitor what the employee does after work hours?

**Just Cause & Due Process**

♉ **Just Cause**
- Reasonable justification for taking an employment-related action.

♉ **Due Process**
- The means used for individuals to explain and defend their actions against charges or discipline.

♉ **Distributive Justice**
- Perceived fairness in the distribution of outcomes.

♉ **Procedural Justice**
- Perceived fairness of the process used to make decision about employees.

**Just Cause**
♉ Cause of action should be a fair one.
**Due Process**
♉ Inform employees of "charges" against them.
♉ Provide employees opportunity to defend themselves.
**3 Types of Employee Rights**
**Statutory Rights**
♉ Protect from discrimination
♉ Safe working conditions
♉ Right to form unions
**Contractual Rights**
♉ Employment contract
♉ Union contract
♉ Employment policies
**Other Rights**
♉ Ethical treatment
♉ Limited privacy
♉ Limited free speech
**Employee Rights**
♉ Protection of one's job
♉ Due process and just cause
♉ Freedom of speech
♉ Privacy
♉ Off-the job behavior
♉ Protection against layoff
**Management Rights**
♉ Run business and retain any profits
♉ Manage workforce: hire, promote, assign, discipline, discharge employees
♉ Influenced by stakeholders
♉ Employment at will
**Creating Ethical and Fair Work Environment**
♉ Develop trust
♉ Honor commitments

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- Act consistently

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- Be truthful and avoid white lies
- Avoid manipulating others
- Keep confidences
- Show concern for others

**Create Healthy Work Environment**

- Define clear expectations
- Treat employees equitably
- Avoid favoritism
- Adhere to reasonable standards
- Respect employees
- Recognize employee contributions

**Discipline**

Management action taken to encourage compliance with organizational standard and regulations.

**Why?**

Fair and open disciplinary procedures are essential to maintain harmonious corporate relations in organizations.

**How?**

Clearly-defined disciplinary procedures should be made known to all employees and included in employee handbook.

**Discipline**

- The primary objective of discipline is to motivate an employee to comply with the company performance
- standards.
- Second objective of discipline is to create and maintain mutual respect and trust between the employees

**Approaches to Discipline**

- **Progressive Discipline**
  - Application of corrective measures by increasing degrees.
  - Employees always know where they stand regarding offenses.
  - Employees know what improvement is expected of them.
  - Employees understand what will happen next if improvement is not made.
- **Positive Discipline (problem solving)**
  - Discipline that focuses on the early correction of employee misconduct, with the employee taking total responsibility for correcting the problem.

**So, Employee Discipline…**

- Discipline
  - A form of training that enforces organizational rules.
- Positive Discipline Approach
  1. Counseling
  2. Written Documentation
  3. Final Warning (decision day-off)
  4. Discharge

**HR Policies, Procedures, and Rules**

- Policies: General guidelines that focus organizational actions.
- **"Why we do it"**
- Procedures: Customary methods of handling activities
- **"How we do it"**
- Rules: Specific guidelines that regulate and restrict the behavior of individuals.

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- "The limits on what we do"

**Implementing Organizational Rules**

**Lecture-39**
**Discipline (Cont..)**

Common Disciplinary Problems

**Attendance**

- Unexcused absence
- Chronic absenteeism
- Leaving without permission

**Work Performance**

- Not completing work assignments
- Producing substandard products or services
- Not meeting established production requirements

**Dishonesty and Related Problems**

- Theft
- Falsifying employment application
- Willfully damaging organizational property
- Punching another employee's time card
- Falsifying work records

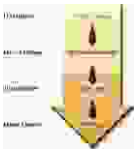
**On-the-job Behaviors**

- Insubordination
- Smoking in unauthorized places
- Fighting
- Gambling
- Failure to use safety devices
- Failure to report injuries
- Carelessness
- Sleeping on the job
- Using abusive or threatening language with supervisors
- Possession of narcotics or alcohol
- Possession of firearms or other weapons
- Sexual harassment

**Discipline System Recommended by Labour Department**

(a) Warning (oral or written)
(b) Suspension (with or without pay)
(c) Dismissal with appropriate notice
(d) Dismissal without notice
(e) Appeal

**Progressive Discipline Procedure**



**The Hot Stove Rule**

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**Good discipline (or a rule) is like a hot stove in that:**

- It provides a warning (feels hot)

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- It is consistent (burns every time)
- It is immediate (burns now)
- It is impersonal (burns all alike)

**Approaches to Discipline**

**Let's take some examples.. Ineffective Employees**

There are three general questions a manager might use to analyze the performance problem:

1. What is the discrepancy?
2. Is it important?
3. Is it a deficiency in skills?

- If there is a deficiency in skills, then it must be corrected
- If the problem does not have to do with skills, then it must be addressed in terms of:
  - removing obstacles
  - creating a more positive motivational climate
  - bringing about some type of job change

**Participants in Theft and Other Illegal Acts**

- Employees engage in illegal acts including:
  - employee theft
  - misuse of company facilities or property
  - disclosure of trade secrets
  - embezzlement
  - sabotage of products
  - use of company telephones and credit cards for personal use
- **To deal with employee dishonesty problems, HR managers use:**
  - discipline
  - termination
  - rehabilitation
- **HR departments have responsibility for crime prevention**
  - security programs
  - pre-employment screening mechanisms

**Rule Violators**

- Consistently violate company rules, e.g.,
  - sleeping on the job
  - having weapons at work
  - fighting at work
  - coming in late
  - abusing the supervisor
- Workplace violence is a particularly difficult issue

**Discipline Systems**

- Discipline should:
  - Be proportional to the bad behavior
  - Be applied before the bad behavior becomes a habit
  - Be focused on specific behaviors
  - Be applied consistently across people and time
  - Not be followed by positive rewards that lessens manager's guilt
  - Be administered by someone the employee trusts and respects

**Reasons Why Discipline Might Not Be Used**

- Organization culture regarding discipline

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- Lack of support by higher management
- Guilt

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- Loss of friendship
- Time loss
- Fear of lawsuits

**Separation**

- Disciplinary separation
  - Dismissal
- Non-disciplinary separation
  - Layoff
  - Downsizing
  - Retirement

**Involuntary Separation**

**Issues:**

- Employment-At-Will
- Discipline Systems
- Termination for Cause
- Layoff

**Termination for Cause**

**Some offenses are so bad they typically justify immediate termination**

- Falsify résumé or employment application
- Falsify work records
- Divulge trade secrets
- Steal company property
- Assault of supervisor or fellow employees
- Possession of a weapon
- Possession of alcohol or illegal drugs

**Acceptable Reasons**

- Incompetence that is not responsive to training/accommodation
- Gross/repeated insubordination
- Repeated lateness/unexcused absences
- Illegal behavior/drug activity
- Verbal Abuse
- Physical violence

**Unacceptable Reasons**

- Reporting illegal company actions or cooperating in a legal investigation
- Filing workers' compensation claim
- Engaging in concerted activity to protest wages, working conditions, safety hazards
- Engaging in lawful union activity
- Refusing an assignment because of a reasonable belief it is dangerous

**Termination does 2 things:**

- Punishes the problem employee
- Sends a message to other employees about what will not be tolerated

**Managing terminations**

- Document, document, document

**Demotion as Alternative to Termination**

- Demotions used as alternative to discharge
- Demotion is process of moving worker to lower level of duties and responsibilities, usually involving a reduction in pay

**Layoffs**

- Other terms:

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- Downsizing

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- Restructuring
- Right-sizing

☌ Downsizing also known as restructuring and rightsizing
☌ Reverse of company growing; suggest one-time change in organization and number of people employed
☌ Layoff/recall
☌ Outplacement

**Voluntary Separation**

☌ Dissatisfaction leads to withdrawal & negative job behaviors
☌ Quitting may also be due to sudden changes

- Internal job-related, e.g., not getting a promotion
- External job-related, e.g., getting better job offer
- External off-job, e.g., spouse getting transferred

**Resignation**

☌ Exit interview
☌ Advance notice of resignation

**Retirement**

☌ Completed service
☌ Early retirement

**Lecture-40**
**Leadership**

**Why Leadership?**

Leadership is a Process, Not a Position

**Leadership Defined**

☌ Directing and coordinating the work of group members (Fiedler, 1967).
☌ An interpersonal relations in which others comply because they want to, not because they have to (Merston, 1969, Hogan, Curphy, & Hogan, 1994).
☌ The process of influencing an organized group toward accomplishing its goals (Roach & Behling, 1984).
☌ The leader's job is to create conditions for the team to be effective (Ginnett, 1996.)

**Leadership**

The process of influencing an organized group toward accomplishing its goals

**Leadership**

The ability to get things done through people.

**Myths That Hinder Leadership Development**

☌ Good leadership is all common sense.
☌ Leaders are born, not made.
☌ The only school you learn leadership from is the school of hard knocks.

**Leadership Theories**

☌ Trait Theories
☌ Behavioral Theories

**Trait Theories**

People are born with certain characteristics which make them leaders.

**Common Traits**

☌ Intelligence
☌ Dominance
☌ Self-confidence
☌ High energy level
☌ Task relevant knowledge

**Trait of a Charismatic Leader**

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- Self-confidence

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- A vision
- Strong conviction in that vision
- Out of the ordinary behavior
- The image of a change agent

**Behavioral theories**

- There are behavioral determinants of leadership which can be **learned**.
- People can be **trained** to be effective leaders.

**Conventional Wisdom About Leadership**

- People who are tall and athletic make better leaders.
- Smarter people make better leaders.
- Leaders who are stable and predictable are more effective.

**Research Findings About Leadership**

- People who are tall and athletic do not necessarily make better leaders.
- In some situations, smarter leaders consistently performed less well than those who were less smart (Fiedler et al.)
- The most effective leaders use different bases of power to meet situational demands.

**What is the Relationship between Power and Leadership?**

- **Leadership**
  - Focuses on goal achievement.
  - Requires goal compatibility with followers.
  - Focuses influence downward.
- **Power**
  - Used as a means for achieving goals.
  - Requires follower dependency.
  - Used to gain lateral and upward influence.

**Two Faces of Power**

**Personal Power**

- used for personal gain

**Social Power**

- used to create motivation
- used to accomplish group goals

**Decisions, Decisions, Decisions!**

Both managers and leaders make many decisions.

**Reaching Consensus**

Both managers and leaders help groups make decisions.

**Resolving Conflicts**

Both managers and leaders help to resolve conflicts.

**Goal Setting**

Both managers and leaders help set goals in their companies.

**Motivating Employees**

Both managers and leaders motivate others.

"All Leaders are Managers….But not all Managers are Leaders" True or False?

**Distinctions Between Managers and Leaders**

Leaders

- Innovate
- Develop
- Inspire
- Take the long-term view

Managers

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- ♉ Administer

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- ♂ Maintain
- ♂ Control
- ♂ Have a short-term view

Leaders

- ♂ Ask what and why
- ♂ Originate
- ♂ Challenge the status quo.

Managers

➔ Ask how and when
➔ Accept the status quo

A LEADER....

- Visionary
- Challenger
- Inspirer
- Developer Of People

A MANAGER...

- ♂ Planner
- ♂ Organizer
- ♂ Coordinator
- ♂ Performance Coach
- ♂ Day-To-Day Problem Solver
- ♂ Get The Work Of The Organization Done Through Others

**Leader Traits That Influence the Leadership Process**

♂ Personality
♂ Position
♂ Experience

**Follower Traits That Influence the Leadership Process**

♂ Expectations
♂ Personality
♂ Maturity
♂ Competency levels

- Motivation
- Number of followers
- Trust and confidence

**How Leaders Interact with Followers**

♂ Create environments where followers' innovations and creative contributions are welcome.
♂ Encourage growth and development in followers.
♂ Interested in the big picture of followers' work.
♂ Motivate followers through more personal and intangible factors.
♂ Redefine the parameters of tasks and responsibilities.
♂ Change situations rather than just optimize their group's adaptation to it.

**Sources of Leader Power**

♂ Furniture and office arrangements
♂ Prominently displayed symbols
♂ Appearances of title and authority
♂ Choice of clothing
♂ Presence or absence of crisis

**Building Power**

♂ Knowledge, skill, reputation, professional credibility (expert and information power)

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- Political network

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- ☿ Formal or informal
- ☿ Often based on position in a communication channel

☿ Create perception of dependence: control of scarce resources

**Trust: The Foundation of Leadership**

**Five Dimensions of Trust**

☿ Integrity (honesty and truthfulness)
☿ Competence (technical/interpersonal)
☿ Consistency (reliability, predictability and good judgment in handling situations)
☿ Loyalty (willingness to protect and save face for a person)
☿ Openness (willingness to share ideas and information freely)

**When are leaders irrelevant?**

☿Substitutes for Leadership make a leader unnecessary.

- ☿ Followers are experts and self-leaders.
- ☿ Task is clear and routine.
- ☿ Organizational rules and policies.

"Leadership is the art of accomplishing more than the science of management says is possible."

"Great leaders are almost always great simplifiers, who can cut through argument, debate and doubt, to offer a solution everybody can understand."

"The day people stop bringing you their problems is the day you have stopped leading them. They have either lost confidence that you can help them or concluded that you do not care. Either case is a failure of leadership."

**Lecture-44**

**Managing Human Resources in an International Business**

**Stages of a Global Organization**

☿ Domestic
☿ International
☿ Multinational
☿ Global or Trans-national

**Why?**

**The Evolution of Global Business**

☿ **Exporting** - Selling abroad
☿ **Licensing** - Organization grants a foreign firm the right to use intellectual properties
☿ **Franchising** - Parent company grants another firm the right to do business in a prescribed manner
☿ **Multinational corporation** - Firm that is based in one country and produces goods or provides services in one or more foreign countries
☿ **Global corporation** - Has corporate units in a number of countries that are integrated to operate as one organization worldwide

**Expatriate:** A citizen of one country living and working in another country.

**Multinational Corporation (MNC):** A firm with assembly and production facilities in several countries and regions of the world.

**Transnational Corporation:** A firm with operations in many countries and highly decentralized operations. The firm owes little allegiance to its country of origin and has weak ties to any given country.

**HR and International Business Challenge**

☿ What HRM strategies are appropriate at different stages of internationalization?
☿ How is the best employee mix (host-country and expatriate) determined?
☿ Why do international assignments fail?
☿ How are returning employees re-integrated into the firm?

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- Development
- Knowledge & innovation dissemination

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- Identifying and development talent on a global basis

**How Inter-country difference affects HRM?**

- Cultural factors
- Economic factors
- Labor cost factors

**Cultural Environment**

Language, religion, values, attitudes, education, social organization, technology, politics, and laws of a country

**Dimensions to Culture**

- Power distance
- Individualism
- Uncertainty avoidance
- Masculinity/femininity
- Long-term/short-term orientation

**Dimensions on Which Cultures Differ**

- The nature of people
- How people relate to others
- Primary mode of activity
- Conception of space
- Time orientation

Impact of Culture on IHRM Practices

**Aspects of culture you can see**

- Dress
- Food
- Climate
- Housing

**Aspects of culture you can't see**

- Communication style
- What motivates people
- Role expectations
- Negotiation styles
- Non-verbal communication
- Tempo of work
- How tasks are assigned
- Attitude toward authority

**Cross-Cultural Differences in the Workplace**

- How interviews should be conducted
- How managers should act with their subordinates
- How negotiations should be conducted
- How training should be delivered
- How people should be paid for work

**Difference in economic systems**

In free enterprise systems-the need for efficiency tends to favor HR policies that value productivity, efficient workers and staff cutting where market dictate. In more socialist systems, HR practices tend to shift toward preventing unemployment, even at the expense of sacrificing efficiency

**Why Discuss IHRM?**

Becoming truly global requires effective management of a diverse international labor force

**Defining "IHRM"**

International HR Management is the strategic integration and alignment of HR practices with business objectives to enhance firm and employee performance around the globe Think about how you would get

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talent

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**IN → THROUGH → OUT**

of an organization on a global scale:

- Recruiting
- Selection
- Compensation
- Benefits
- Performance Management
- Training

**Global HR: HR Planning**

- In deciding level of international involvement of the business….
- HR provides information about relevant HR issues (e.g., local market pay rates, labor laws)
- Decisions about where & how many employees are needed for each facility

**International Staffing**

**Global HR: Selection**

- Identify host-country, parent-country, & third-country nationals
- Hire locally? For which jobs?

**Anticipate emotional cycle associated with foreign assignment:**

- Culture shock
- Learning
- adjustment

**Consider criteria associated with success in working overseas:**

- Competence in area of expertise
- Ability to communicate verbally & nonverbally in foreign country
- Flexibility, tolerance of ambiguity, & sensitivity to cultural differences
- Motivation to succeed & enjoyment of challenges
- Willingness to learn about country's culture, language, customs
- Support from family members

**Selection of Employees for International Assignments**

- Emphasize cultural sensitivity as a selection criteria
- Establish a selection board of expatriates
- Require previous international experience
- Screen candidates' spouses and families

**Global HR: Training & Development**

- Consider differences when developing training
- Norms for participation? Language? Content?
- Cross-cultural preparation for international assignment (departure, assignment, return)
- International assignments as a part of career paths (development)
- Process for identifying employees

**Four Step Approach to Training Overseas Candidates**

- **Level 1** training focuses on the impact of cultural differences, and on raising trainees' awareness of such differences and their impact on business outcomes.
- **Level 2** training aims at getting participants to understand how attitudes (both negative and positive) are formed and how they influence behavior.
- **Level 3** training provides factual knowledge about the target country.
- **Level 4** training provides skill building in areas like language and adjustment and adaptation skills.

**Global HR: Performance Mgmt**

- Consider legal requirements, local business practices, national culture
- Think about
- What is rated & how it is rated

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- How much performance is measured

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- Norms for providing feedback

**Global HR: Compensation**

- Pay level & relative worth of jobs may differ across counties (e.g., different labor markets)
- Pay consistency vs. tailoring to location?
- Consider company costs & ability to compete
- Incentive pay
- Benefits – legal issues, expectations

**Why International Assignments Fail ?**

- Career blockage
- Culture shock
- Lack of pre-departure cross-cultural training
- Overemphasis on technical qualifications
- Family problems

**Upon Return**

- Lack of Respect for Acquired Skills
- Loss of Status
- Poor Planning for Return Position
- Reverse Culture Shock

**Managing Host Country Employees**

- Adjust HRM practices to the norms and culture of the host country.
- Develop training programs that are compatible with the host country's views of the educational process.
- Develop compensation systems that are adapted to what motivates employees in the host culture.

**Five Figures Important in International Assignee Importance Factors' Components**

**1. Job Knowledge and Motivation**

- Managerial ability
- Organizational ability
- Imagination
- Creativity
- Administrative skills
- Responsibility
- Industriousness
- Initiative and energy
- High motivation
- Frankness
- Belief in mission & job

**2. Relational Skills**

- Respect
- Courtesy & tact
- Display of respect
- Kindness
- Empathy
- Integrity
- Confidence

**3. Flexibility/Adaptability**

- Resourcefulness
- Ability to deal with stress
- Flexibility
- Emotional stability
- Willingness to change

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- Tolerance for ambiguity

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- Adaptability
- Independence
- Dependability
- Political sensitivity
- Positive self-image

**4. Extra-Cultural Openness**

- Variety of outside interests
- Interest in foreign cultures
- Openness
- Knowledge of local language(s)
- Outgoingness
- Overseas experience

**5. Family Situation**

- Adaptability of spouse & family
- Spouse's positive opinion
- Willingness of spouse to live abroad
- Stable marriage

**The Global Marketplace**

Employers:

- Importing & exporting organizations
- Multinational enterprises (MNEs)
- Global organizations

Employees:

- Parent-country national
- Host-country national
- Third-country national
- Expatriate

**Compensation**

- Provide expatriate with disposable income equivalent to what s/he would get at home
- Provide explicit "add-on" incentive for accepting international assignments
- Avoid having expatriates fill same jobs held by locals or lower-ranking jobs

**Selecting Employees for International Assignments**

- Emphasize cultural sensitivity as a selection criteria
- Establish a selection board of expatriates
- Require previous international experience
- Explore the possibility of hiring foreign-born employees who can serve as "expatriates" at a future date
- Screen candidates' spouses and families

**Five Major Dimensions to Culture**

- Power distance Extent to which individuals expect a hierarchical structure that emphasizes status differences between subordinates and superiors.
- Individualism Degree to which a society values personal goals, autonomy, and privacy over group loyalty, commitment to group norms, involvement in collective activities, social cohesiveness, and intense socialization.
- Uncertainty avoidance Extent to which a society places a high value on reducing risk and instability.
- Masculinity/femininity Degree to which a society views assertive or "masculine" behavior as important to success and encourages rigidly stereotyped gender roles.
- Long-term/short-term orientation Extent to which values are oriented toward to future (saving, persistence) as opposed to the past or present (respect for tradition, fulfilling social obligation).

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**Lecture-45**

**Human Resource Management**

Managerial function that tries to match an organization's needs to the skills and abilities of its employees.

**Managing Human Resources**

- To attract
- To Develop
- To Motivate and
- To Keep/Retain talented people

**Why is HRM Important?**

- Every manager manages human resources
- Human resources- the primary source of lasting competitive advantage

**Traditional Sources of Competitive Advantage**

- Financial or Economic Capabilities
- Product Capabilities
- Technological or Process Capability
- Organizational Capability

**Strategies for Gaining Competitive Advantage**

- Cost leadership: Compete by lower costs
- Core workforce mindset: cost reduction & effectiveness
- Product Differentiation/Innovation
- Core mindset: innovation & flexibility
- Focus: Best customer service or quality
- Core mindset: reward teamwork and quality successes that surpass customer needs
- Speed to Market
- Core mindset: Work faster than competitors

**The Strategic Importance of Managing Human Resources**

- **Competitive Advantage:** When all or part of the market prefers the firm's products and/or services.
- Ways firms can use HRM to gain sustainable competitive advantage:
  - Maximize the value added by employees
  - Acquire rare employees
  - Develop a culture that can't be copied.

**Human Resource Roles**

- Strategic Management Role
- Enabler Consultant Role
- Monitoring and Maintaining Role
- Change and Knowledge Facilitator Role
- Innovator Role

**Strategic Management Role**

- Linking the firm's HR policies and practices to the broader, longer-term needs of the firm and its stakeholders

**Includes:**

- Setting the direction
- Crafting corporate- and business-level plans
- Developing and implementing functional plans
- Measuring, evaluating, revising and refocusing

**Enabler and Consultant Role**

- Enabling line managers to make things happen

**Includes:**

- Training
- Assisting with problem diagnosis
- Developing solutions with managers

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- Being accessible and attuned to employee needs and concerns

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**Monitoring and Maintaining Role**

- Monitoring compliance with legal regulations and effectiveness of HR activities

**Includes:**

- Monitoring morale
- Providing support during change and uncertain times

**Innovator Role**

- Improving productivity and quality of work life

**Includes:**

- Adapting to an environment of uncertainty, energy conservation, and international competition
- Justifying the benefits and costs of programs

**Change and Knowledge Facilitator Role**

- Facilitating organizational change and maintaining organizational flexibility

**Includes:**

- Focusing on the future
- Guiding the flow of knowledge, information and learning throughout the organization

**The HR Triad**

- All managers responsible for leading people
- Employees share responsibility for human resource management
- "Customerization" means:
- Viewing people inside and outside the organization as customers to be satisfied
- Involving customers in the design of products and services

**High-performance Work System (HPWS)**

- A specific combination of HR practices, work structures, and processes that maximizes employee knowledge, skill, commitment, and flexibility.
- Systems composed of many interrelated parts that complement one another to reach the goals of an organization, large or small.

**Ensuring Fit**

- **Internal fit**
  - The situation in which all the internal elements of the work system complement and reinforce one another.
- **External fit**
  - The situation in which the work system supports the organization's goals and strategies.

**Benefits of HPWS**

- **Employee Benefits**
  - Have more involvement in the organization.
  - Experience growth and satisfaction, and become more valuable as contributors.
- **Organizational Benefits**
  - High productivity
  - Quality
  - Flexibility
  - Customer satisfaction.

**Expectations for HR Professionals**

- Understand problems assigned
- Stay competent and professional through study and research
- Maintain high standards of personal honesty and integrity
- Consider the personal interests, welfare, and dignity of all employees affected by recommendations and actions
- Ensure organizations maintain high regard for public interest and personal interests and dignity of employees

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**Current HRM Challenges**

- Managing Teams
- Managing Diversity
- Managing Globalization
- Managing Change

**Organizational Ethics Problems Related to HRM**

- Using favoritism rather than ability or job performance for managerial decisions regarding:
- employment
- promotion
- pay
- discipline

**HR Professionals' Roles in Workplace Ethics**

- **Monitor:** ensure all individuals are treated fairly and ethically
- **Investigator:** investigate complaints bearing on ethical issues
- **Spokesperson:** defend company's actions when confronted by a regulatory agency or the media

**Code of Ethics for HR Professionals**

- Maintain the highest standards of professional and personal conduct.
- Encourage employers to make fair and equitable treatment of all employees a primary concern.
- Maintain loyalty to employers and pursue company objectives in ways consistent with the public interest.
- Uphold all laws and regulations relating to employer activities.
- Maintain the confidentiality of privileged information.

**Code of Ethics for Human Resource Management**

"Practitioners must regard the obligation to implement public objectives and protect the public interest as more important than blind loyalty to an employer's preferences."

**Why Aren't "Best HR Practices" Used More Often?**

- Resistance to change
- Ignorance on the part of decision makers
- Political considerations

**How Can You Gain Support for "Best HR Practices?"**

- Link the use of HR practices to the solution of real business problems, and to achieving tangible business goals.
- Demonstrate how the benefits outweigh the costs of using "best HR practices."
- Speak the language of business people, i.e., money, not correlation coefficients!

**Future HR Trends**

- **Workplace Flexibility:** collaborative work in a virtual office
- **Global Business:** borderless business requires a global workforce
- **Work & Society:** working to live, not living to work
- **Workforce Development:** constant learning in a just-in-time format , learning organization & high skill utilization
- **Definition of Jobs:** jobs get bigger & broader
- **Strategic Role of HR:** becoming leaders, not just partners
- **The Value of Predicting:** having a vision & a way to achieve it

**The Key Issues**

**How to achieve it?**

Managing and retaining learning Human Resources.. Who deliver….
Think Globally Act Locally
"Knowledge and experience are available but often ignored"

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## VU Answer

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Question No : 1 of 60 Marks: 1 (Budgeted Time 1 Min)

The actions of people at work place are studied under which of the following discipline?

apni dua mai yad rakhna :)

VuAnswers.com

Answer ( Please select your correct option )

- Psychology
- Organizational behavior

ok

- Sociology
- Anthropology

Made by: Waqar Siddhu

Question No : 2 of 60 Marks: 1 (Budgeted Time 1 Min)

**Reactive approach to overcome the influence of discriminatory practices occurred in the past is referred as:**

apni dua mai yad rakhna :)

VuAnswers.com

Answer ( Please select your correct option )

- Equal employment opportunity
- Affirmative action ok
- HR planning
- Litigation process

Made by: Waqar Siddhu

Question No : 3 of 60 Marks: 1 (Budgeted Time 1 Min)

Under which of the following role, manager discusses issues and bargains with other units to gain advantages for their own unit?

apni dua mai yad rakhna :)

VuAnswers.com

Answer ( Please select your correct option )

- Negotiator

ok

- Spokesperson
- Disseminator
- Entrepreneur

Made by: Waqar Siddhu

Question No : 4 of 60 Marks: 1 (Budgeted Time 1 Min)

"Ongoing process of managing & evaluating both the behavior & outcomes in the workplace" is known as:

VuAnswers.com

Answer ( Please select your correct option )

- Job analysis
- Training & development
- Performance appraisal

ok

- Compensation management

Made by: Waqar Siddhu

Question No : 5 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT included in job description?

job identification
- job summary
- relationships, responsibilities, and duties
- authority of incumbent
- standards of performance
- working conditions
- job specifications

VuAnswers.com

Answer ( Please select your correct option )

- Job title
- Job authority
- Job competency
- Job status

ok

Made by: Waqar Siddhu

Question No : 6 of 60 Marks: 1 (Budgeted Time 1 Min)

**The process by which people acquire skills & abilities required to perform jobs at hand, is known as:**

VuAnswers.com

Answer ( Please select your correct option )

- Learning
- Training ok
- Development
- Need analysis

Made by: Waqar Siddhu

Question No : 7 of 60 Marks: 1 (Budgeted Time 1 Min)

Who is responsible for hiring the wrong person for the particular job?

VuAnswers.com

Answer ( Please select your correct option )

- HR manager ok
- Regional manager
- Regional head
- CEO

Made by: Waqar Siddhu

Question No : 8 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following involves channeling the behavior of all personnel to accomplish the organization's mission and objectives while simultaneously helping them accomplish their own career objectives?

VuAnswers.com

Answer ( Please select your correct option )

- Planning
- Organizing
- Leading ok
- Controlling

Made by: Waqar Siddhu

Question No : 9 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following term is used to study the collective behavior of individuals within an organization?**

VuAnswers.com

Answer ( Please select your correct option )

- Organizational culture
- Organizational norms
- Organizational behavior ok
- Organizational rules

Made by: Waqar Siddhu

Question No : 10 of 60 Marks: 1 (Budgeted Time 1 Min)

**Under staff authority, managers perform which of the following activities?**

VuAnswers.com

Answer ( Please select your correct option )

- Give orders to subordinates

I think this

- Practice authority provided by their upper heads for limited time period
- Assist decision makers by providing them advices
- Take decisions themselves

Made by: Waqar Siddhu

Question No : 11 of 60 Marks: 1 (Budgeted Time 1 Min)

The framework of providing learning and experience to the employees in a definite time period to improve their job performance and growth, is referred to which of the following?

VuAnswers.com

Answer ( Please select your correct option )

- HRD (Human Resource Development)

ok

- HRP (Human Resource Planning)
- HRIS (Human Resource Information System)
- SHRM (Strategic Human Resource Management)

Made by: Waqar Siddhu

Question No : 12 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following term is used to represent the shift in job position without any change in salary or grade?

VuAnswers.com

Answer ( Please select your correct option )

- Promotion
- Transfer ok
- Demotion
- Resignation

Made by: Waqar Siddhu

Question No : 13 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following depicts today's major barrier to career advancement of the working ladies?**

VuAnswers.com

Answer ( Please select your correct option )

- Top management is usually male oriented
- Lack of educational opportunities for women
- Common perception that woman can never be a better boss

ok

- Difficulty in balancing the work and family life

Made by: Waqar Siddhu

Question No : 14 of 60 Marks: 1 (Budgeted Time 1 Min)

**Performance is a function of:**

VuAnswers.com

Answer ( Please select your correct option )

- Ability, effort, opportunity ok
- Ability, expectancy, salary
- Ability, skill, knowledge
- Motivation, attractiveness, support

Made by: Waqar Siddhu

Question No : 15 of 60 Marks: 1 (Budgeted Time 1 Min)

**Company's financial statements represent which of the following?**

VuAnswers.com

Answer ( Please select your correct option )

- Customer satisfaction
- Material wastage
- Monthly sales growth ok
- Product life-cycle

Made by: Waqar Siddhu

Question No : 16 of 60 Marks: 1 (Budgeted Time 1 Min)

**Organizations put maximum effort in measuring performance of organizational people because:**

VuAnswers.com

Answer ( Please select your correct option )

- It makes procedures cost effective
- It helps in ensuring legal compliance
- It assists in implementing new technology

ok

- It leads to product innovation

Made by: Waqar Siddhu

Question No : 17 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is categorized as an indirect payment portion of employee compensation?

VuAnswers.com

Answer ( Please select your correct option )

- Wages
- Bonuses
- Commissions
- Insurance

ok

Made by: Waqar Siddhu

Question No : 18 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following constraints should be considered while designing any pay plan?

no idea

VuAnswers.com

Answer ( Please select your correct option )

- Legal obligations
- Union bodies
- Equity factor
- All of the given options

Made by: Waqar Siddhu

Question No : 19 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is never be a party in collective bargaining?

VuAnswers.com

Answer ( Please select your correct option )

- Union
- Management
- Government ok
- Society

Made by: Waqar Siddhu

Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

**The physical or psychological condition induced in workers by overwork or overexposure to stress in the workplace, is known as:**

VuAnswers.com

Answer ( Please select your correct option )

- Exhaustion
- Burnout ok
- Collapse
- Fatigue

Made by: Waqar Siddhu

Question No : 21 of 60 Marks: 1 (Budgeted Time 1 Min)

_____ are always non-citizens of the countries in which they are working.

VuAnswers.com

Answer ( Please select your correct option )

- Expatriates ok
- Third country nationals
- Home-country nationals
- Host-country nationals

Made by: Waqar Siddhu

Question No : 22 of 60 Marks: 1 (Budgeted Time 1 Min)

The process of influencing an organized group towards goal accomplishment is called _____.

VuAnswers.com

Answer ( Please select your correct option )

- Managing
- Leading ok
- Organizing
- Planning

Made by: Waqar Siddhu

Question No : 23 of 60 Marks: 1 (Budgeted Time 1 Min)

"Leaders are born not made". Which of the following theory depicts the given statement?

VuAnswers.com

Answer ( Please select your correct option )

- Trait Theory ok
- Situational Theory
- Behavioral Theory
- Motivational Theory

Made by: Waqar Siddhu

Question No : 24 of 60 Marks: 1 (Budgeted Time 1 Min)

"People can be trained to be effective leaders". This statement is said to be true as per which of the following theories?

VuAnswers.com

Answer ( Please select your correct option )

- Trait Theory
- Situational Theory
- Behavioral Theory ok
- Motivational Theory

Made by: Waqar Siddhu

Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

**Farhan usually tries to create off-channel relationships with the high level bodies to:**

VuAnswers.com

Answer ( Please select your correct option )

- Be an effective leader
- Gain power through upward influence
- Get quick promotions

ok

- Expand his interpersonal network

Made by: Waqar Siddhu

Question No : 26 of 60 Marks: 1 (Budgeted Time 1 Min)

**Leadership will mostly be considered failed if:**

VuAnswers.com

Answer ( Please select your correct option )

- Leaders are appointed by top management
- Leader established high goals to be achieved
- Leader also plays the role of a manager in an organization
- Followers stop sharing their issues with a leader

ok

Made by: Waqar Siddhu

Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following skills are required for an effective team?**

VuAnswers.com

Answer ( Please select your correct option )

- Problem-solving skills
- Technical skills
- Interpersonal skills
- All of the given options ok

Made by: Waqar Siddhu

Question No : 28 of 60 Marks: 1 (Budgeted Time 1 Min)

'Cognitive component' of an attitude represents which of the following individual's activity?

**Which of the following component of attitude represents a person's opinions, knowledge, and information?**

**Cognitive component**

VuAnswers.com

Answer ( Please select your correct option )

- Thinking
- Feeling
- Doing
- Performing

Made by: Waqar Siddhu

Question No : 29 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following skills are highly required by the supervisors to resolve various issues among employees?**

VuAnswers.com

Answer ( Please select your correct option )

- Tactical skills ok
- Human skills
- Technical skills
- Conceptual skills

Made by: Waqar Siddhu

Question No : 30 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following term is used to represent the employees' disappointment with their management & employers?

VuAnswers.com

Answer ( Please select your correct option )

- Arbitration
- Mediation
- Boycott
- Grievance

ok

Made by: Waqar Siddhu

Question No : 31 of 60 Marks: 1 (Budgeted Time 1 Min)

**For which of the following reason, union-membership in organizations loses it's importance during recent years?**

VuAnswers.com

Answer ( Please select your correct option )

- Legislation protects workers in a better way

ok

- Unions give advantage to union leaders
- Union membership is quite expensive
- Companies do not hire union members

Made by: Waqar Siddhu

Question No : 32 of 60 Marks: 1 (Budgeted Time 1 Min)

A career path as moving upward to higher levels of management in the organization is known as;

VuAnswers.com

Answer ( Please select your correct option )

- Traditional Career Path
- Network Career Path
- Lateral Skill Path

ok

- Dual-Career Path

Made by: Waqar Siddhu

Question No : 33 of 60 Marks: 1 (Budgeted Time 1 Min)

Protection from undesirable circumstances and safety come under which stage of Maslow hierarchy of need?

VuAnswers.com

Answer ( Please select your correct option )

- First
- Second

ok

- Third
- Fourth

Made by: Waqar Siddhu

Question No : 34 of 60 Marks: 1 (Budgeted Time 1 Min)

Who has presented the theory of Existence Relatedness Growth (ERG)?

VuAnswers.com

Answer ( Please select your correct option )

- Alderfer ok
- McGregor
- Edward Thorndike
- McClelland

Made by: Waqar Siddhu

Question No : 35 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following can be used to verify the applicant's history of employment?

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Structured interview
- Background checks
- Achievement test
- Assessment center

Made by: Waqar Siddhu

Question No : 36 of 60 Marks: 1 (Budgeted Time 1 Min)

**Dean Corporation wants to reduce employee's health problems associated with smoking by providing a smoke-free environment. What should be the most effective strategy in this connection?**

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Prohibit smoking in meetings and conferences
- Prohibit smoking in production department
- Prohibit smoking in senior management offices
- Prohibit smoking in all company premises

Made by: Waqar Siddhu

Question No : 37 of 60 Marks: 1 (Budgeted Time 1 Min)

**Political and economic uncertainties are examples of which category of potential sources of stress?**

VuAnswers.com

Answer ( Please select your correct option )

- Personal
- Environmental
- Organizational
- Inter-role

Made by: Waqar Siddhu

Question No : 38 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the given statement is true according to the behavioral leadership school of thought?**

VuAnswers.com

Answer ( Please select your correct option )

- Leadership behaviors can not be developed
- Leaders are born with leadership behaviors
- Leadership skills can be trained
- Women generally make better leaders than men

ok

Made by: Waqar Siddhu

Question No : 39 of 60 Marks: 1 (Budgeted Time 1 Min)

_____ are importers and exporters, they have no investment outside of their home country.

VuAnswers.com

Answer ( Please select your correct option )

- International companies

ok

- Multinational companies
- Global companies
- Transnational companies

Made by: Waqar Siddhu

Question No : 40 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following statement describes the term "franchising"?**

VuAnswers.com

Answer ( Please select your correct option )

- Parent company grants another firm the right to do business in a prescribed manner

ok

- Company allow another firm the right to do business with out any license or contract
- Organization grants a foreign firm the right to use intellectual properties
- Parent company sells its products exclusively in a particular area

Made by: Waqar Siddhu

Question No : 41 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following system HR practices tend to shift toward preventing unemployment, even at the expense of sacrificing efficiency?

VuAnswers.com

Answer ( Please select your correct option )

- Economic systems
- Socialist systems
- Free-enterprise systems
- Capitalism systems

Made by: Waqar Siddhu

Question No : 42 of 60 Marks: 1 (Budgeted Time 1 Min)

As an HR manager, what should be your main focus while recruitment?

VuAnswers.com

Answer ( Please select your correct option )

- The potential candidate should be very confident and sharp
- The potential candidate must be attractive enough to fit in the position
- The potential candidate should match the requirements of the job

ok

- The potential candidate must posses interpersonal and analytical skills

Made by: Waqar Siddhu

Question No : 43 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following aspect should be considered during task analysis, before conducting the training in an organization?**

VuAnswers.com

Answer ( Please select your correct option )

- Individuals who require training ok
- Shortcomings in existing technology
- Ineffective feedback system of organization
- Areas where training is required

Made by: Waqar Siddhu

Question No : 44 of 60 Marks: 1 (Budgeted Time 1 Min)

**When different supervisors define levels of performance (good, fair, poor) differently, unfair appraisals could result due to a problem of:**

VuAnswers.com

Answer ( Please select your correct option )

- Unclear standards
- Halo effects

ok

- Central tendency
- Leniency

Made by: Waqar Siddhu

Question No : 45 of 60 Marks: 1 (Budgeted Time 1 Min)

**Chenone has awarded a commission of 10% of the sales to Mr. Ahmed in order to recognize his efforts to make the required sales. This practice indicates that the company is providing:**

VuAnswers.com

Answer ( Please select your correct option )

- Intrinsic reward to recognize employee's efforts
- Increment due to new government regulation
- Extrinsic reward offered to sustain employee's performance
- Non-monetary compensation to motivate employee

ok

Made by: Waqar Siddhu

Question No : 46 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which one of the following is an example of downward communication?**

VuAnswers.com

Answer ( Please select your correct option )

- Birthday parties & official dinners
- Customers' responses through telephone calls
- Monthly performance discussion meetings

ok

- Company's prospectus for stakeholders

Made by: Waqar Siddhu

Question No : 47 of 60 Marks: 1 (Budgeted Time 1 Min)

"Sales managers of different regions of a company circulate details of potential customers to each other". Identify this type of communication.

VuAnswers.com

Answer ( Please select your correct option )

- Diagonal communication
- Horizontal communication ok
- Upward communication
- Downward communication

Made by: Waqar Siddhu

Question No : 48 of 60 Marks: 1 (Budgeted Time 1 Min)

**Burn out is defined as a function of all of these concerns, EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- A feeling of lack of control over commitments
- A growing tendency to think negatively
- A feeling of being boredom
- A belief that you are accomplishing less

Made by: Waqar Siddhu

Question No : 49 of 60 Marks: 1 (Budgeted Time 1 Min)

**All of the following factors promote unions in organizations, EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- Poor working conditions
- Desire for self-expression

ok

- Inadequate compensation
- Unfair disciplinary actions

Made by: Waqar Siddhu

Question No : 50 of 60 Marks: 1 (Budgeted Time 1 Min)

**Organizations are bound to provide the specified ratio of medical assistance to workers in case of work related accidents & diseases. This ratio is specified by:**

VuAnswers.com

Answer ( Please select your correct option )

- Minimum wage act
- Labor law

ok

- Employment at will
- Discrimination law

Made by: Waqar Siddhu

Question No : 51 of 60 Marks: 1 (Budgeted Time 1 Min)

**Mostly, the content of employee handbooks includes:**

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Welcome note
- Introduction of organization
- Rules and procedures
- All of the given options

Made by: Waqar Siddhu

Question No : 52 of 60 Marks: 1 (Budgeted Time 1 Min)

**While making compensation system more effective, which of the following is NOT considered?**

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Attract qualified employment applicants
- Retain qualified employees, while discouraging retention of low performing
- Rotate employees within the organization to keep them active
- Motivate employee's behavior towards organizational objectives

Made by: Waqar Siddhu

Question No : 1 of 60 Marks: 1 (Budgeted Time 1 Min)

**Organizational Behavior is a study of investigating the impact of:**

Answer ( Please select your correct option )

VuAnswers.com

- Employees' behavior in an organization

**correct**

- Societal behavior on an organization
- Country's culture on an organization
- Country's economy on an organization

Made by: Waqar Siddhu

Question No : 2 of 60 Marks: 1 (Budgeted Time 1 Min)

**For which of the following employees' participation plays a vital role?**

VuAnswers.com

Answer ( Please select your correct option )

- Enhance goals' complexity
- Develop tools for measurable goals

**correct**

- Redefine goals frequently
- Ensure goals attainment

Made by: Waqar Siddhu

Question No : 3 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following process leads towards the Organization's strategy?

VuAnswers.com

Answer ( Please select your correct option )

- Organizing

correct not confirm

- Controlling
- Planning
- Leading

Made by: Waqar Siddhu

Question No : 4 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the given solution served as the best one for reducing the problem of central tendency in performance appraisals?

VuAnswers.com

Answer ( Please select your correct option )

- Rank employees
- Train supervisors to avoid it **correct**
- Impose a distribution for performance
- Consider the purpose of the appraisal

Made by: Waqar Siddhu

Question No : 5 of 60 Marks: 1 (Budgeted Time 1 Min)

As an HR manager you have collected and reviewed the information\data related to a particular job, while conducting the job analysis. What will be your next step in this situation?

VuAnswers.com

Answer ( Please select your correct option )

- Maintaining and updating the jobs
- Identify objectives of job analysis

correct

- Identify the job to be analyzed
- Draft job description & job specification

Made by: Waqar Siddhu

Question No : 6 of 60 Marks: 1 (Budgeted Time 1 Min)

According to which of the following interview type, several applicants are being interviewed by one or more company representatives?

Answer ( Please select your correct option )

VuAnswers.com

- One-to-one interview
- Panel interview
- Group interview
- Stress interview

correct

Made by: Waqar Siddhu

Question No : 7 of 60 Marks: 1 (Budgeted Time 1 Min)

A practice used by different companies to reduce costs by transferring portions of work to outside provider rather than completing it internally is termed as:

VuAnswers.com

Answer ( Please select your correct option )

- Planning
- Decentralization
- Restructuring
- Outsourcing

correct

Made by: Waqar Siddhu

Question No : 8 of 60 Marks: 1 (Budgeted Time 1 Min)

For the selection of pilot, PIA's management took the written test based on the understanding & application of aeronautical engineering; under which category this test will fall?

Answer ( Please select your correct option )

VuAnswers.com

- Reliable test **correct**
- Content-valid test
- Combination-valid test
- Face-valid test

Made by: Waqar Siddhu

Question No : 9 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the given objective is mainly focused during pre-retirement educational programs?**

Answer ( Please select your correct option )

VuAnswers.com

- Improve job satisfaction among senior staff
- Enhance employee performances through such concerns
- Prepare employees for their upcoming retired life

**correct**

- Minimize medical claims from retirees

Made by: Waqar Siddhu

Question No : 10 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following depicts today's major barrier to career advancement of the working ladies?**

Answer ( Please select your correct option )

VuAnswers.com

- Top management is usually male oriented
- Lack of educational opportunities for women
- Common perception that woman can never be a better boss
- Difficulty in balancing the work and family life

correct

Made by: Waqar Siddhu

Question No : 11 of 60 Marks: 1 (Budgeted Time 1 Min)

Under which of the following methods of jobs evaluation, jobs are arranged in an order?

Answer ( Please select your correct option )

VuAnswers.com

- Ranking method

correct

- Classification method
- Factor comparison method
- Point factor method

Made by: Waqar Siddhu

Question No : 12 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following performance appraisal method is worthless, when jobs are entirely different from each other?

Answer ( Please select your correct option )

VuAnswers.com

- Ranking method
- Factor comparison method
- Classification method

correct

- Point factor method

Made by: Waqar Siddhu

Question No : 13 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following pay category depicts the increase in salary, the firm awards to an individual employee based on his or her individual performance?

VuAnswers.com

Answer ( Please select your correct option )

- Merit pay **correct**
- Variable pay
- Piecework pay
- Job-based pay

Made by: Waqar Siddhu

Question No : 14 of 60 Marks: 1 (Budgeted Time 1 Min)

**For which of the following reason, organizations consider employee benefits important?**

Answer ( Please select your correct option )

VuAnswers.com

- To attract new blood in the organizations
- To retain the valuable employees
- To create good reputation in the market
- All of the given options

correct

Made by: Waqar Siddhu

Question No : 15 of 60 Marks: 1 (Budgeted Time 1 Min)

The compensation philosophy; "higher pay for higher contribution" is known as:

VuAnswers.com

Answer ( Please select your correct option )

- Competency-based pay
- Skilled-base pay
- Merit-based pay

correct

- Seniority-based pay

Made by: Waqar Siddhu

Question No : 16 of 60 Marks: 1 (Budgeted Time 1 Min)

If the political behavior is motivated by self-serving interests without taking into account the goals of the organization, the move would be considered as:

Answer ( Please select your correct option )

VuAnswers.com

- Ethical
- Neutral
- Unethical

correct

- Intense

Made by: Waqar Siddhu

Question No : 17 of 60 Marks: 1 (Budgeted Time 1 Min)

Under a strong union influence, the union members demanded the salary increment as per the rate of increase in inflation. As an HR manager what will be your initial step?

Answer ( Please select your correct option )

VuAnswers.com

- Rejecting the request as it is unnecessary
- Approving the demand immediately
- Asking union to make a contract
- Arranging negotiation to discuss the issue

correct

Made by: Waqar Siddhu

Question No : 18 of 60 Marks: 1 (Budgeted Time 1 Min)

The physical or psychological condition induced in workers by overwork or overexposure to stress in the workplace, is known as:

Answer ( Please select your correct option )

VuAnswers.com

- Exhaustion
- Burnout

correct

- Collapse
- Fatigue

Made by: Waqar Siddhu

Question No : 19 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following criteria is said to be essential for an effective communication?**

Answer ( Please select your correct option )

VuAnswers.com

- Sender and receiver are using the same code\language
- At least two people are involved & willing to communicate
- A channel to communicate should be present
- All of the given options

correct

Made by: Waqar Siddhu

Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

_____ are always non-citizens of the countries in which they are working.

Answer ( Please select your correct option )

VuAnswers.com

- Expatriates **correct**
- Third country nationals
- Home-country nationals
- Host-country nationals

Made by: Waqar Siddhu

Question No : 21 of 60 Marks: 1 (Budgeted Time 1 Min)

_____ is the early return of an expatriate manager to the home country without completion of an overseas assignment.

Answer ( Please select your correct option )

VuAnswers.com

- Culture shock
- Expatriate return
- Expatriate failure

correct

- Repatriation

Made by: Waqar Siddhu

Question No : 22 of 60 Marks: 1 (Budgeted Time 1 Min)

**The process of influencing an organized group towards goal accomplishment is called _____.**

Answer ( Please select your correct option )

VuAnswers.com

- Managing
- Leading

**correct**

- Organizing
- Planning

Made by: Waqar Siddhu

Question No : 23 of 60 Marks: 1 (Budgeted Time 1 Min)

**Usually it is observed that after becoming the team's captain the player's own performance declines. What could be the reason behind it?**

Answer ( Please select your correct option )

VuAnswers.com

- Absence of task related knowledge
- Lack of high energy level
- Imposed on a team by management
- Unable to handle extra pressure

correct

Made by: Waqar Siddhu

Question No : 24 of 60 Marks: 1 (Budgeted Time 1 Min)

"Leaders are born not made". Which of the following theory depicts the given statement?

Answer ( Please select your correct option )

VuAnswers.com

- Trait Theory

correct

- Situational Theory
- Behavioral Theory
- Motivational Theory

Made by: Waqar Siddhu

Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

**Charismatic leaders are those who have the ability to:**

VuAnswers.com

Answer ( Please select your correct option )

- Resolve every problem prevailing in the organization
- Influence others in a desired manner

**correct**

- Command over larger number of employees
- Strictly impose the set rules

Made by: Waqar Siddhu

Question No : 26 of 60 Marks: 1 (Budgeted Time 1 Min)

**For which of the following reason, union-membership in organizations loses it's importance during recent years?**

Answer ( Please select your correct option )

VuAnswers.com

- Legislation protects workers in a better way

**correct**

- Unions give advantage to union leaders
- Union membership is quite expensive
- Companies do not hire union members

Made by: Waqar Siddhu

Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

**JJP Enterprise seeks to attract one of its managers to move to Gawadar to manage the working of its subsidiary in Gawadar. The firm will likely need to offer a _____ in addition to a manager's base salary.**

VuAnswers.com

Answer ( Please select your correct option )

- Cost-of-living allowance
- Bonus
- Hardship allowance

**correct**

- Tax equalization adjustment

Made by: Waqar Siddhu

Question No : 28 of 60 Marks: 1 (Budgeted Time 1 Min)

A general course of action a person chooses to pursue throughout his or her working life is known as;

Answer ( Please select your correct option )

VuAnswers.com

- Job
- Career
- Employment
- Unemployment

correct

Made by: Waqar Siddhu

Question No : 29 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following views of conflict argues that some conflict is absolutely necessary for a group to perform effectively?

Answer ( Please select your correct option )

VuAnswers.com

- Human relations

correct

- Interactionist
- Traditional
- Functional

Made by: Waqar Siddhu

Question No : 30 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one is the most common industrial action that unions take ?

Answer ( Please select your correct option )

VuAnswers.com

- Unofficial action
- Meeting with higher management
- Strike action

correct

- Absence

Made by: Waqar Siddhu

Question No : 31 of 60 Marks: 1 (Budgeted Time 1 Min)

According to Expectancy theory motivation is a function of three things. Which of the following combination is true?

Answer ( Please select your correct option )

VuAnswers.com

- Existence, instrumentality and valance

correct

- Existence, intuition and valance
- Expectancy, intuition and valance
- Expectancy, instrumentality and valance

Made by: Waqar Siddhu

Question No : 32 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following term can be defined as "A state of mind, desire, energy or interest that translates into action"?

VuAnswers.com

Answer ( Please select your correct option )

- Motivation **correct**
- Stimuli
- Resentment
- Conation

Made by: Waqar Siddhu

Question No : 33 of 60 Marks: 1 (Budgeted Time 1 Min)

When personnel departments were perceived as the health and happiness crews?

no idea

Answer ( Please select your correct option )

VuAnswers.com

- Before 1960's
- Before 1980's
- Before 1990's
- Before 2010's

Made by: Waqar Siddhu

Question No : 34 of 60 Marks: 1 (Budgeted Time 1 Min)

Which job analysis method is recommended for jobs like janitors, assembly line workers and accounting clerks?

VuAnswers.com

Answer ( Please select your correct option )

- Observation
- Log/diary
- Structured questionnaire
- Technical conference

correct

Made by: Waqar Siddhu

Question No : 35 of 60 Marks: 1 (Budgeted Time 1 Min)

**Following are all included in 'Statistical Approach' of forecasting EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- Trend analysis
- Sensitivity analysis

correct

- Ratio analysis
- Regression analysis

Made by: Waqar Siddhu

Question No : 36 of 60 Marks: 1 (Budgeted Time 1 Min)

**Political and economic uncertainties are examples of which category of potential sources of stress?**

Answer ( Please select your correct option )

VuAnswers.com

- Personal
- Environmental

correct

i think

- Organizational
- Inter-role

Made by: Waqar Siddhu

Question No : 37 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT a physical symptom of stress?

Answer ( Please select your correct option )

VuAnswers.com

- Headaches
- Digestive problem
- Frustration
- High blood pressure

correct

Made by: Waqar Siddhu

Question No : 38 of 60 Marks: 1 (Budgeted Time 1 Min)

If trait theories of leadership are valid, then which of the following statement is correct?

Answer ( Please select your correct option )

VuAnswers.com

- Leaders are rigid
- Leaders are trained
- Leaders are born

correct

- Leaders are made

Made by: Waqar Siddhu

Question No : 39 of 60 Marks: 1 (Budgeted Time 1 Min)

Which group of employees may also be known as expatriates?

Answer ( Please select your correct option )

VuAnswers.com

- Parent-country nationals

correct

- Host-country nationals
- Third-country nationals
- Local-country nationals

Made by: Waqar Siddhu

Question No : 40 of 60 Marks: 1 (Budgeted Time 1 Min)

**The aspect of organizational culture that an employee can NOT see is:**

VuAnswers.com

Answer ( Please select your correct option )

- What motivates people
- Tempo of work
- Attitude toward authority

correct

- All of the given options

Made by: Waqar Siddhu

Question No : 41 of 60 Marks: 1 (Budgeted Time 1 Min)

**A well written employee hand book will provide all of these benefits to the organization Except**

VuAnswers.com

Answer ( Please select your correct option )

- Provide specific guidelines that regulate behavior of individuals
- Provide an implied employment contract
- Provide details about disciplinary actions
- Provide a source of information regarding organizational rules and policies

correct

Made by: Waqar Siddhu

Question No : 42 of 60 Marks: 1 (Budgeted Time 1 Min)

**Organization has legitimacy and rationale configuration that is why it is said to be a/an:**

VuAnswers.com

Answer ( Please select your correct option )

- Formal organization **correct**
- Informal organization
- Virtual organization
- Learning organization

Made by: Waqar Siddhu

Question No : 43 of 60 Marks: 1 (Budgeted Time 1 Min)

"People working in your organization are more than the actual requirements". Which one of the following strategy you prefer to solve this problem?

VuAnswers.com

Answer ( Please select your correct option )

- Recruitment **correct**
- Training
- Layoff
- Merger

Made by: Waqar Siddhu

Question No : 44 of 60 Marks: 1 (Budgeted Time 1 Min)

**Part-time workers, temporaries, independent contractors; all fall under which of the given category?**

Answer ( Please select your correct option )

VuAnswers.com

- Conditional workers
- Transitory workers
- Interim workers
- Contingent workers

correct

Made by: Waqar Siddhu

Question No : 45 of 60 Marks: 1 (Budgeted Time 1 Min)

**Interviews are most valuable for assessing a candidate's:**

Answer ( Please select your correct option )

VuAnswers.com

- Applied level of mental skills
- Level of conscientiousness
- Interpersonal skills
- All of the given options

correct

Made by: Waqar Siddhu

Question No : 46 of 60 Marks: 1 (Budgeted Time 1 Min)

Ahmed, the supervisor of the manufacturing department, is in the process of evaluating his staff's performance. He has determined that 15% of the group will be identified as high performers, 20% as above average performers, 30% as average performers, 20% as below average performers, and 15% as poor performers. He is using a _____ method.

VuAnswers.com

Answer ( Please select your correct option )

- Graphic rating scale
- Constant sum ranking scale
- Forced distribution

correct

- Alternation ranking

Made by: Waqar Siddhu

Question No : 47 of 60 Marks: 1 (Budgeted Time 1 Min)

Mr. Faisal is generally considered unfriendly at work. His supervisor rates him low on the trait "interpersonal relationships" but also rates him lower on other traits like hardworking, work devotion, pressure handling etc . Faisal's performance appraisal may be effected due to:

VuAnswers.com

Answer ( Please select your correct option )

- Biasness
- Stereotyping
- Halo effects **correct**
- Strictness

Made by: Waqar Siddhu

Question No : 48 of 60 Marks: 1 (Budgeted Time 1 Min)

**The best way of reducing the problems of leniency or strictness in performance appraisals is to:**

Answer ( Please select your correct option )

VuAnswers.com

- Rank all employees at average
- Train supervisors to remain moderate
- Impose a distribution for performance
- Consider the purpose of the appraisal

correct

Made by: Waqar Siddhu

Question No : 49 of 60 Marks: 1 (Budgeted Time 1 Min)

**According to Maslow and Aldefer, pay or salary meets the needs of:**

VuAnswers.com

Answer ( Please select your correct option )

- People who have strong lower level needs

**correct**

- People who have strong higher level needs
- People who have moderate to high level needs
- People who have self actualization needs

Made by: Waqar Siddhu

Question No : 50 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following strategy is said to be more effective to motivate contingent workers?

Answer ( Please select your correct option )

VuAnswers.com

- Facilitate with job security

correct

- Make jobs more appealing
- Develop interest through job rotation
- Provide challenging projects

Made by: Waqar Siddhu

Question No : 51 of 60 Marks: 1 (Budgeted Time 1 Min)

"Sales managers of different regions of a company circulate details of potential customers to each other". Identify this type of communication.

Answer ( Please select your correct option )

VuAnswers.com

- Downward communication
- Diagonal communication
- Horizontal communication

correct

- Upward communication

Made by: Waqar Siddhu

Question No : 52 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following is NOT involved in 'Human Resource Planning'?

not sure

VuAnswers.com

Answer ( Please select your correct option )

- Finding out the required number of people for the organization

correct

- Giving chance to employees to design their personal plans
- Identifying the skills needed to accomplish the tasks
- Ensuring that human resource will be available when needed

Made by: Waqar Siddhu

Question No : 1 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following term is used to identify the physical & mental skills, required to perform by an individual within a particular position in an organization?

Answer ( Please select your correct option )

VuAnswers.com

- Job title
- Job specification
- Job description
- Job evaluation

correct

Made by: Waqar Siddhu

Question No : 2 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following recruitment method provides a platform to multiple employers to attract large number of applicants?

Answer ( Please select your correct option )

VuAnswers.com

- Job offer
- Job fair
- Job festival
- Job listing

correct

Made by: Waqar Siddhu

Question No : 3 of 60 Marks: 1 (Budgeted Time 1 Min)

**The ability to think about abstract & complex situations is refered to as:**

pg 10

VuAnswers.com

Answer ( Please select your correct option )

- Mechanical skill
- Technical skill
- Interpersonal skill
- Conceptual skill

correct

Made by: Waqar Siddhu

Question No : 4 of 60 Marks: 1 (Budgeted Time 1 Min)

**By what means, organizations show concerns for their employees and earn their commitment?**

Answer ( Please select your correct option )

VuAnswers.com

- Solely ensuring job security of employees
- Provide career development opportunities

**correct**

- Promise after retirement incentives only
- Offer stock options limited to senior employees

Made by: Waqar Siddhu

Question No : 5 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT included in job description?

VuAnswers.com

Answer ( Please select your correct option )

- Job title
- Job authority
- Job competency
- Job status

correct

Made by: Waqar Siddhu

Question No : 6 of 60 Marks: 1 (Budgeted Time 1 Min)

'Due to lack of knowledge among employees, they are unable to operate the computerized MIS', which of the following addresses this problem?

Answer ( Please select your correct option )

VuAnswers.com

- Provision of new computers
- Conduct relevant training
- Supply input devices
- Supply output devices

correct

Made by: Waqar Siddhu

Question No : 7 of 60 Marks: 1 (Budgeted Time 1 Min)

A practice used by different companies to reduce costs by transferring portions of work to outside provider rather than completing it internally is termed as:

VuAnswers.com

Answer ( Please select your correct option )

- Planning
- Decentralization
- Restructuring
- Outsourcing

correct

Made by: Waqar Siddhu

Question No : 8 of 60 Marks: 1 (Budgeted Time 1 Min)

HRM is associated with the management of:

VuAnswers.com

Answer ( Please select your correct option )

- General public
- Labor force
- Organizational people **correct**
- Employers

Made by: Waqar Siddhu

Question No : 9 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is a goal-directed summary of a person's experience, education and training developed for use in the selection process?

Answer ( Please select your correct option )

VuAnswers.com

- Curriculum vitae **correct**
- Educational record
- Career goal
- Interview questioning

Made by: Waqar Siddhu

Question No : 10 of 60 Marks: 1 (Budgeted Time 1 Min)

**The screening used to reduce absenteeism on the basis of medical problems and to establish a baseline for future health insurance claims, is:**

VuAnswers.com

Answer ( Please select your correct option )

- Physical examination **correct**
- Personality test
- Polygraph test
- Substance abuse

Made by: Waqar Siddhu

Question No : 11 of 60 Marks: 1 (Budgeted Time 1 Min)

**Performance is a function of:**

Answer ( Please select your correct option )

VuAnswers.com

- Ability, effort, opportunity

**correct**

- Ability, expectancy, salary
- Ability, skill, knowledge
- Motivation, attractiveness, support

Made by: Waqar Siddhu

Question No : 12 of 60 Marks: 1 (Budgeted Time 1 Min)

**Willingness, capacity & opportunity to perform, are combinely termed as:**

VuAnswers.com

Answer ( Please select your correct option )

- Performance outcomes
- Performance determinants
- Performance measures
- Performance standards

correct

Made by: Waqar Siddhu

Question No : 13 of 60 Marks: 1 (Budgeted Time 1 Min)

What type of pay plan is being used when workers are paid a sum for each unit they produce?

VuAnswers.com

Answer ( Please select your correct option )

- Base pay
- Competency-based pay

correct

- Bonus pay
- Piecework pay

Made by: Waqar Siddhu

Question No : 14 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the given expression is termed as 'equity'?

Answer ( Please select your correct option )

VuAnswers.com

- $\frac{\text{Output 1}}{\text{Input}} < \frac{\text{Output 2}}{\text{Input}}$
- $\frac{\text{Output 1}}{\text{Input}} = \frac{\text{Output 2}}{\text{Input}}$ **correct**
- $\frac{\text{Output 1}}{\text{Input}} \leq \frac{\text{Output 2}}{\text{Input}}$
- $\frac{\text{Output 1}}{\text{Input}} > \frac{\text{Output 2}}{\text{Input}}$

Made by: Waqar Siddhu

Question No : 15 of 60 Marks: 1 (Budgeted Time 1 Min)

'An organization cannot terminate an individual, based on his/her age in order to save some money for the organization .' The given statement falls under:

VuAnswers.com

Answer ( Please select your correct option )

- Statutory rights
- Public policy
- Employee rights **correct**
- Management rights

Made by: Waqar Siddhu

Question No : 16 of 60 Marks: 1 (Budgeted Time 1 Min)

Usually it is observed that after becoming the team's captain the player's own performance declines. What could be the reason behind it?

Answer ( Please select your correct option )

VuAnswers.com

- Unable to handle extra pressure **correct**
- Absence of task related knowledge
- Lack of high energy level
- Imposed on a team by management

Made by: Waqar Siddhu

Question No : 17 of 60 Marks: 1 (Budgeted Time 1 Min)

"Leaders are born not made". Which of the following theory depicts the given statement?

VuAnswers.com

Answer ( Please select your correct option )

- Trait Theory

correct

- Situational Theory
- Behavioral Theory
- Motivational Theory

Made by: Waqar Siddhu

Question No : 18 of 60 Marks: 1 (Budgeted Time 1 Min)

**Charismatic leaders are those who have the ability to:**

VuAnswers.com

Answer ( Please select your correct option )

- Resolve every problem prevailing in the organization
- Influence others in a desired manner

correct

- Command over larger number of employees
- Strictly impose the set rules

Made by: Waqar Siddhu

Question No : 19 of 60 Marks: 1 (Budgeted Time 1 Min)

"People can be trained to be effective leaders". This statement is said to be true as per which of the following theories?

VuAnswers.com

Answer ( Please select your correct option )

- Trait Theory
- Situational Theory
- Behavioral Theory **correct**
- Motivational Theory

Made by: Waqar Siddhu

Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

**Leadership will mostly be considered failed if:**

Answer ( Please select your correct option )

VuAnswers.com

- Leaders are appointed by top management
- Leader established high goals to be achieved
- Leader also plays the role of a manager in an organization
- Followers stop sharing their issues with a leader

correct

Made by: Waqar Siddhu

Question No : 21 of 60 Marks: 1 (Budgeted Time 1 Min)

A process of shifting worker to lower level of duties & responsibilities along with the reduced pay is termed as:

VuAnswers.com

Answer ( Please select your correct option )

- Retirement
- Resignation
- Lay-off
- Demotion

correct

Made by: Waqar Siddhu

Question No : 22 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is a part of non-financial compensation?

Answer ( Please select your correct option )

VuAnswers.com

- Monthly commission
- Employee autonomy

correct

- Stock option
- Medical allowance

Made by: Waqar Siddhu

Question No : 23 of 60 Marks: 1 (Budgeted Time 1 Min)

**JJP Enterprise seeks to attract one of its managers to move to Gawadar to manage the working of its subsidiary in Gawadar. The firm will likely need to offer a _____ in addition to a manager's base salary.**

VuAnswers.com

Answer ( Please select your correct option )

- Cost-of-living allowance
- Bonus
- Hardship allowance **correct**
- Tax equalization adjustment

Made by: Waqar Siddhu

Question No : 24 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following is not a part of basic learning principles?

pg 102

VuAnswers.com

Answer ( Please select your correct option )

- Repetition
- Participation
- Growth

correct

- Relevance

Made by: Waqar Siddhu

Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

Under the progressive discipline procedure the suspension of the employee falls in which of the following category?

not sure

VuAnswers.com

Answer ( Please select your correct option )

- First offense

correct

- Second offense
- Third offense
- Fourth offense

Made by: Waqar Siddhu

Question No : 26 of 60 Marks: 1 (Budgeted Time 1 Min)

Who has presented the Theory-X and Theory-Y?

**McGregor's Theory-X and Theory-Y pg 140**

VuAnswers.com

Answer ( Please select your correct option )

- Alderfer
- McGregor **correct**
- Edward Thorndike
- McClelland

Made by: Waqar Siddhu

Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

When the economy is stagnant and unemployment levels are high then;

Answer ( Please select your correct option )

VuAnswers.com

- Organizations can not attract the applicants
- Organizations have to put much effort for attracting applicants
- Organizations can recruit employees from the global market
- Organizations can obtain large applicant pool with very little effort

correct

Made by: Waqar Siddhu

Question No : 28 of 60 Marks: 1 (Budgeted Time 1 Min)

**Last week, Huma spent the morning time in watching Waseem's work. Then, she took Waseem to lunch to talk to him about how to improve his job performance. Huma is the office manager of a local real estate company. Waseem on the other hand is a new real estate agent. What is going on in this scenario?**

Answer ( Please select your correct option )

VuAnswers.com

- Huma and Waseem are part of a job rotation program
- Huma is coaching Waseem

**correct**

- Huma and Waseem are part of short-term lateral transfer
- Huma is giving orientation to Waseem

Made by: Waqar Siddhu

Question No : 29 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following is NOT considered as a role of line managers in organizational health and safety program?**

VuAnswers.com

Answer ( Please select your correct option )

- Investigate accidents details
- Help employees to work safely
- Ensure workers are doing job in safe environment
- Develop health and safety program

correct

Made by: Waqar Siddhu

Question No : 30 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT a physical symptom of stress?

VuAnswers.com

Answer ( Please select your correct option )

- Headaches
- Digestive problem
- Frustration
- High blood pressure

correct

Made by: Waqar Siddhu

Question No : 31 of 60 Marks: 1 (Budgeted Time 1 Min)

**While downsizing, organizations sometimes reduce the number of employees by offering early retirements because:**

VuAnswers.com

Answer ( Please select your correct option )

- HR requirement is less than existing number of employees **correct**
- HR requirement is greater than the existing number of employees
- Company is expanding its manual operations and procedures
- Organizations can be more efficient by this action of management

Made by: Waqar Siddhu

Question No : 32 of 60 Marks: 1 (Budgeted Time 1 Min)

If trait theories of leadership are valid, then which of the following statement is correct?

Answer ( Please select your correct option )

VuAnswers.com

- Leaders are trained
- Leaders are born
- Leaders are made
- Leaders are rigid

correct

Made by: Waqar Siddhu

Question No : 33 of 60 Marks: 1 (Budgeted Time 1 Min)

Which group of employees may also be known as expatriates?

Answer ( Please select your correct option )

VuAnswers.com

- Parent-country nationals **correct**
- Host-country nationals
- Third-country nationals
- Local-country nationals

Made by: Waqar Siddhu

Question No : 34 of 60 Marks: 1 (Budgeted Time 1 Min)

**_____ are importers and exporters, they have no investment outside of their home country.**

Answer ( Please select your correct option )

VuAnswers.com

- International companies

**correct**

- Multinational companies
- Global companies
- Transnational companies

Made by: Waqar Siddhu

Question No : 35 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following system HR practices tend to shift toward preventing unemployment, even at the expense of sacrificing efficiency?

**In a socialist system, HR practices favor the prevention of unemployment, often at the expense of productivity and efficiency, which is often unacceptable.**

VuAnswers.com

Answer ( Please select your correct option )

- Economic systems
- Socialist systems **correct**
- Free-enterprise systems
- Capitalism systems

Made by: Waqar Siddhu

Question No : 36 of 60 Marks: 1 (Budgeted Time 1 Min)

**Last month, it came to the knowledge of Tony's supervisor that he is using drugs. The supervisor talked to him about the rules of the organization that prohibit possession of narcotics or alcohol at workplace, and the consequences for such behavior that ultimately lead to dismissal. Yesterday, Tony has been fired because of having drugs with him. The action taken by management;**

VuAnswers.com

Answer ( Please select your correct option )

- Is totally unfair and biased
- Can reduce the motivational level of other employees
- Sends a message to other employees about what will not be tolerated **correct**
- Is against the privacy right of the employee

Made by: Waqar Siddhu

Question No : 37 of 60 Marks: 1 (Budgeted Time 1 Min)

**Employees working under coercive managers are more likely to**

**Coercive Power: coercive power, based on a person's ability to punish.**

Answer ( Please select your correct option ) VuAnswers.com

- Be Committed **correct**
- Resist the manager
- Enjoy working under their supervision
- Trade favors with them

Made by: Waqar Siddhu

Question No : 38 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following duty is performed by a staff manager?

**Staff manager: Authorized to assist and advise line managers in accomplishing these basic goals.**

VuAnswers.com

Answer ( Please select your correct option )

- Interpreting policies and procedures **correct**
- Drafting performance standards
- Controlling labor cost
- Advising staff promotions

Made by: Waqar Siddhu

Question No : 39 of 60 Marks: 1 (Budgeted Time 1 Min)

"People working in your organization are more than the actual requirements". Which one of the following strategy you prefer to solve this problem?

VuAnswers.com

Answer ( Please select your correct option )

- Recruitment

correct

- Training
- Layoff
- Merger

Made by: Waqar Siddhu

Question No : 40 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT a method of an external recruitment?

Answer ( Please select your correct option )

VuAnswers.com

- Job advertisements
- Job postings

correct

- Internship programs
- Job fairs

Made by: Waqar Siddhu

Question No : 42 of 60 Marks: 1 (Budgeted Time 1 Min)

**What usually occurs when employees rate themselves in a performance appraisal?**

VuAnswers.com

Answer ( Please select your correct option )

- Appraisals are subject to halo effects
- Ratings are higher than rated by supervisors **correct**
- No significant difference occurs
- Influence of stereotype is greater

Made by: Waqar Siddhu

Question No : 43 of 60 Marks: 1 (Budgeted Time 1 Min)

**If a performance appraisal focuses on employee's ability to identify and analyze problems and to maintain harmonious and effective working relationships, then the performance appraisal is focused on measuring :**

VuAnswers.com

Answer ( Please select your correct option )

- Generic dimensions of performance

correct

- Performance of actual duties
- Employee competency
- Achievement of objectives

Made by: Waqar Siddhu

Question No : 44 of 60 Marks: 1 (Budgeted Time 1 Min)

All of the following are advantages of 'critical incident method' for appraising performance, EXCEPT:

Answer ( Please select your correct option )

VuAnswers.com

- It provides examples of good performance
- It provides results that are subjective
- It provides examples of poor performance
- It provides incidents tied to performance goals

correct

Made by: Waqar Siddhu

Question No : 45 of 60 Marks: 1 (Budgeted Time 1 Min)

**Each job is assigned to a particular grade/category depending on the type of jobs the organizations required, is tagged as:**

VuAnswers.com

Answer ( Please select your correct option )

- Ranking method
- Classification method
- Factor comparison method
- Point factor method

**correct**

Made by: Waqar Siddhu

Question No : 46 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is one of the main flaws of "Classification Method" to evaluate the jobs?

Answer ( Please select your correct option )

VuAnswers.com

- Jobs may appear to fit within more than one category **correct**
- An expensive method of evaluation
- Beneficial only for small organizations
- Maximum probability of biasness

Made by: Waqar Siddhu

Question No : 47 of 60 Marks: 1 (Budgeted Time 1 Min)

What will you advise to managers with regard to handling political behaviors within an organization?

Answer ( Please select your correct option )

VuAnswers.com

- Minimize the potential dysfunctional consequences of abusive political behavior
- Focus on eliminating political behaviors of the lower level staff rather than top management
- Focus on eliminating political behaviors of the top management rather than lower level staff

correct

- Provide personal and emotional backing to all political behaviors

Made by: Waqar Siddhu

Question No : 48 of 60 Marks: 1 (Budgeted Time 1 Min)

**Neither an organization nor any organizational member can provide the employee database information to any person/organization without the permission of the concerned employee. This restriction is supported by:**

Answer ( Please select your correct option )

VuAnswers.com

- Rights to privacy **correct**
- Labor law
- Employment at will
- Discrimination law

Made by: Waqar Siddhu

Question No : 49 of 60 Marks: 1 (Budgeted Time 1 Min)

**Ahmed has provided the personal contact numbers of his subordinates to one of his friends who is working as an insurance agent in a private insurance firm, to help him in achieving his monthly sales target. This practice is:**

VuAnswers.com

Answer ( Please select your correct option )

- Prohibited by the privacy rights

correct

- Violation of employment at will
- Implementation of discrimination law
- Clear violation of labor laws

Made by: Waqar Siddhu

Question No : 50 of 60 Marks: 1 (Budgeted Time 1 Min)

**While making compensation system more effective, which of the following is NOT considered?**

VuAnswers.com

Answer ( Please select your correct option )

- Attract qualified employment applicants

correct

- Retain qualified employees, while discouraging retention of low performing
- Rotate employees within the organization to keep them active
- Motivate employee's behavior towards organizational objectives

Made by: Waqar Siddhu

Question No : 51 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following means gives employees the authority, tools, and information they need to do their jobs with greater autonomy?

Answer ( Please select your correct option )

VuAnswers.com

- Enrichment
- Empowerment
- Acknowledgement
- Appraisal

correct

Made by: Waqar Siddhu

Question No : 52 of 60 Marks: 1 (Budgeted Time 1 Min)

**Employee stress negatively affects the organizational outcomes in which of the following manner?**

VuAnswers.com

Answer ( Please select your correct option )

- Efficient procedures
- Increased absenteeism
- Low manufacturing costs
- Employee involvement

correct

Made by: Waqar Siddhu

Question No : 1 of 60 Marks: 1 (Budgeted Time 1 Min)

'Job specification' is said to be an outcome of which of the given term?

apni dua mai yad rakhna :)

apni dua mai yad rakhna :)

VuAnswers.com

Answer ( Please select your correct option )

- Job analysis ok
- Job title
- Job evaluation
- Job worth

Made by: Waqar Siddhu

Question No : 2 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is a written statement that represents 'what job holder is supposed to do'?

apni dua mai yad rakhna :)

VuAnswers.com

Answer ( Please select your correct option )

- Job analysis
- Job description

ok

- Job specification
- Job evaluation

Made by: Waqar Siddhu

Question No : 3 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is an online recruitment method engaged in by a single employer or group of employers to attract a large number of applicants?

apni dua mai yad rakhna :)

VuAnswers.com

Answer ( Please select your correct option )

- Job fairs
- Recent grads
- Internship programs
- Recruiting sites

ok

Made by: Waqar Siddhu

Question No : 4 of 60 Marks: 1 (Budgeted Time 1 Min)

**In order to promote unbiased management, organizations should develop:**

VuAnswers.com

Answer ( Please select your correct option )

- Powerful union
- Legal compliance

ok

- Strategic alliances
- Stakeholder influence

Made by: Waqar Siddhu

Question No : 5 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following role a manager performs as a Resource allocator?**

VuAnswers.com

Answer ( Please select your correct option )

- Interpersonal role
- Decisional role

ok

- Informational role
- Supportive role

Made by: Waqar Siddhu

Question No : 6 of 60 Marks: 1 (Budgeted Time 1 Min)

**All of the following could be the reasons of an employee stress, EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- Supervisor's rude attitude
- No recognition of efforts
- Job insecurity and safety
- Missing out the thanking notes

ok

Made by: Waqar Siddhu

Question No : 7 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following problem occurs when supervisors tend to rate all their subordinates consistently low?

VuAnswers.com

Answer ( Please select your correct option )

- Central tendency
- Leniency

remember it.....ya wala high k liey hota ha

- Strictness

ok

- Halo effect

Made by: Waqar Siddhu

Question No : 8 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which one of the following is NOT a barrier to effective communication?**

VuAnswers.com

Answer ( Please select your correct option )

- Different codes applied by sender & receiver

ok

- Limited time is available to complete the communication
- Careful listening by sender as well as receiver
- Source creditability of the information to be conveyed

Made by: Waqar Siddhu

Question No : 9 of 60 Marks: 1 (Budgeted Time 1 Min)

**To encourage and authorize workers to take initiatives to reduce costs, improve operations, product quality and customer service is known as:**

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Authority
- Decentralization
- Empowerment
- Centralization

Made by: Waqar Siddhu

Question No : 10 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following identifies the minimum acceptable qualification that the incumbent must possess to perform a particular job successfully?

VuAnswers.com

Answer ( Please select your correct option )

- Job analysis
- Job specification
- Job description
- Job evaluation

ok

Made by: Waqar Siddhu

Question No : 11 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following term is used for choosing the individual that is best suited to a particular position and to the organization from a group of potential applicants?

VuAnswers.com

Answer ( Please select your correct option )

- Recruitment
- Selection

ok

- Staffing
- Enrollment

Made by: Waqar Siddhu

Question No : 12 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT a concern of Human Resource Development (HRD)?

VuAnswers.com

Answer ( Please select your correct option )

- Employee training
- Employee orientation
- Employee rights ok
- Employee appraisals

Made by: Waqar Siddhu

Question No : 13 of 60 Marks: 1 (Budgeted Time 1 Min)

**Performance is a function of:**

VuAnswers.com

Answer ( Please select your correct option )

- Ability, effort, opportunity ok
- Ability, expectancy, salary
- Ability, skill, knowledge
- Motivation, attractiveness, support

Made by: Waqar Siddhu

Question No : 14 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following is MOST essential for sustainable performance of an employee?**

VuAnswers.com

Answer ( Please select your correct option )

- Career development opportunities
- Commitment from top management
- Feedback in term of appropriate rewards
- Clearly defined job description

ok

Made by: Waqar Siddhu

Question No : 15 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which performance appraisal technique lists the traits and a range of performance?**

VuAnswers.com

Answer ( Please select your correct option )

- Paired comparison
- Management by objective
- Alternation ranking
- Graphic rating scale

ok

Made by: Waqar Siddhu

Question No : 16 of 60 Marks: 1 (Budgeted Time 1 Min)

**The first step in developing a behaviorally anchored rating scale is to:**

VuAnswers.com

Answer ( Please select your correct option )

- Generate critical incidents
- Re-allocate incidents
- Scale incidents
- Develop performance dimensions

ok

Made by: Waqar Siddhu

Question No : 17 of 60 Marks: 1 (Budgeted Time 1 Min)

**Ranking method is only effective for:**

VuAnswers.com

Answer ( Please select your correct option )

- Large number of jobs

ok

- Non-managerial jobs
- Few jobs to be evaluated
- Executive level jobs only

Made by: Waqar Siddhu

Question No : 18 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following is NOT included in time-off benefits?**

VuAnswers.com

Answer ( Please select your correct option )

- On-the-job breaks

ok

- Annual holidays
- Flexi time
- Paid leaves

Made by: Waqar Siddhu

Question No : 19 of 60 Marks: 1 (Budgeted Time 1 Min)

**Performance measures include all of the following, EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- Individual's productivity
- Team's productivity
- Departmental productivity
- Market productivity

ok

Made by: Waqar Siddhu

Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

**All of the following are reasons of conflicts in an organization, EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- Everyone competing for scarce resources
- Interactionist view about employees
- Poor coordination among employees

ok

- Stereotypical views about employees

Made by: Waqar Siddhu

Question No : 21 of 60 Marks: 1 (Budgeted Time 1 Min)

**All of the following would be considered as sources of conflicts, EXCEPT:**

VuAnswers.com

Answer ( Please select your correct option )

- Goal incompatibility
- Different values and beliefs
- Lack of resources and finances

ok

- Strengthened team dynamics

Made by: Waqar Siddhu

Question No : 22 of 60 Marks: 1 (Budgeted Time 1 Min)

'Discipline' is a management action taken to guide employees' actions according to the:

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Competitors' move
- Stakeholders' desire
- Union proposals
- Organization's rules

Made by: Waqar Siddhu

Question No : 23 of 60 Marks: 1 (Budgeted Time 1 Min)

**_____ is the early return of an expatriate manager to the home country without completion of an overseas assignment.**

VuAnswers.com

Answer ( Please select your correct option )

- Culture shock
- Expatriate return
- Expatriate failure

ok

- Repatriation

Made by: Waqar Siddhu

Question No : 24 of 60 Marks: 1 (Budgeted Time 1 Min)

**The process of influencing an organized group towards goal accomplishment is called _____.**

VuAnswers.com

Answer ( Please select your correct option )

- Managing
- Leading
- Organizing
- Planning

ok

Made by: Waqar Siddhu

Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

**Creating conditions for a team to be effective is the responsibility of a(n):**

VuAnswers.com

Answer ( Please select your correct option )

- Leader ok
- Employee
- Organization
- HR department

Made by: Waqar Siddhu

Question No : 26 of 60 Marks: 1 (Budgeted Time 1 Min)

**Charismatic leaders are those who have the ability to:**

VuAnswers.com

Answer ( Please select your correct option )

- Resolve every problem prevailing in the organization
- Influence others in a desired manner

ok

- Command over larger number of employees
- Strictly impose the set rules

Made by: Waqar Siddhu

Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

"People can be trained to be effective leaders". This statement is said to be true as per which of the following theories?

VuAnswers.com

Answer ( Please select your correct option )

- Trait Theory
- Situational Theory
- Behavioral Theory

ok

- Motivational Theory

Made by: Waqar Siddhu

Question No : 28 of 60 Marks: 1 (Budgeted Time 1 Min)

**Farhan usually tries to create off-channel relationships with the high level bodies to:**

VuAnswers.com

Answer ( Please select your correct option )

- Be an effective leader
- Gain power through upward influence
- Get quick promotions

ok

- Expand his interpersonal network

Made by: Waqar Siddhu

Question No : 29 of 60 Marks: 1 (Budgeted Time 1 Min)

According to which of the following theory we can learn through observations and our personal experiences?

VuAnswers.com

Answer ( Please select your correct option )

- Operant conditioning
- Social learning
- Personality development

i think this

- None of the given options

Made by: Waqar Siddhu

Question No : 30 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following skills are highly required by the supervisors to resolve various issues among employees?**

VuAnswers.com

Answer ( Please select your correct option )

- Tactical skills ok
- Human skills
- Technical skills
- Conceptual skills

Made by: Waqar Siddhu

Question No : 31 of 60 Marks: 1 (Budgeted Time 1 Min)

**Under the progressive discipline procedure the suspension of the employee falls in which of the following category?**

VuAnswers.com

Answer ( Please select your correct option )

- First offense ok
- Second offense
- Third offense
- Fourth offense

Made by: Waqar Siddhu

Question No : 32 of 60 Marks: 1 (Budgeted Time 1 Min)

**According to the interactionist view about conflict which one of the following is the most appropriate advantage of conflict within the organization?**

VuAnswers.com

Answer ( Please select your correct option )

- Creativity is there but not synergy

ok

- Creativity & synergy
- Synergy is there but not creativity
- Create trust for employee

Made by: Waqar Siddhu

Question No : 33 of 60 Marks: 1 (Budgeted Time 1 Min)

Who has presented the theory of Existence Relatedness Growth (ERG)?

VuAnswers.com

Answer ( Please select your correct option )

- Alderfer ok
- McGregor
- Edward Thorndike
- McClelland

Made by: Waqar Siddhu

Question No : 34 of 60 Marks: 1 (Budgeted Time 1 Min)

Who has presented the Theory-X and Theory-Y?

**McGregor's Theory-X states that under the right circumstances, employees would willingly contribute their ingenuity and their talents for the benefits of the organization.**

VuAnswers.com

Answer ( Please select your correct option )

- Alderfer
- McGregor

i think this 50% sure

- Edward Thorndike
- McClelland

Made by: Waqar Siddhu

Question No : 35 of 60 Marks: 1 (Budgeted Time 1 Min)

McClelland has presented a theory in which he has explained the association of three elements. Which of the following combination is true?

VuAnswers.com

Answer ( Please select your correct option )

- Affiliation, Power, and Achievement

ok

- Affiliation, Personality, and Achievement
- Affection, Power, and Achievement
- Affiliation, Personality, and Association

Made by: Waqar Siddhu

Question No : 36 of 60 Marks: 1 (Budgeted Time 1 Min)

What will be the very first step after the selection of an applicant in an organization?

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Training
- Development
- Orientation
- Evaluation

Made by: Waqar Siddhu

Question No : 37 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following is NOT an organizational factor related to stress?**

VuAnswers.com

Answer ( Please select your correct option )

- Economic conditions
- Task demands
- Role demands
- Interpersonal demands

ok

Made by: Waqar Siddhu

Question No : 38 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is an example of an individual approach to stress management?

VuAnswers.com

Answer ( Please select your correct option )

- Selection and placement
- Redesigning jobs

2nd ya 3rd mai say ha koi 1 bcz stress 2no angle say a skti ha

- Goal setting
- Relaxation

Made by: Waqar Siddhu

Question No : 39 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which group of employees may also be known as expatriates?**

VuAnswers.com

Answer ( Please select your correct option )

- Parent-country nationals ok
- Host-country nationals
- Third-country nationals
- Local-country nationals

Made by: Waqar Siddhu

Question No : 40 of 60 Marks: 1 (Budgeted Time 1 Min)

**What is the main point of difference between a multinational and transnational corporation?**

VuAnswers.com

Answer ( Please select your correct option )

- Transnational corporations have a central corporate facility but highly decentralized operations and MNC is more focused on adapting their products and service to each individual local market.
- Transnational corporations have centralized operations and MNC has decentralized operations
- Transnational corporations invested in foreign operations and MNC invested in local operations
- Transnational concentrate on local markets and MNC focus on foreign markets

Made by: Waqar Siddhu

Question No : 41 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following statement describes the term "franchising"?**

VuAnswers.com

Answer ( Please select your correct option )

- Parent company grants another firm the right to do business in a prescribed manner

ok

- Company allow another firm the right to do business with out any license or contract
- Organization grants a foreign firm the right to use intellectual properties
- Parent company sells its products exclusively in a particular area

Made by: Waqar Siddhu

Question No : 42 of 60 Marks: 1 (Budgeted Time 1 Min)

**The aspect of organizational culture that an employee can NOT see is:**

VuAnswers.com

Answer ( Please select your correct option )

- What motivates people
- Tempo of work
- Attitude toward authority

okkkkk
or role expectation be ans ha iska

- All of the given options

Made by: Waqar Siddhu

Question No : 43 of 60 Marks: 1 (Budgeted Time 1 Min)

**Which of the following characteristic/s is/are part of Conceptual skills?**

VuAnswers.com

Answer ( Please select your correct option )

- Analytical ability
- Logical thinking
- Inductive reasoning
- All of the given options

ok

Made by: Waqar Siddhu

Question No : 44 of 60 Marks: 1 (Budgeted Time 1 Min)

What is achieved by combining capital, raw material & human resource by an organization?

VuAnswers.com

Answer ( Please select your correct option )

- Sales
- Capital
- Input
- Output

ok

Made by: Waqar Siddhu

Question No : 45 of 60 Marks: 1 (Budgeted Time 1 Min)

**HR generalist is involved in:**

VuAnswers.com

Answer ( Please select your correct option )

- Performing all or few (more than one) HR functions

ok

- Performing a single focused HR function
- Providing orientation to employees only
- Designing special compensation packages for female employees

Made by: Waqar Siddhu

Question No : 46 of 60 Marks: 1 (Budgeted Time 1 Min)

'Jamal enterprises' is a small company having 30 employees only, to facilitate this number of employees, organization hired 2 people to perform all necessary HR functions for the organization. In such a case these HR personnel are considered as:

VuAnswers.com

Answer ( Please select your correct option )

- HR executives
- HR generalists ok
- HR specialists
- HR department

Made by: Waqar Siddhu

Question No : 47 of 60 Marks: 1 (Budgeted Time 1 Min)

**For the post of tutor, candidates are asked to deliver a lecture to a group of selected students. Which one of the following statement is most correct?**

VuAnswers.com

Answer ( Please select your correct option )

- This is used to have a face to face interaction
- Demonstration is mandatory for all post graduate colleges
- Delivering lecture is a type of work sampling
- This is an example of group interview

ok or ya be ha
this is an example of in-basket simula
Made by: Waqar Siddh

Question No : 48 of 60 Marks: 1 (Budgeted Time 1 Min)

**Ms. Ayesha was selected as the best employee of the month for April as she had contributed maximum in the organization's sale but no special consideration was made by management on her efforts, this practice of the organization may:**

VuAnswers.com

Answer ( Please select your correct option )

- Decrease the importance of performance appraisal system of organization ok
- Increase the motivational level of employees of organization
- Increase the focus of employees towards their career development
- None of the given options

Made by: Waqar Siddhu

Question No : 49 of 60 Marks: 1 (Budgeted Time 1 Min)

**Under which of the following category union can bargain with the management on appointing a particular person as union leader?**

VuAnswers.com

Answer ( Please select your correct option )

- Mandatory bargaining issue ok
- Permissive bargaining issue
- Prohibited bargaining issue
- Obligatory bargaining issue

Made by: Waqar Siddhu

Question No : 50 of 60 Marks: 1 (Budgeted Time 1 Min)

**Ahmed has provided the personal contact numbers of his subordinates to one of his friends who is working as an insurance agent in a private insurance firm, to help him in achieving his monthly sales target. This practice is:**

VuAnswers.com

Answer ( Please select your correct option )

- Prohibited by the privacy rights

ok

- Violation of employment at will
- Implementation of discrimination law
- Clear violation of labor laws

Made by: Waqar Siddhu

Question No : 51 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following form of injustice is found when the performance evaluation is conducted by someone unfamiliar with the job and cannot identify the key performance indicators?

nhi pta

VuAnswers.com

Answer ( Please select your correct option )

- Distributive
- Procedural
- Interpersonal
- Informational

Made by: Waqar Siddhu

Question No : 52 of 60 Marks: 1 (Budgeted Time 1 Min)

A formal approach adopted by an organization to help people in acquiring skills and experiences needed to perform current and future jobs is termed as;

VuAnswers.com

Answer ( Please select your correct option )

- Career Path
- Career Planning
- Career Short Sightedness
- Career Development

ok

Made by: Waqar Siddhu

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## PAST PAPERS BY WAQAR SIDDHU

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Question No : 53 of 60 Marks: 3 (Budgeted Time 6 Min)

Negotiation ability is an important part of manager's job. What kinds of negotiation skills are essential for a manager?

Answer ( Please click here to Add Answer )

VuAnswers.com

Made by: Waqar Siddhu

Question No : 54 of 60 Marks: 3 (Budgeted Time 6 Min)

What do you know about 'Stress-prone employees'?

Answer ( Please click here to Add Answer )

VuAnswers.com

Stress is the body's nonspecific reaction to any demand made on it. For various reasons, programs dealing with stress and its related problems are becoming increasingly popular. Long-term productivity depends largely on th dedication and commitment of the company's employees. Employees are increasingly holding their employers liable for emotional problems they claim are work related. And, stress-related mental disorders have become the fastest-growing occupational disease. There is increasi ng evidence indicating that severe, prolonged stress is related to the diseases that are leading causes of death—coronary heart disease, stroke, hypertension, cancer, emphysema, diabetes, and cirrhosis; stress may even lead to suicide. Some signs that may indicate problems include impaired judgment and effectiveness, rigid behavior, me absences, emerging addictive behaviors, lowered self-esteem, an

Made by: Waqar Siddhu

Question No : 55 of 60 Marks: 3 (Budgeted Time 6 Min)

Mention any three reasons of failure of international assignments and also give its remedies.

Answer ( Please click here to Add Answer )

VuAnswers.com

Normal Arial 12 100%

**Why International Assignments End in Failure:--**

**The failure, expatriates is estimated to be in the 20 to 40 percent range. Six factors account for most failures.**

1. **Career blockage**
2. **Culture shock**
3. **Lack of pre-departure cross-cultural training**
4. **Overemphasis on technical qualifications**
5. **Getting rid of a troublesome employee**
6. **Family problems**

Made by: Waqar Siddhu

Question No : 56 of 60 Marks: 5 (Budgeted Time 10 Min)

What are the criteria that make the leaders & managers similar to each other?

Answer ( Please click here to Add Answer )

VuAnswers.com

There are some points by which leaders and manager become similar to each others:.

1. Both leader and manager interact and motivate their subordinates.
2. Both leader and manager have power over their subordinates.
3. Leaders work for achieving the desire strategic goals while managers also work for getting their goals.
4. Both works in organizations. Both are responsible for their subordinates and people.

Made by: Waqar Siddhu

Question No : 57 of 60 Marks: 5 (Budgeted Time 10 Min)

Explain the measures that can be taken to enhance the effectiveness of organizational discipline.

Answer ( Please click here to Add Answer )

VuAnswers.com

Made by: Waqar Siddhu

Question No : 58 of 60 Marks: 5 (Budgeted Time 10 Min)

While hiring few organizations prefer internal recruitment but some refuse this mode of recruitment. List down the reasons for which internal recruitment is preferred and rejected.

Answer ( Please click here to Add Answer )

VuAnswers.com

- **Advantages of Internal Recruitment:**

1. Provides greater motivation for good performance.
2. Provides greater opportunities for present employees
3. Provides better opportunity to assess abilities
4. Improves morale and organizational loyalty
5. Enables employees to perform the new job with little lost time

- **Disadvantages of Internal Recruitment:**

1. Creates a narrowing thinking and stale ideas
2. Creates pressures to compete
3. Creates homogeneous workforce
4. Chances to miss good outside talent Requires strong manage to train for technology.

Made by: Waqar Siddhu

Question No : 59 of 60 Marks: 5 (Budgeted Time 10 Min)

Being a student, identify the major stressors in your life. Are they effecting your educational goals, positively or negatively?

Answer ( Please click here to Add Answer )

VuAnswers.com

Made by: Waqar Siddhu

Question No : 60 of 60 Marks: 5 (Budgeted Time 10 Min)

The human resource department of an automobile assembling company is introducing the performance appraisal system. The crucial point is to decide the basis on which performance should be measured. There are three different points of views; it should be trait based, behavior based or result based system. Which system is better and why?

Answer ( Please click here to Add Answer )

VuAnswers.com

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Question No : 53 of 60 Marks: 3 (Budgeted Time 6 Min)

"'Burnout' is a negative behavioral aspect of employees". Elaborate this statement.

Answer ( Please click here to Add Answer )

VuAnswers.com

Burnout is a pattern of emotional, physical, and mental exhaustion in response to chronic job stressors. It is an incapacitating condition in which individuals lose a se nse of the basic purpose and fulfillment of their work Burnout has been described as a state of fatigue or frustration that stems from devotion to a cause, way of life, or relationship that did not provide the expected reward. It is often found in a midlife or mid-career crisis, but it can happen at different times to different people. Indivi duals in the helping professions such as teachers and counselors seem to be susceptible to burnout, whereas others may be vulnerable because of their upbringing, expectations, or their personalities. Burnout is frequently associated with people whose jobs require close relationships with others under stressful and tension-filled conditions. The dangerous part of burnout is that it is contagious. A highly cynical and pessimistic burnout victim can quickly transform an entire group into burnouts. It is important to deal with it quickly; once it has begun, it is dif

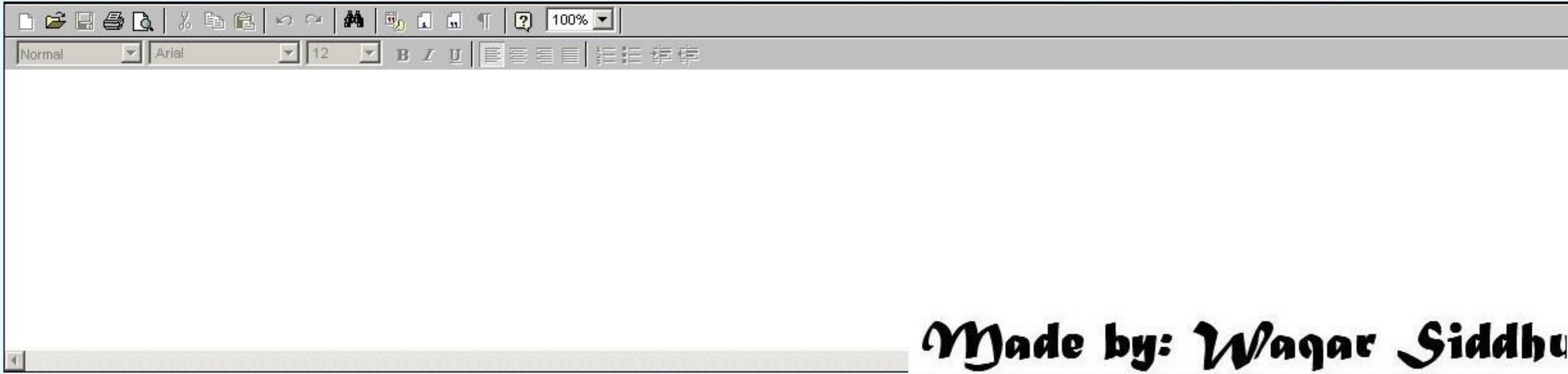
Made by: Waqar Siddhu

Question No : 54 of 60 Marks: 3 (Budgeted Time 6 Min)

All people know that our politic leaders never fulfill all the promises which they made during election campaigns but still they succeed. Why?

Answer ( Please click here to Add Answer )

VuAnswers.com




Made by: Waqar Siddhu

Question No : 55 of 60 Marks: 3 (Budgeted Time 6 Min)

Being a student, what type of recognition would be motivational for you? How do you know?

Answer ( Please click here to Add Answer )

VuAnswers.com

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**Recognition—Its purpose is to identify the union that is recognized as the bargaining representative and to describe the bargaining unit.**

**further write according to your point of view keeping in mind the defination.**

Made by: Waqar Siddhu

Question No : 56 of 60 Marks: 5 (Budgeted Time 10 Min)

State the difference between consultant & specialist. Explain with an example.

Answer ( Please click here to Add Answer )

VuAnswers.com

Specialist may be a human resource executive, manager, or non-manager who typically is concerned with only one of the functional areas of human resource management.

consultants can provide a learning environment in which workers can gain practical skills for working in teams.

Made by: Waqar Siddhu

Question No : 57 of 60 Marks: 5 (Budgeted Time 10 Min)

Suppose you are working in a manufacturing firm, would you like to join the union or not. What arguments do you give in favor or against joining union?

Answer ( Please click here to Add Answer )

VuAnswers.com

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Question No : 58 of 60 Marks: 5 (Budgeted Time 10 Min)

What type of gains & losses can be associated with the 'piecework-pay plan'?

Answer ( Please click here to Add Answer )

VuAnswers.com

Made by: Waqar Siddhu

Question No : 59 of 60 Marks: 5 (Budgeted Time 10 Min)

"HR functions are interrelated to each other". Do you agree or disagree? Support your answer with an example.

Answer ( Please click here to Add Answer )

VuAnswers.com

Made by: Waqar Siddhu

Question No : 60 of 60 Marks: 5 (Budgeted Time 10 Min)

Why do employers need to evaluate employees? Why it is important to keep a written record of a performance evaluation?

Answer ( Please click here to Add Answer )

VuAnswers.com

Made by: Waqar Siddhu

Question No : 53 of 60 Marks: 3 (Budgeted Time 6 Min)

What are the measures one should take to overcome the problem of "Do Only What You Get Paid for" Syndrome?

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Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 54 of 60 Marks: 3 (Budgeted Time 6 Min)

Mention any three reasons of failure of international assignments and also give its remedies.

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 55 of 60 Marks: 3 (Budgeted Time 6 Min)

People working in a paint manufacturing plant are required to wear worker uniform, long shoes, hard hat, and safety glasses, but one of the workers does not wear all these things
When his boss inquired him on this matter, he replied that he does not like to wear them and there had been no accident took place for the last 15 years on the job; therefore there i
no need of it.
The argument given by worker is valid or disciplinary action should be taken against him?

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 56 of 60 Marks: 5 (Budgeted Time 10 Min)

Why companies hire individuals on frequent basis?

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 57 of 60 Marks: 5 (Budgeted Time 10 Min)

Discuss the roles of tactical, operational & strategic managers with the help of hierarchical diagram.

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 58 of 60 Marks: 5 (Budgeted Time 10 Min)

Labor unions are considered as representative of employees but some organizations do not have labor union even then they have very good employee-management relationships Analyze the factors that minimize the need of labor union in an organization.

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 59 of 60 Marks: 5 (Budgeted Time 10 Min)

Suppose you are designing a job evaluation plan by using job ranking method for a small business firm consisting of 25 jobs. You are required to mention, who will be responsible fo conducting it and what procedure will be adopted to ensure successful implementation?

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

Question No : 60 of 60 Marks: 5 (Budgeted Time 10 Min)

Suppose you are running a business and need to fill vacancies of both permanent and contingent workers. For each job, write a complete compensation package that outlines monetary and non monetary benefits.

VuAnswers.com

Answer ( Please click here to Add Answer )

Made by: Waqar Siddhu

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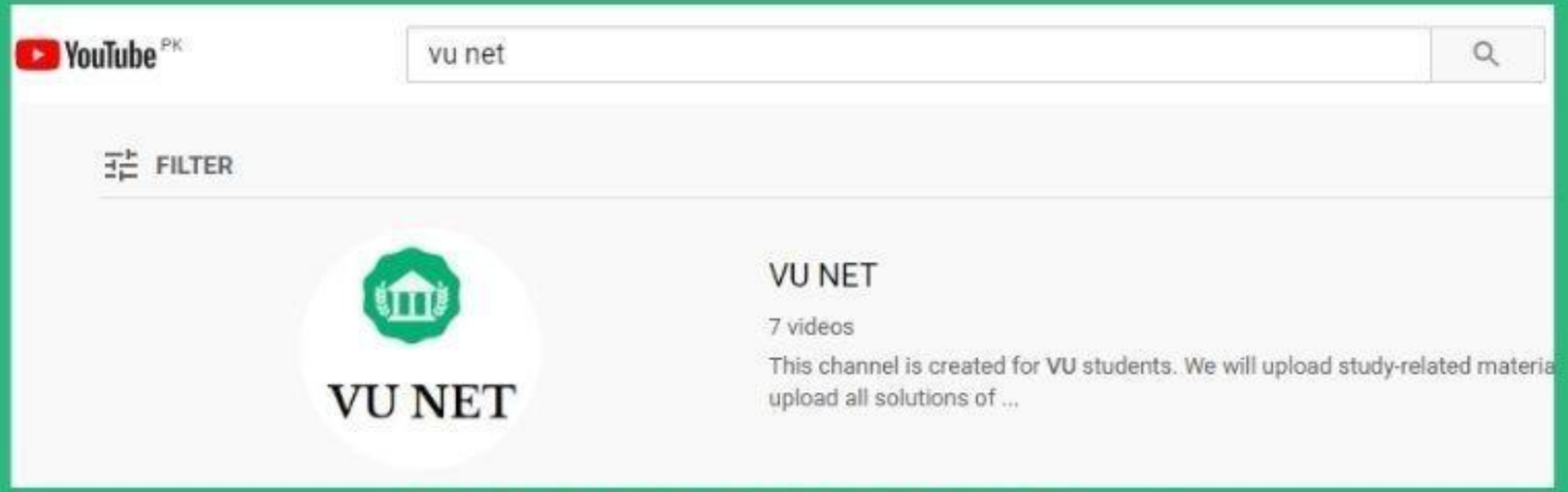


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